

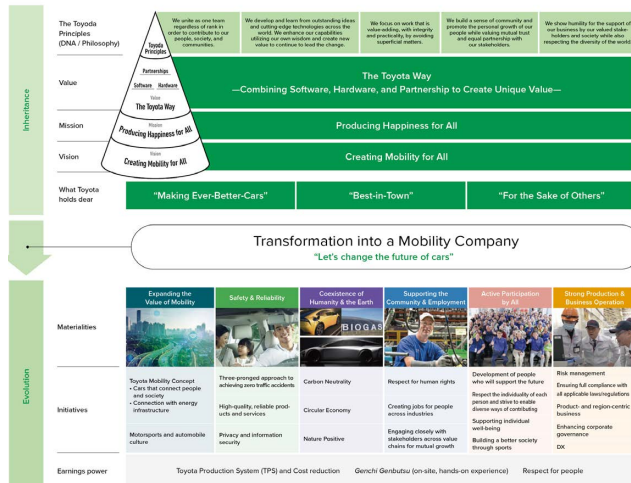
CONTENTS

TOYOTA INTEGRATED REPORT 2025

Messages from Management

Message from the Chairman	3
Message from the President	4
Sustainability Issues and Initiatives: Materiality	5

Toyota's Origins and Materiality (Key Issues)



Source of Value Creation:

Toyota's Identity

The Toyota Group's Vision: "Inventing Our Path Forward, Together"	9
Our Founding Spirit	13
Toyota Principles and Toyota Philosophy	15
Toyota Production System	16
Making Ever-Better Cars	18
Product-Centered Management	18
Making Ever-Better Cars from a Starting Point in Motorsports	21
Toyota and Sports	23
Let's Discover Potential Together! Opening of an Inspiring Arena	25

Value Creation Story:

Future Mobility Society Envisioned by an Automobile

Manufacturer

Five-Brand Strategy	26
Century	26
Toyota and Daihatsu	29
Lexus	32
GR GT / GR GT3 / Lexus LFA Concept	34
Toyota Woven City	38
Toyota's Vision for the Mobility Society	41
Toyota Mobility Concept	41
Product-Centered Management	43
Region-Centered Management	44
Value Chain Businesses	47
Human-Centered Automobile Manufacturing	50
Our Inheritance of Craftsmanship	50
Factories of the Future	51
Plant Initiatives	52

Toyota's Vision for Carbon Neutrality:

Overview of the Multi-Pathway Strategy	55
Full Lineup for Meeting Diverse Needs	57
Advancement of the Multi-Pathway Strategy	58
Strategy for Battery Electric Vehicles	62
Innovative Battery Electric Vehicle Technologies	65
Background of bZ3X Development	67
Hydrogen Business Strategies	68
Commercial Sector Initiatives	71
Development of Hydrogen Engines for Motorsports	73
Carbon-Neutral Fuel Initiatives	74
Circular Economy	76

Toyota's Aim to Expand the Value of Mobility

Software Defined Vehicles	78
RAV4	81
Drive Recorder119	84
Diversifying Mobility: Enhancing Freedom of Movement	86

Value Creation Foundations

Appointment of New CEO	88
New Year's Messages	95
Roundtable Discussion Among Outside Directors	100
Dialogues with Shareholders and Investors	108
Corporate Governance	110
Insights into Certification Issues	114
Risk Management and Compliance	116
Message from the CFO	117
Capital Strategies	122
Environmental Initiatives	
(Disclosure Based on TCFD Recommendations)	124
Human Resource Development	132
Labor—Management Discussions	136
Diversity, Equity, and Inclusion	140
Toyota's Active Contribution by All	142
Respect for Human Rights	144
Value Chain Collaboration	145
Toyota's Resilient Supply Chain	148
Vehicle Safety	150
Commitment to Traffic Safety and Activities of the Tateshina Meeting and	
Subcommittees: Transforming Passion into Action	151
Quality, Information Security, and AI	152
Comprehensive Corporate Digital Transformation	154
Intellectual Property and Privacy	155
Health and Safety and Social Contribution Activities	156

Corporate Data

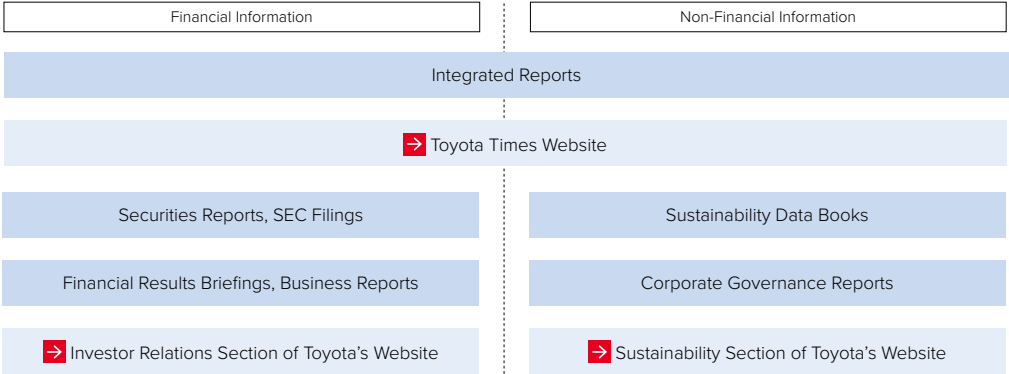
Board of Directors and Audit and Supervisory

Committee Members	157
Operating Officers and Organizational Structure	160
Overview of Operations	161
History	162
Financial Summary (Consolidated)	163
Corporate Information and Stock Information	165

Integrated Report 2025 is intended to communicate to stakeholders Toyota's policies and strategies for addressing management issues with the aim of achieving its vision for the future. More detailed information is available in Toyota's other reports as well as on the Toyota Times website and the Company's other websites.

(Published in February 2026)

Toyota's Reports and Publications



Note Regarding Publication
The names of certain people, businesses, organizations, etc., that appear in this publication's text have been abbreviated.

Reporting Period
This report covers the results and forecasts for fiscal 2025—the period from April 1, 2024, to March 31, 2025—and fiscal 2026.

Reporting Scope
This report covers initiatives and activities of Toyota Motor Corporation and consolidated subsidiaries, etc., in Japan and overseas.

Reference Guidelines
This report was prepared with reference to the International Integrated Reporting Framework issued by the IFRS Foundation.

Features of PDF
This file is an interactive PDF and can be navigated by clicking on the following elements.

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Jump to specific subsections within major sections

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Note: An internet connection is required to use links.

Message from the Chairman



I would like to express our sincere gratitude to all our stakeholders, including our customers worldwide who choose Toyota and continue to use our vehicles, our shareholders and investors who have watched over and supported us over the long term, and our suppliers, dealers, and the local communities who work alongside us in daily frontline operations.

We now live in an era in which change is faster and more widespread than ever. With technological and market shifts being compounded by unforeseen events that can occur simultaneously anywhere around the world, I believe that, rather than predict, it is vital to prepare.

"It is not just about making automobiles—with Japanese ideas and skills, we must create an automobile industry for Japan." These words of our founder, Kiichiro Toyoda, are imbued with a strong will to create a better future, as well as a profound desire to contribute to Japan's development and the happiness of future generations.

Inheriting that spirit, we have striven to enrich people's lives through manufacturing, aiming to create a society in which everyone can experience happiness. The driving force behind this has been our human resources, who share our founding philosophy of "Act for Others" and embody it in their actions.

Regardless of how much the times change, there is one thing that does not: "Making things means making people"—in other words, before we manufacture anything, we must develop our people.

To create an automobile industry, Kiichiro Toyoda established numerous independent companies that specialized in each of the fields necessary for building cars. This was the starting point of the current Toyota Group.

How is this significant? To me, it is important because it means that we have cultivated numerous managerial talents who, while sharing the same ideals, have each acquired unique skills.

Human resource development precisely of this kind is, I believe, my mission as the chairman of Toyota and as the person responsible for the Toyota Group.

And to ensure that Toyota remains Toyota, and that the Toyota Group remains a corporate group that shares the same ideals, we must cultivate human resources who can independently decide and act without wavering from what makes us Toyota and what makes us the Toyota Group, even in the face of unforeseeable changes.

This, I believe, is what I must do to prepare so that we can survive these turbulent times.

We shall continue to wholeheartedly dedicate ourselves to ensuring that we remain a Toyota and a Toyota Group that support people's lives and are valued by society. We humbly request your continued understanding and support.

Akio Toyoda

Chairman of the Board of Directors (Representative Director)

Message from the President

First, I would like to express my sincere gratitude to all of our stakeholders for their continued support, as well as to our customers who choose Toyota vehicles.

Over the past year, we have faced a challenging business environment, including trade relations with the United States. In times like these, it is especially important that we remain firmly committed to our core principle of managing through our products. One of Toyota's greatest strengths is its full lineup tailored to the needs of each region. By continuing to meet customer expectations through vehicle development that responds to diverse needs, we will further strengthen our ability to adapt to changes in the business environment.

At Japan Mobility Show 2025, we clarified the roles and distinct identities of the Toyota Group's five brands and shared our vision for the future of carmaking.

The Toyota brand's vision is "to you." We stay close to the lives of customers around the world, always picturing a specific someone as we create vehicles designed with that person in mind. We are committed to providing a wide range of mobility options so that no one is left behind. This desire to do something for the sake of others has always been, and will continue to be, the driving force behind our carmaking.

To express this commitment through our products, we are advancing a wide range of initiatives. The new Corolla Concept embodies our multi-pathway approach through technology. The all-new RAV4 marks the first step toward a safe, secure, and truly Toyota-like Software

Defined Vehicle. And Woven City, officially launched last fall, serves as a real-world test course for mobility. Step by step, we are bringing our vision as a mobility company to life.

We will continue to refine the fundamental performance of our vehicles while working closely with partners underpinning social infrastructure, such as communications and energy companies, to expand the value that cars can provide. With the aim of realizing a safe, secure, and sustainable mobility society, we will continue working together with a wide range of partners across industries.

At the same time, we believe it is essential to strengthen our earnings power as the foundation that sustains our efforts to realize our goals and support the future.

Toyota's DNA is rooted in "good thinking, good products." Each individual thinks for themselves and, through knowledge, ingenuity, and *kaizen*, pursues *monozukuri* that delivers high quality at low cost. Returning to this origin, we will unite as one team to further enhance productivity and translate our strength at the *genba* into greater competitiveness.

We will continue taking on new challenges together with many partners to help shape the future of mobility, and we sincerely appreciate your continued support.

Koji Sato

President, Member of the Board of Directors



Sustainability Issues and Initiatives: Materiality

Toyota's Origins

The Toyota Principles represent the origins of Toyota. As expressed in “We unite as one team regardless of rank in order to contribute to our people, society, and communities,” our engagement in work that benefits the world and its people and our contributions to people’s happiness and social progress through car manufacturing constitute values and a code of conduct that Toyota holds dear.

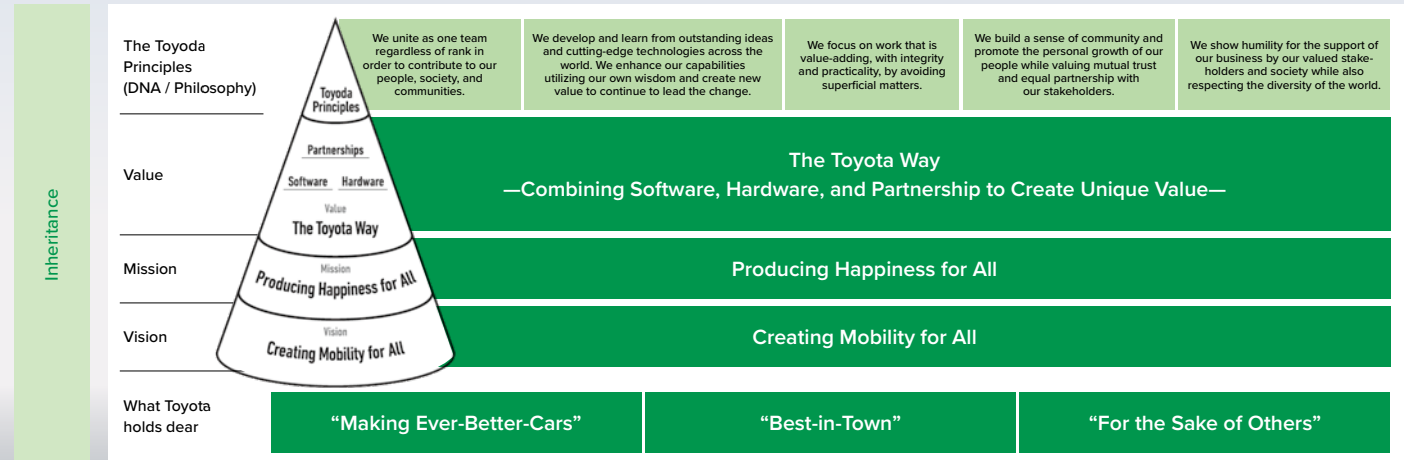
Reflecting on our origins, we established “producing happiness for all” as Toyota’s mission under the Toyota Philosophy, which was formulated in 2020. To contribute to the happiness of our customers and all our stakeholders around the world, we aim to contribute to the sustainable development of society and the Company. In other words, we aim to implement sustainability management.

Formulation of Materiality

During the 14 years that Chairman Akio Toyoda served as president, he sought to deeply ingrain the values of “ever-better cars,” “best-in-town,” and “for the sake of others,” as well as the essence of what makes us Toyota, which in turn formed the foundation of Toyota’s products and businesses.

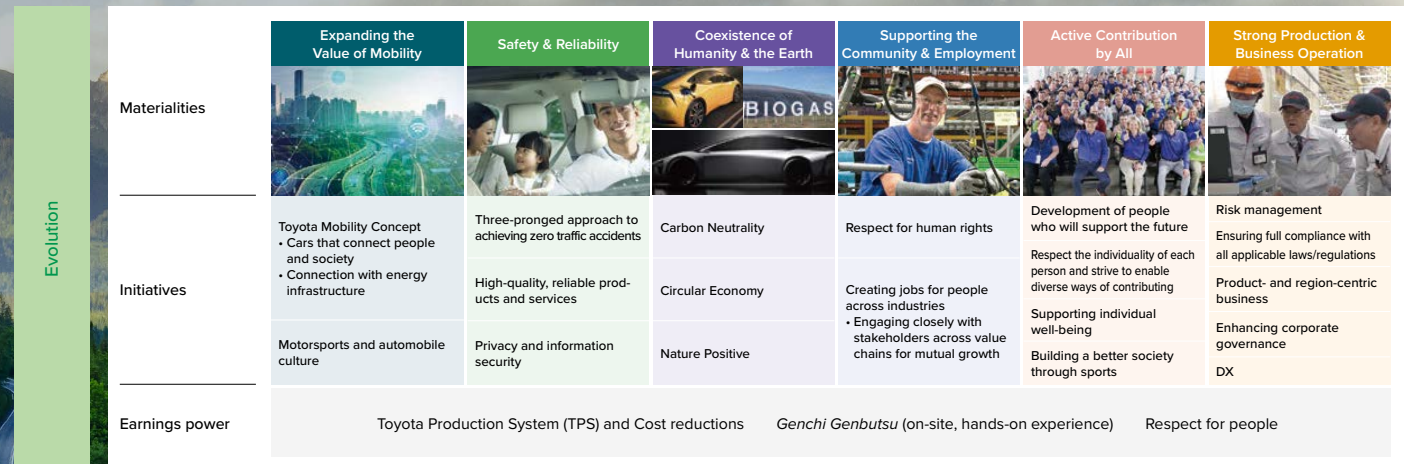
Looking ahead, we must establish a pathway for more robust growth strategies and our sustainability management and clarify the path toward reaching this vision if we are to achieve our mission of “producing happiness for all.”

Toyota's Origins and Materiality (Key Issues)



Transformation into a Mobility Company

“Let’s change the future of cars”



Sustainability Issues and Initiatives: Materiality

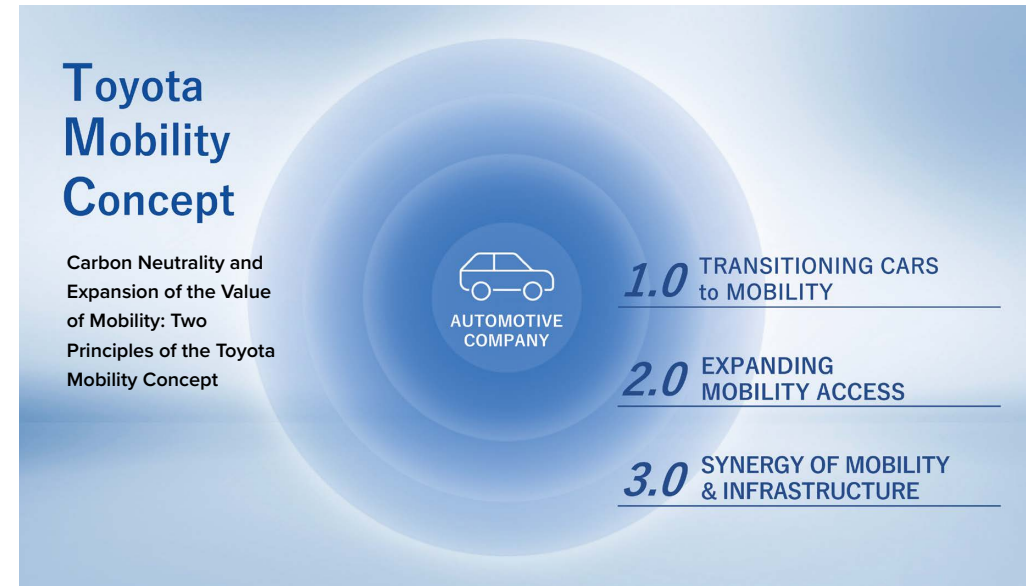
We aim to pursue our transformation into a mobility company that offers freedom of movement for all, without leaving anyone behind. Accordingly, we have established Expanding the Value of Mobility, Safety & Reliability, Coexistence of Humanity & the Earth, Supporting the Community & Employment, Active Contribution by All, and Strong Production & Business Operation as our six key issues (materiality) in achieving our vision for transforming into a mobility company, taking into account the perspectives of our stakeholders, including customers, local communities, business partners, and employees.

Ideas Expressed in “Let’s Change the Future of Cars”

We encapsulated our ideas regarding automobile manufacturing, a core activity for our transformation into a mobility company, in our shared motto “Let’s change the future of cars.” We want to ensure that automobiles continue to serve as a form of mobility that benefits society and brings smiles to people around the world well into the future. To that end, we will work to minimize the detrimental effects that cars have on society—including traffic accidents, pollution, and congestion—while maximizing the emotional value of cars—including convenience, comfort, and the enjoyment of driving—and boosting their positive impact.

To realize our aspirations, we have formulated the Toyota Mobility Concept, which summarizes three specific initiatives for achieving our transformation into a mobility company. Placing cars at the center, we will focus our efforts on enhancing the mobility of data and energy while pursuing their integration with social systems. By doing so, we will strive to create new mobility value. For Toyota, transformation into a mobility company means creating a new industrial structure that benefits the development of a mobility society through the evolution of the automobile. We will lead the transformative journey to shape the future with a sense of mission, working together with business partners who share the same purpose.

We are now in an era in which it is hard to predict the future. That is why we believe that persistent and purposeful action makes a difference. In the spirit of *hyaku-setsu futo* (indefatigability), one of the cherished phrases of our founder, Sakichi Toyoda, we will live up to our convictions and challenge ourselves to change the future of cars.



In formulating our materiality (key issues), we placed emphasis on the following two ideas.

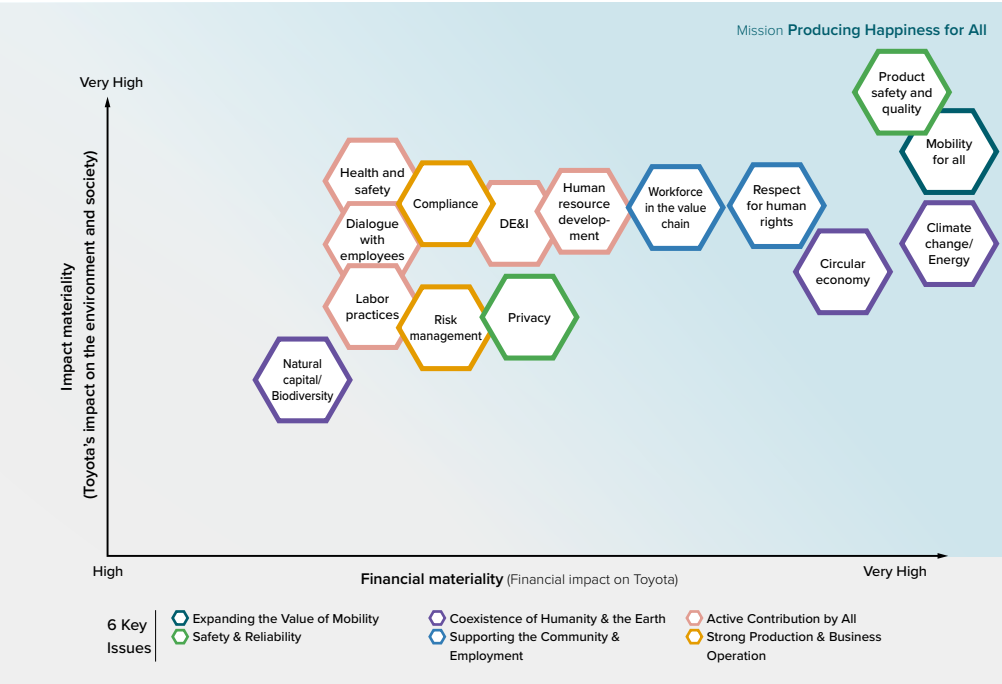
- Ensuring that these issues are thoroughly understood internally and serve as a guidepost for all employees, thereby leading to concrete actions
- Ensuring that our responses to these issues help stakeholders understand and relate to the vision we have for ourselves as a company and how we aim to contribute to society

To ensure that our responses to materiality lead to concrete actions by employees, we have grouped the key issues presented on the previous page into specific categories. Using a dual-axis framework, we created a materiality map assessing the importance of these issues based on Toyota’s impact on the environment and society (impact materiality) and on the impact of the environment and society on Toyota (financial materiality).

The upper-right quadrant of this map, which represents areas of the greatest importance, highlights the following two items.

- **Mobility for all: Provision of sustainable mobility for all, leaving no one behind**
- **Product safety and quality: A core principle valued by Toyota that serves as a basis for “making ever-better cars”**

Sustainability Issues and Initiatives: Materiality



Note: We revised the evaluation method in fiscal 2025 and have adjusted the position of each item.

In addition, the map includes items pertaining to the environment, starting with climate change, and items concerning human capital within the Company and across the value chain.

The materiality map displays our pathway toward “producing happiness for all,” which is our mission as a *monozukuri* (manufacturing) company that we aim to achieve by providing the freedom of movement to customers in each region through products that they truly need based on their feedback. The map also contains important sustainability elements to be considered as we pursue this mission.

By fulfilling our mission, we aim to create an even better society by using our technological capabilities to overcome the many social issues facing the world today.

	Materiality	Initiatives		Aim
Expanding the Value of Mobility	🔗 Mobility for all	Toyota Mobility Concept • Cars that connect people and society • Connection with energy infrastructure		Provide freedom of movement for all through people-centric mobility
		Motorsports and automobile culture		
Safety & Reliability	🛡️ Product safety and quality	Three-pronged approach to achieving zero traffic accidents		Zero casualties from traffic accidents, and ultimately, the realization of a society with zero traffic accidents
		High-quality, reliable products and services		Provide safe and high-quality products that meet diverse values and needs of customers
	🔒 Privacy	Privacy and information security		Create ever better cars, and help develop ever better communities and societies through appropriate information management, use, and application
Coexistence of Humanity & the Earth	🌍 Climate change/Energy	Carbon Neutrality		Achieve carbon neutrality throughout the entire vehicle lifecycle, including those already owned
	🔄 Circular Economy	Circular Economy		Achieve circular economy by using less resources, promoting longer use, and avoiding waste
	🌿 Natural capital/Biodiversity	Nature Positive		Realize a society in harmony with nature by minimizing environmental impact and promoting conservation throughout the entire vehicle lifecycle
Supporting the Community & Employment	👤 Respect for human rights	Respect for human rights		Respect the human rights of all people involved in our business activities
	👥 Workforce in the value chain	Creating jobs for people across industries • Engaging closely with stakeholders across value chain for mutual growth		Pursue the best-in-town approach to achieve mutual prosperity through mutual trust with stakeholders across value chain
Active Contribution by All	👤 Human resource development	Development of people who will support the future		Acquisition and development of human resources who “continuously think and act for the benefit of others” based on the Toyota Philosophy
	🗨️ Dialogue with employees			Translate dialogues between the company and employees of mutual trust/responsibility into action
	👤 DE&I	Respect the individuality of each person and strive to enable diverse ways of contributing		Create corporate culture where all people working for Toyota feel respected, and can demonstrate their uniqueness, strength, and abilities, while embracing their diverse talents and values
	👤 Labor practices	• Supporting individual well-being • Building a better society through sports		Contribute to the peace of mind of employees and the sustainable growth of local communities through stable employment and maintaining/improving labor conditions
	👤 Health and safety			Eliminate all kinds of unsafety by fostering company-wide safety culture, while protecting good health and well-being of employees and their families
Strong Production & Business Operation	🔗 Risk management	Risk management	• Product- and region-centric business • Enhancing corporate governance • DX	Create a system that supports taking on new challenges in the face of uncertainty
	🔗 Compliance	Ensuring full compliance with all applicable laws/regulations		All people working at Toyota act with integrity to fulfill expectations from the society

Sustainability Issues and Initiatives: Materiality

Major Themes of Sustainability Initiatives

President Koji Sato has identified the following key initiatives to carry out in order to address our material issues. These key initiatives were selected with a focus on the next decade and beyond and because, although they should be tackled immediately, they span multiple functions or present challenges in terms of decision-making on an individual corporate function basis, due to such factors as a lack of short-term cost-effectiveness. Sustainability issues cannot be resolved overnight, and it will take a certain amount of time before our initiatives result in tangible improvements. At Toyota, we place the utmost importance on pursuing practical solutions to sustainability issues, guided by the idea of taking action today for the people of tomorrow. Together with all Group employees, we will strive to address our material issues while taking steps in our day-to-day work to achieve our vision for the future.

Promoting the active role of diverse human resources	At Toyota, we aim to promote Active Contribution by All by maximizing the diverse talents, strengths, and abilities of each team member to deliver better value to our customers. To that end, we are working to bolster systems and initiatives from the perspective of establishing employee-friendly and fulfilling work environments. We are also striving to enhance the awareness of all Toyota employees. Moreover, to empower female employees, we aim to eliminate differences in the turnover rate between male and female employees, which is a significant issue across the automotive industry. Page 140 Diversity, Equity, and Inclusion
Dramatically improving plant environments and reforming workstyles	Amid the ongoing issue of the declining workforce in Japan, we will transform the environment of our plants with the aim of realizing sustainable <i>monozukuri</i> centered on productivity and fulfillment. In this way, we will create attractive work environments that allow employees to experience the enjoyment and happiness of manufacturing. Page 51 Factories of the Future
Strengthening initiatives toward carbon neutrality, including for vehicle ownership	Guided by the multi-pathway strategy, we have made it our social mission to realize a carbon-neutral society that leaves no one behind and are advancing initiatives therein. For us to achieve carbon neutrality, we must focus on not only new vehicles but also vehicles customers already own and use. By demonstrating leadership, we will lay the groundwork toward realizing a carbon-neutral world. Page 55 Toyota's Vision for Carbon Neutrality: Overview of the Multi-Pathway Strategy
Pursuing comprehensive corporate digital transformation	Toyota aims to realize an affluent mobility society where cars, people, goods and services, and information are all interconnected in a manner that delivers greater peace of mind and convenience in people's lives. To pursue a broad range of efforts and accelerate innovations aimed at achieving such a society, we must establish an information infrastructure via digital transformation. As the first step in doing so, we will build a comprehensive information management system that goes beyond corporate functions to form linkages between everything from development to sales and after-sales services. Page 154 Comprehensive Corporate Digital Transformation
Promoting a circular economy	The automotive industry requires vast resources, and it is therefore essential that we promote a circular economy from various perspectives, including the environment, human rights, and economic security. As the first step in carefully managing valuable resources, we are working to build new ecosystems together with all of our stakeholders through development, production, sales, and recovery activities based on a circular economy. Page 76 Circular Economy

The Toyota Group's Vision:

"Inventing Our Path Forward, Together"

On January 30, 2024, Chairman Akio Toyoda addressed an audience of chairmen, presidents, and frontline leaders from 17 Toyota Group companies at the Toyota Commemorative Museum of Industry and Technology, outlining his vision for the Group's future direction and reflecting on the aspirations of our predecessors and on the core duty of an automobile manufacturer. Chairman Toyoda also set forth the attitudes needed to be embraced by Toyota Group employees in the future.

Committing to Our Next Step Forward

One of the reasons I invited everyone here to the Toyota Commemorative Museum of Industry and Technology, which is rich in Toyota Group history, is because I wanted us all to consider what lies ahead.

Let's follow the threads of history back to August 27, 1945, less than two weeks after the war's end. On this day, the Toyota Group's holding company, Toyoda Sangyo, held its first postwar board meeting.

All those in attendance had sustained the Company since its founding.

When they met immediately after the war, what did they discuss?

At that time, the Toyota Group was making a major shift in its business areas, from the textile industry to automobiles and machinery manufacturing, primarily for aircraft production.

With the end of the war, demand for machinery manufacturing instantly dried up, and the Group urgently needed to figure out how it would operate.

This board meeting was of tremendous significance in determining the direction of the entire Toyota Group.

The session was held not at the Toyoda Sangyo head office, but rather at Toyoda Automatic Loom Works, the Group's spiritual core.

When faced with a crisis, everyone comes together and returns to the Company's origins.

I believe that's how our forefathers overcame numerous crises.

And now the same is needed of us.

Today, I stand here in the hope that, on this day, the Toyota Group will commit to our next step.



The Toyota Group's Vision: "Inventing Our Path Forward, Together" | Our Founding Spirit | Toyoda Principles and Toyota Philosophy | Toyota Production System | Making Ever-Better Cars | Toyota and Sports

The Toyota Group's Vision: "Inventing Our Path Forward, Together"

Passion for Invention Is the Toyota Group's True Starting Point.

The chart below depicts the Toyota Group's lineage, starting with the establishment of Toyoda Shoten in 1895.

Eager to ease the burden on his mother, Sakichi Toyoda immersed himself in researching weaving machines, and in 1890 he invented the Toyoda Wooden Hand Loom.

Thinking of others, learning, honing skills, making things, and bringing smiles to people's faces—I believe that this passion

and attitude toward invention is truly the Toyota Group's starting point.

From there, Toyoda Boshoku and Toyoda Automatic Loom Works were established, extending the Company vertically like the warp threads on a loom.

In the 1930s, Kiichiro Toyoda began to get actively involved in the business.

"It is not just about making automobiles. With Japanese ideas and skills, we must create an automobile industry for Japan."

At that time, the technological standards of Japanese industry were lagging far behind the West.

He, therefore, sought to revamp the country's industrial base by producing automobiles domestically.

In addition to automobiles, Kiichiro studied aircraft. He is said to have told his son, Shoichiro, to "build a house no fire can burn down."

What Kiichiro wanted to create was happiness for the people of Japan and a future that allowed the next generation to dream.

Of course, neither an automobile nor the future can be created by a single person.

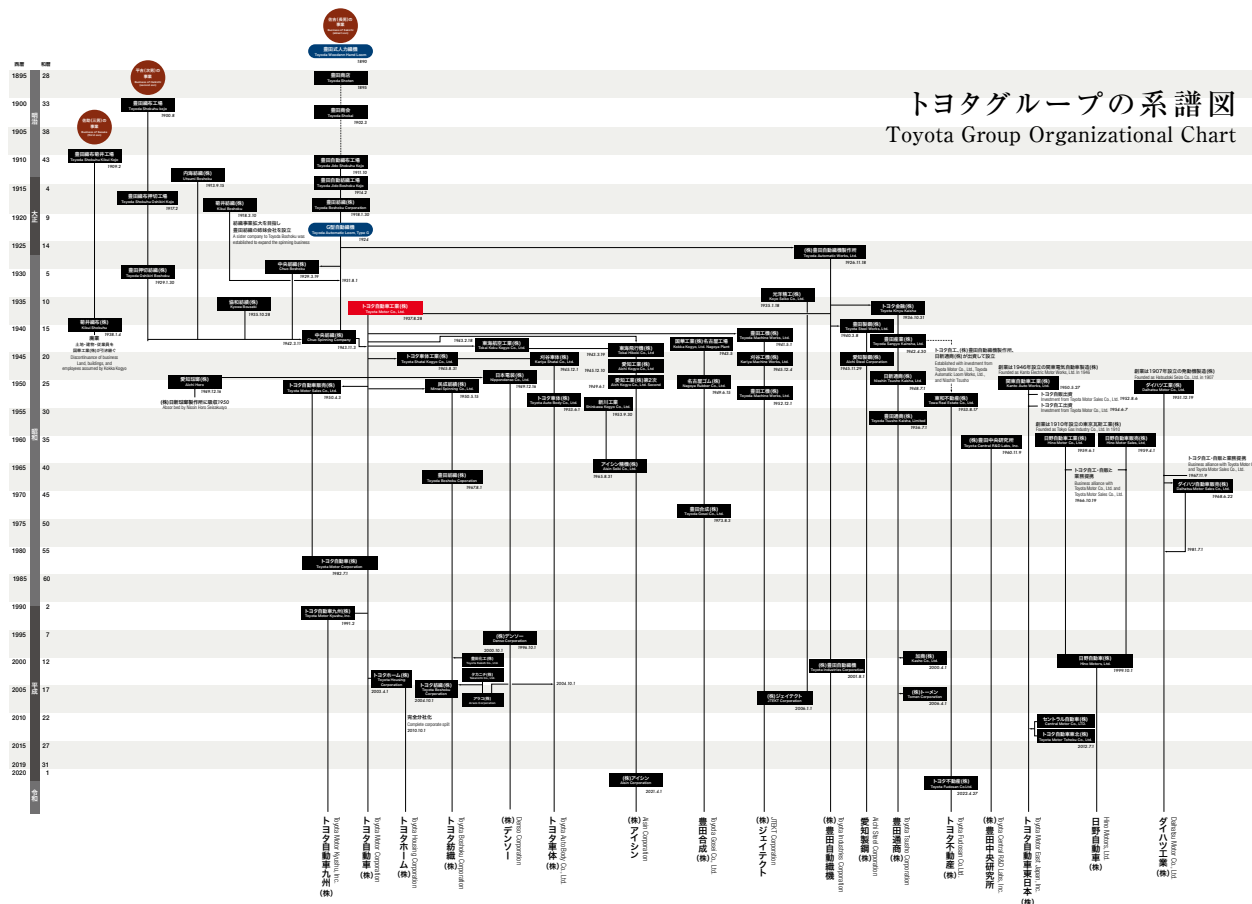
We need partners to share the struggle, to encourage and elevate each other.

Many companies in the parts, steel, rubber, and electronics industries started following in Toyoda's footsteps.

Not all bore the Toyoda name.

Despite their different backgrounds, Toyota joined forces with partners who possessed a shared purpose: to establish an automobile industry.

トヨタグループの系譜図
Toyota Group Organizational Chart



The Toyota Group's Vision: "Inventing Our Path Forward, Together" | Our Founding Spirit | Toyoda Principles and Toyota Philosophy | Toyota Production System | Making Ever-Better Cars | Toyota and Sports

The Toyota Group's Vision: "Inventing Our Path Forward, Together"

As we formed alliances with companies possessing their own unique character and strengths, the Toyota Group's lineage extended horizontally, like the weft on a loom.

The Company's Founding Spirit, the Carmaker's Core Duty

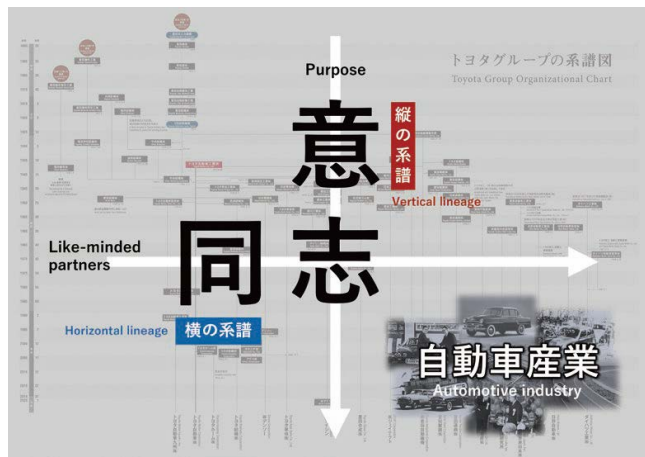
Next, please look at the lineage chart.

In the Group's vertical and horizontal expansions, I found distinct meanings.

Our vertical lineage continues to evolve through our unwavering commitment to paving the way for the future.

And our horizontal lineage continues to evolve together with our like-minded partners.

You could say we have been operating in an automobile industry that was woven together by the vertical and horizontal threads spun by our predecessors.



Do we understand and appreciate how fortunate we are?

I think the first to forget this sentiment was none other than Toyota Motor Corporation.

To make the mobility that sustains people's lives more enjoyable and richer, we need to make ever-better cars.

This is the Company's founding spirit and our core duty as a carmaker.

However, somewhere along the way, we turned into a company that prioritizes volumes and profits—a company that makes money, not cars.

When the numbers go up, you get showered with praise. And people want to be praised. No one can criticize that desire.

What we must consider, however, is where those volumes and profits are coming from.

If you merely reap from the fields seeded, plowed, and cultivated by those who came before, such a business cannot last long.

That was the case at Toyota Motor Corporation when I first became president.

The 2008 global financial crisis caused us to fall into the red for the first time in the Company's history, causing trouble for the many people who support the automobile industry.

Furthermore, global recalls caused us to lose the trust of our customers, which is of the utmost importance to us.

I considered Toyota Motor Corporation to have collapsed at that point.

Over the next 14 years I gave my all, and together with our partners managed to rebuild the Company to the point where

we can once more be called a carmaker. And yet, if we are not careful, I think we will soon find ourselves back in the same situation.

The Toyota Group's Path Forward

This is not just about Toyota Motor Corporation.

Given the horizontal threads that connect us so closely, I believe that, just as Toyota Motor Corporation lost sight of its origins, the same thing is now happening at other Group companies.

When a crisis threatens a company's survival, as managers, we are always given two paths.

One heads for short-term success via stopgap measures and all-or-nothing bets.

The other leads back to the founding origins that give our existence meaning.

For us, there is only one right path—returning to the Company's starting point and fixing what had gone wrong with our character.

Yet, that is not all.

At the same time, we must always continue to sow seeds and take on new challenges for the future.

Personally, while continuing the fight to restore Toyota's essence, I vowed not to stop sowing seeds for the future, including the Toyota New Global Architecture and other R&D investments, as well as building partnerships in new fields. I carried on with unwavering commitment.

The Toyota Group's Vision: "Inventing Our Path Forward, Together"

Because such efforts weave the vertical warp threads of our lineage.

Sowing seeds does not grant immediate results. However, you also don't need to struggle alone.

Our forefathers left us Toyota's horizontal weft threads of our lineage.

Today, I am truly grateful for these connecting threads.

The future is something we all build together.

Creating Mutual Gratitude and Being Needed in the Future

Although the history of our companies and the products we make are different, I believe that all of us here share the same love and passion for *monozukuri* (manufacturing) and the same desire to make the world's children happy.

The Toyota Group's essence is about valuing the origin and character of each company and engaging earnestly and honestly with *monozukuri*.

That is, loving humanity and serving society.

With this in mind, I have formulated a vision to which all of us at the Toyota Group can return.

"Inventing our path forward, together."

Even as times change, the spirit of invention—a desire to create something better—has been passed down to us through the generations.

I believe these are our true roots.

We should all embrace the spirit of invention within us, think of others, hone our skills, and continue to make the right things.

By doing so, we will build a culture of mutual gratitude and ensure the Toyota Group is needed in the future.

I have put together a list of ideals to guide our way.

- Aim high and care deeply.
- Trust and uplift your colleagues.
- Endlessly improve your craft.
- Honesty first, integrity always.
- Connect and collaborate.

We Create the Path.

The world we live in is undergoing a once-in-a-century transformation.

A time when there is no right answer.

Instead of seeking instant recognition, wouldn't it be great to receive a "thank you" from those who will live in the future and those who paved the path that brought us here?

In this age of constant division, conflict, discord, and vilification, wouldn't you like to show how adults can live for the sake of children, for someone other than ourselves, and for the future?

A path was left for us by those who came before. But as yet, no path lies ahead.

It is up to us to create it.

"Inventing Our Path Forward, Together"

With mobility as our core business, we will bring smiles to people around the world.

We will build a future in which the children of tomorrow can dream more freely and more richly.

To everyone at the Toyota Group: let's invent our path forward, together.

次の道を発明しよう

Inventing our path forward, together

誰かを思い、力を尽くそう。
Aim high and care deeply.

仲間を信じ、支えあおう。
Trust and uplift your colleagues.

技を磨き、より良くしよう。
Endlessly improve your craft.

誠実を貫き、正しくつくろう。
Honesty first, integrity always.

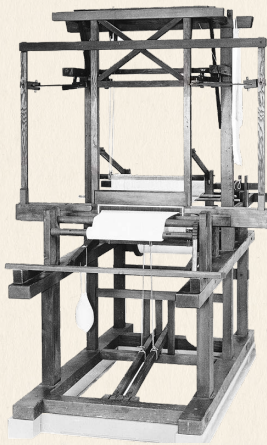
対話を重ね、みんなで動こう。
Connect and collaborate.

Our Founding Spirit

For the Sake of Others

Origins in Our Founder's Seeking to Ease His Mother's Burden

Sakichi Toyoda, the founder of the Toyota Group, was born the son of a carpenter in the village of Yamaguchi, now part of Kosai City, Shizuoka Prefecture, in 1867. Full of curiosity, Sakichi is said to have spent his early years reading a wide range of books, always thinking of ways he could contribute to society. One day, he came to realize how his mother toiled at her loom late into every night and he wondered if there might be a way to make her work easier. At the time, weaving was a laborious process, requiring the use of both hands and legs to control the threads of warp and weft in sequence. This desire to ease his mother's burden led Sakichi to invent his first loom at the young age of 23. This loom, the Toyoda Wooden Hand Loom, could be operated with only one hand and realized significant increases in efficiency. Sakichi obtained a patent for the loom in May 1891.



Toyoda Wooden Hand Loom, Sakichi's first invention (Photograph provided by the Toyota Commemorative Museum of Industry and Technology)

In pursuit of greater increases in capacity, Sakichi undertook the development of a powered loom, eventually inventing Japan's first, the Toyoda Power Loom. He received a patent for this loom in August 1898.

Sakichi continued to invent and refine looms for more than two decades, with his efforts culminating in the invention of the Non-Stop Shuttle Change Toyoda Automatic Loom, Type G. Completed in 1924, this loom was created together with his son, Kiichiro.

At the time, automatic looms required operators' constant attention as there was no way of knowing when a thread may break or another irregularity might occur. The Type G automatic loom, meanwhile, was equipped with a mechanism for detecting when a warp or weft thread ran out or broke, automatically stopping the loom in such cases.

Moreover, the Type G was capable of automatically changing the loom's shuttle when the weft thread was close to running out. Previously, to change the shuttles holding the weft thread, operators were required to use their mouths to suck the end of the thread through the eye of the shuttle. It was thus common for operators to inhale cotton dust and develop lung complications as a result. The Type G employed an innovative method to pull the thread through a simple hand-based action that took advantage of the thread's tension.



Type G automatic loom

Kiichiro inherited his father Sakichi's passion for serving others and making their work easier—as seen in the consideration Sakichi showed for his mother and his employees who launched his career as an inventor—and this spirit remains a core value of Toyota today.

The Type G automatic loom boasted the pinnacle for performance among the looms of the time, increasing productivity more than twentyfold and dramatically increasing textile quality in comparison with other existing looms. The success of the Type G fueled the drive that would lead Kiichiro to devote his life to establishing a Japanese automotive industry more than 80 years ago, at a time when it was considered impossible to conduct automobile production in Japan.

Creation of a Japanese Automotive Industry Through Domestic Automobile Production

Kiichiro Toyoda, the son of Sakichi, was born in 1894. After graduating from university in 1921, he joined his father's company, Toyoda Boshoku. At this company, he made his first trip to Europe and the United States. Ford Model Ts were a common sight on streets in the United States in the 1920s, symbolizing the dawn of the automotive era. At this time, Japan was also witnessing a gradual rise in the number of imported automobiles, though only people of wealth or high social status were able to use vehicles.

Kiichiro was already determined to establish a Japanese automotive industry through the domestic production of automobiles. In 1926, Kiichiro became a managing director of newly established Toyoda Automatic Loom Works, Ltd. It was at this time that he began researching automobiles in earnest. Subsequently, Toyoda Automatic Loom Works went on to establish an automotive department in September 1933 and enter the automotive

The Toyota Group's Vision: "Inventing Our Path Forward, Together" | **Our Founding Spirit** | Toyoda Principles and Toyota Philosophy | Toyota Production System | Making Ever-Better Cars | Toyota and Sports

Our Founding Spirit



Ceremony commemorating the completion of the Model A1 prototype passenger car

business officially in 1934, completing its first engine prototype soon thereafter.

The first Toyoda Model A1 prototype passenger car was completed in 1935, and the Toyoda Model G1 Truck was announced in the same year. The following year, mass production of the Model AA passenger car commenced. Later, in 1937, Toyota Motor Co., Ltd. was established, and Kiichiro became its president in 1941.

Management Crisis, Labor Disputes, and Commitment to Providing Employment

In postwar 1949 Japan, rapid stabilization of prices triggered a reduction in the currency supply, which in turn sparked serious shortages in funds for industry and led to what would become known as the Dodge Line Recession. During this recession, the officially fixed price of automobiles remained unchanged, even as

the prices of iron, steel, and other materials rose, striking a devastating blow to the profitability of Japan's automotive industry.

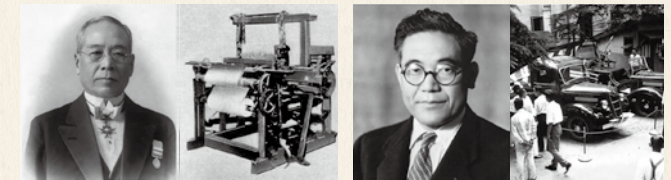
In a move to overcome this crisis, Toyota Motor and its labor union signed a memorandum in December 1949 stating that the Company was at all costs to avoid job cuts as a means of dealing with the crisis. Kiichiro had faced employment issues at Toyoda Automatic Loom Works during the Showa Depression in 1930, and this experience cemented his commitment to never again allow such a situation to arise. Entry into the automotive business was, in part, a means of diversifying operations with the goal of preventing any recurrence of employment problems. He was thus firm in his resolve to avoid job cuts at all costs, even in the face of the 1949 management crisis.

Negotiations with the Bank of Japan regarding a reconstruction plan for Toyota Motor began in January 1950. In April of that year, Toyota Motor Sales Co., Ltd. was established to resolve the problem of delays in payments for vehicles, a major cause of the Company's financial troubles. Far from improving, however, the situation worsened further. With no signs of improvements in performance, labor-management negotiations with the Toyota Motor labor union escalated into a protracted dispute. During collective bargaining that April, the Company proposed a reconstruction plan that focused on job cuts. The labor union, however, expressed its dissatisfaction with the plan, and the dispute continued for another month and a half until a memorandum was finally signed in June.

Accepting responsibility for the labor disputes, Kiichiro Toyoda stepped down from his position as president of the Company in May 1950. In March 1952, he agreed to make his much-awaited return to the position. However, he passed away before he could do so, at the age of 57. Nevertheless, his aspirations were kept

alive by his colleagues, who upheld his commitment to realizing an entirely made-in-Japan vehicle, even as other Japanese automobile manufacturers formed technical alliances with U.S. and European manufacturers. These efforts led to the 1955 launch of the Toyopet Crown, the first passenger car to be developed and built entirely in Japan, a long-held dream of Kiichiro.

Enduring Spirit of Sakichi and Kiichiro Toyoda



Sakichi Toyoda

Kiichiro Toyoda

Born into a poor farming family, Sakichi Toyoda was driven by his desire to make others' work easier. Such was his desire, he pursued the self-learning that enabled him to invent automatic looms and eventually build the foundations of Toyota. His son, Kiichiro Toyoda, was not content to merely follow the easy path his father had laid out for him. Rather, he took on the challenge of producing automobiles in Japan, something that was considered impossible at the time, overcoming tremendous social changes as he built the Company and consequently the foundations of Japan's automotive industry. The spirit they embodied—of striving to stay ahead of the times and endeavoring to be studious and creative for the betterment of lives and society—lives on in Toyota today and has become a core part of the Toyota identity.

The Toyota Group's Vision: "Inventing Our Path Forward, Together" | Our Founding Spirit | **Toyota Principles and Toyota Philosophy** | Toyota Production System | Making Ever-Better Cars | Toyota and Sports

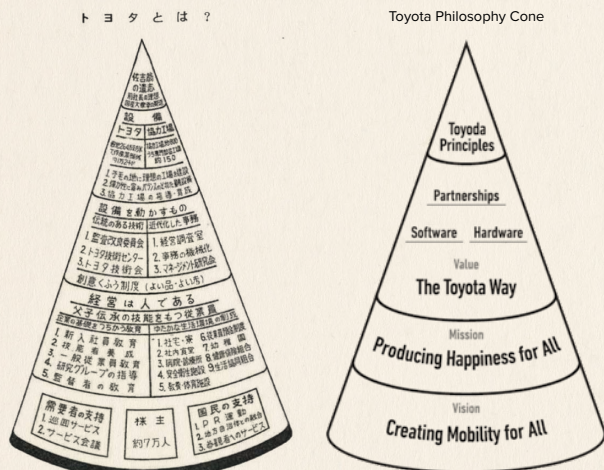
Toyota Principles and Toyota Philosophy

In 1935, five years after the passing of Sakichi Toyoda, the Company had grown to more than 10,000 employees, welcoming many new employees as it developed its automotive business in earnest. To accommodate this broadening employee base, a way was needed to convey Sakichi's principles to all employees and confirm that these principles are being embodied in every aspect of their work. It was this need that led to the formulation of the Toyota Principles.

In addition, the management team that took over after the resignation of Kiichiro, Sakichi's son, further codified the Toyota Philosophy, encompassing Toyota's values, priorities, and strengths, to answer the fundamental question "What is Toyota?" and to ensure that we never lose sight of our origins.

The automotive industry is undergoing a once-in-a-century transformation. In the same way that Toyota transitioned from a loom manufacturer to an automobile manufacturer, the Company is now once again reinventing itself as a mobility company.

Thus, we have created the Toyota Philosophy Cone—a graphical representation of the Toyota Philosophy presented in a shape that evokes both the spools of thread used in looms and the traffic cones used to direct cars—to serve as a signpost to guide our steps in this era of uncertainty.



DNA Toyota's basic principles—Toyota Principles

The Toyota Principles, or Five Main Principles of Toyota, have always formed the core tenants of the Toyota Group and functioned as the basic principles underpinning the corporate philosophies of all Toyota Group companies and the actions of all employees.

Modern Interpretation

- We unite as one team regardless of rank in order to contribute to our people, society, and communities.
- We develop and learn from outstanding ideas and cutting-edge technologies across the world. We enhance our capabilities utilizing our own wisdom and create new value to continue to lead the change.
- We focus on work that is value-adding, with integrity and practicality, by avoiding superficial matters.
- We build a sense of community and promote the personal growth of our people while valuing mutual trust and equal partnership with our stakeholders.
- We show humility for the support of our business by our valued stakeholders and society while also respecting the diversity of the world.



Toyota Principles



Value Value that Toyota can promise to stakeholders—Toyota Way

Our goal is to transform mobility into new possibilities for society, but the road toward reaching this destination will not always be easy.

Together with an exhaustive commitment to *monozukuri* (manufacturing), we must also exercise our imagination regarding the possibilities of people and society. These tangible and intangible aspects together power Toyota.

Our imagination is a tool for refining our *monozukuri*, and our *monozukuri* sparks new inspirations that drive our imagination. In advancing this cycle, it is essential to adopt the perspectives of others and to seek to accommodate their needs.

We work with our stakeholders and partners, each elevating the other, uniting our strengths to create new and unique value. This is New Toyota Way 2020.



Mission Toyota's mission since its founding—Producing happiness for all

Born into a family of poor farmers, Sakichi Toyoda built the bedrock of the Toyota we know today by teaching himself the skills needed to invent the Toyoda Power Loom. Abandoning the easy path left by his father, Kiichiro Toyoda took on the challenge of making automobiles, despite many saying it was impossible at the time.

Their aspirations were carried on by their colleagues and those who came after them to shape the Toyota of today. Their true aim was to produce happiness for any customer who used their products as well as happiness for every person involved in the work related to those products. At the core of their aspirations was the mission of producing happiness for all.

However, during Toyota's long history, there have been times when we focused more on numbers than on people, particularly during our period of rapid expansion in the late 20th century when we faced many problems, including quality concerns and trade friction.

Let us not forget that there are some things that machines cannot create. Only humans can invest the time and energy to bring life to such things. We strive to stay ahead of the times, endeavoring to be studious and creative for the betterment of lives and society. By leveraging our technological prowess, we bring a future of convenience and happiness within the reach of all. This is our mission—producing happiness for all—and the core of what makes us Toyota.



Vision The future vision that Toyota aspires to—Creating mobility for all

Toyota strives to increase the mobility of people and things to unlock new possibilities for people, companies, municipalities, and communities while maintaining a sustainable and harmonious relationship with the planet. This is our new destination.

The development of the automotive industry has made mobility more accessible, bringing people and society closer. As a result, more people than ever can now experience mobility and with it the joy of driving.

Nevertheless, there is still so much that mobility can do to eliminate inconveniences and make the impossible possible.

"To move" can refer to physical motion as well as to the experience of being emotionally moved. In other words, mobility has the power to move not only things but also hearts, minds, and bodies and even society itself.

Toyota Production System



What is the
Toyota
Production
System?

Akio Toyoda's View

1. Desire to Make Others' Work Easier

There are two key concepts that have remained a core part of the Company even before the birth of the Toyota Motor Corporation we know today: "just-in-time" and "automation with a human touch."

Our history of automation can be traced back to the automatic loom developed by the Company's founder, Sakichi Toyoda. The first loom Sakichi made was based on his desire to help ease the burden on his mother, who toiled long into every night at her loom. This automatic loom could be operated using only one

hand, a breakthrough innovation at a time when looms required the use of both hands to control the threads of warp and weft. Sakichi's loom thus dramatically improved productivity.

These concepts shaped the Toyota Production System (TPS). People often think of TPS as being a process of making things more efficient, and TPS is often spoken of as though its main purpose was the transformation of work processes to improve efficiency. In truth, however, the purpose of TPS is to make others' work easier.

2. Main Purpose Outside of Productivity Improvements

The Type G automatic loom is the machine that helped transform the structure of Toyota's business.

At the time, each automatic loom needed to be monitored by one operator at all times. Operators were the "guards" of their machines, and that was because they were unable to predict abnormalities.

The most common abnormalities were when automatic looms would run out of thread or when the thread would break. The Type G was able to detect such abnormalities, even at this time before sensors.

The Type G was also capable of automatically changing the loom's shuttle when the thread ran out to another shuttle with a new thread. As the shuttle needs to have the end of the thread sticking out, prior to the invention of this machine, it was necessary for operators to use their mouths to suck the end of the thread through the eye of the shuttle. And, because there was a lot of cotton dust in the air in textile factories, it was thus common for operators to inhale this dust and develop lung complications as a result.

Another feature of the Type G was that the end of the thread would come out on its own after the thread was cut. This feature, also invented by Sakichi, eliminated the need for operators to suck out the thread.

This invention was the result of Sakichi simply exploring a desire to do something for his team members on the manufacturing front lines who were suffering damage in their lungs.

Sakichi started first by determining what constituted an abnormality and then developed a system to prevent said abnormality. This process in the end resulted in improved productivity, but the gains in productivity were not the initial goal.

Toyota Production System

3. Akio Toyoda's View on Automation

For Chairman of the Board of Directors Akio Toyoda, automation is about being centered on people, thinking from the perspective of people working at a company. One cannot just order improvements to efficiency or reductions to staff from the safety of a position removed from the front lines.

At Toyota, we embrace the concept of adjusting the amount of work per person to match the full output of one unit of manpower.

There are only 24 hours in a day, and this applies equally to everyone. Employees spend a lot of that time devoted to work for

a company. For this reason, it is important for supervisors to ensure that the work being done by team members is as meaningful as possible.

Efforts are being made on the front lines of Toyota's manufacturing operations to increase the amount of time devoted to work that creates value and to reduce time spent waiting or redoing tasks.

The focus, which is about valuing each person's time, is on creating more free time for workers by eliminating wasted time in work processes to reduce overtime.

4. Akio Toyoda's Understanding of Just-in-Time

Just-in-time is a concept introduced by Kiichiro Toyoda, son of Sakichi Toyoda and founder of Toyota Motor Corporation. A phrase that is commonly used when explaining the concept of just-in-time is "provide what is needed, when needed, in the amount needed."

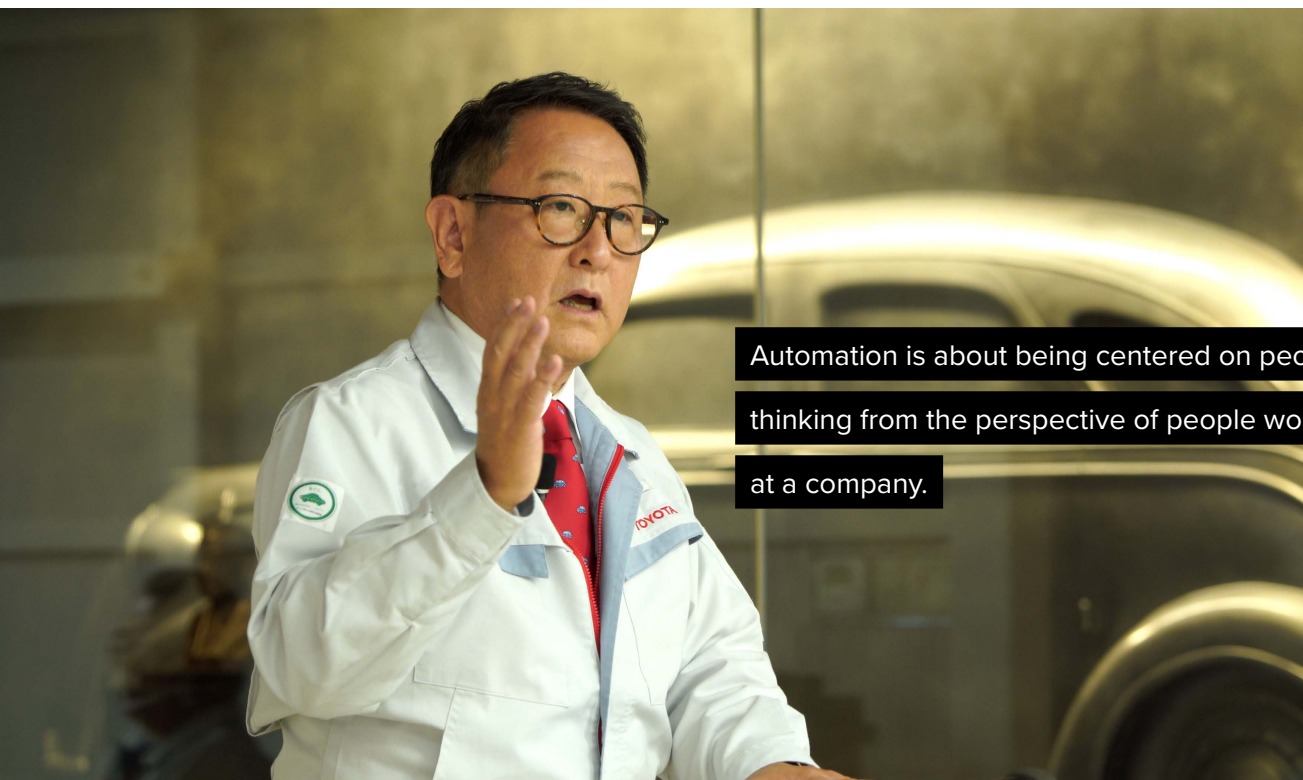
Chairman Akio Toyoda, however, chooses to explain this concept by using the term "lead time," which refers to the amount of time required between the receipt of an order and the delivery of that ordered product or service.

Toyota serves over 10 million customers a year, and it is impossible for us to accurately understand the needs of each of these customers.

Accordingly, responding to these needs requires a framework that allows us to detect abnormalities right away and halt the pipeline in the event of an abnormality so that we can rectify problems and make improvements quickly. This is the reason why just-in-time is so important, and the idea of lead time is the most effective tool for explaining this importance.

If we take sushi as an example, supermarkets sell ready-to-eat sushi, for which they stock inventories. On the other hand, sushi restaurants, where a chef prepares sushi right in front of the customer, do not have such inventories of pre-made sushi. When chefs receive an order, they reach for the necessary ingredients, then cut and otherwise prepare those ingredients, before serving the finished sushi to the customer. A short lead time makes that possible.

We may be able to deliver cars to customers just in time if we maintain a stock of all the necessary items, but that is not realistic. Nevertheless, we cannot give up on this idea; we must continue working to provide just-in-time deliveries while constantly shortening lead times.



Automation is about being centered on people,
thinking from the perspective of people working
at a company.

Making Ever-Better Cars

Product-Centered Management

In fiscal 2009, Toyota recorded its first operating loss since its founding. In the past, Toyota had demonstrated the tenacity needed to weather seemingly any crisis, including the 1970s energy crisis and the collapse of Japan's asset price bubble, without incurring an operating loss. Despite the significance of the impacts of the global financial crisis triggered by the bankruptcy of Lehman Brothers and the subsequent global recession, this operating loss still clearly indicated the fragility of Toyota's earnings structure and corporate constitution. The operating loss at Toyota struck a massive blow to not only the automotive industry but also the economies of numerous countries and regions.

It was at this time that Akio Toyoda, the current chairman, assumed the position of president of Toyota. The message he communicated to employees was incredibly simple: "Let's make ever-better cars." Accomplishing this goal, however, would require Toyota to transition to a product lineup shaped by regional organizations, as opposed to the head office in Japan.

Recognizing this fact, Toyoda appointed regional CEOs who were well versed on their respective regions and personally took part in the frontline development of products that could win the favor of customers in specific regions. Toyota was thus reborn as an automotive manufacturer boasting a full, global lineup.

Toyoda's vision of "Making ever-better cars" is now enshrined as a core part of Toyota's global identity, shaping our motorsports activities, our carbon-neutrality initiatives, and even the world itself.

Product-centered management is imperative to the making of ever-better cars.

At the November 2021 Nationwide Toyota Dealers Convention, Chairman Toyoda spoke about product-centered management as follows.

Over the decades, Toyota has provided society with a wide range of products aimed at meeting customer needs, beginning with the Toyoda Model AA in 1936. Looking back on our history of car-making, I see two key themes.

The first is "sports cars."

The 1960s were a key era for Toyota's sports cars.

This decade saw the birth of many sports cars that would eventually achieve legendary status, such as the Publica Sports, Sports 800, and 2000GT. Then, in the 1980s, Toyota launched the Supra, MR2, Celica, and Levin/Trueno. In this way, Toyota had created sports cars that brought together the most cutting-edge technological prowess of the era every two decades.

Why is that?

I think it was because Toyota was treating sports car development as the front line for developing the skills and knowledge that will be passed down as well as for human resource development. For Toyota, sports car development was like a rite of renewal and rebirth carried out every 20 years.

Following this cycle, the next generation of Toyota sports cars should have hit the scene in the 2000s.

They did not. Around that time, Toyota was growing its vehicle sales, mainly outside Japan, and pursuing scale expansion. Amid that push, the role of its traditional renewal and rebirth rite was forgotten, and sports cars disappeared from Toyota's vehicle lineup.

I was not the only one who sensed how dangerous this was.

Our test drivers, in fact, felt the danger more keenly than I did. I think that feeling was part of why Hiromu Naruse, then Toyota's chief test driver, told me, very frankly, that he didn't want to be



Making Ever-Better Cars | Product-Centered Management

preached to about cars by someone who didn't know anything about them. But, he said, if I were interested, he would teach me to drive.

That was the start of my journey, under the new nickname Morizo, to becoming a master driver.

From there, though a decade later, Toyota went on to develop the LFA in the 2010s, recapturing the "secret sauce," that flavor unique to Toyota and Lexus cars.

We then revived the 86 and the Supra as well, but all of these vehicles were made in collaboration with outside partners.

We still wanted to once again make a sports car that would be all our own. This dream led to the development of the GR Yaris.

For years, I have constantly been talking about "Making ever-better cars." Now, as the number of my colleagues joining me in taking action has risen, this has evolved into "Making ever-better cars from a starting point in motorsports."

The second key theme is "long sellers."

Toyota's long sellers have included the Crown and Corolla, which drove the motorization of Japan, as well as the Prius, which created the hybrid electric vehicle market. More rugged long sellers include the Land Cruiser, Hiace, and Probox. The Coaster and Century were long sellers, too.

Indeed, Toyota boasts numerous models that have been beloved by customers for decades.

Despite this, when Toyota was focusing on the number of vehicles sold and making vehicles mainly for overseas markets, the position of long-selling cars within the Company shifted greatly. The Crown and Corolla began to undergo regular model changes based solely on an annual schedule, while rugged vehicles like the Land Cruiser and Hiace no longer had model changes at all. These long-selling cars had been beloved by customers and an integral part of their lives for so long, but now it was considered unimportant for them to change or evolve.

However, I believe that only by constantly changing to meet the needs of the times can a car be a long seller. We have already begun working to reclaim this approach.



Toyota's History of Car-Making Based on Two Key Themes

1. **Sports Cars**
2. **Long Sellers**



Making Ever-Better Cars | Product-Centered Management

The Vitz, as it was known in Japan, was unified under the name Yaris, which had taken root overseas, and we expanded its lineup to include the GR Yaris and Yaris Cross. Similarly, the Corolla lineup saw the addition of the Corolla Sport and Corolla Cross. Our strategy was to build a lineup tailored to current needs while leveraging the brand strength of our long sellers.

"Let's make ever-better cars."

This idea was the impetus for the transformation of Toyota's car-making.

Three pillars supported this transformation.

The first pillar, and the first that we took on, was the Toyota New Global Architecture (TNGA).

To achieve excellent performance in the basic functions of a car—propulsion, turning, and stopping—a solid platform is essential.

However, creating a new platform and promoting standardization are not so easy. I found myself wishing that Toyota had moved away from the one-model, one-platform approach and implemented platform reforms while its sales volumes and revenues had been expanding. During the very difficult time after the 2008 global financial crisis, when Toyota fell into the red and we could not increase unit sales, we all had to grit our teeth and work even harder. The fruit of this labor was a powerful tool—the TNGA.

I believe that it is precisely because we have the TNGA that we are able to restore the sports cars and long sellers that for so many years have supported the Toyota brand to their proper places and tackle the challenge of building up their lineups.

The second pillar is the in-house company system.

A defining characteristic of Toyota is its full lineup of diverse vehicles that meet a comprehensive range of customer needs.

Offering a full lineup means that we must always have people who are passionate and responsible about creating cars in all genres, from sports cars to commercial vehicles. Ensuring this is the true objective of the in-house company system.

The lure of increasing unit sales and revenues in the short term is hard to resist. This is why we must nurture people and organizations capable of focusing and placing the highest priority on creating the cars that Toyota and society really need.

The final pillar is a figure at the top who can take final responsibility. It's embarrassing to say so myself, but I think that one thing that sets Toyota apart from other OEMs is a master driver in top management.

A president who can take responsibility for the "flavor" of the products we put out. A president who is able to definitively say "no" to projects, even ones that our development teams have worked hard on, if they don't have that unique Toyota or Lexus flavor.

Morizo, master driver, and president of Toyota.

Wearing these three hats at once, I have gone to front lines myself and worked alongside my colleagues these past 12 years. I am sure that all of that effort shows in our products.

By continuing to make ever-better cars, our brand will continue to evolve.

This is what I believe to be the essence of product-centered management.

It means not aiming to be the biggest in the world in terms of units sold, but aiming to be the best in town by creating better cars that bring smiles to customers' faces.

At first, when I spoke about making ever-better cars, few understood me, or even tried to. However, thanks to the support of my colleagues who believed in me and to the support of our dealers, I think that Toyota's products have slowly but surely changed for the better.

Going forward, we will continue to do our utmost to make ever-better cars.

I hope to convey the heart and the story of Toyota, which we put into every product, to all our dealers and as many customers as possible.

Nothing would please me more than if that story were to become one of the many new stories connecting the hearts of our dealers and customers.

The Three Pillars of Making Ever-Better Cars

1. Platform reforms via the **TNGA**
2. **An in-house company system** transforming people and organizations
3. **A master driver** in top management taking final responsibility

Making Ever-Better Cars

Making Ever-Better Cars from a Starting Point in Motorsports

Chairman Akio Toyoda has often been adding “from a starting point in motorsports” when using the phrase “making ever-better cars.” He spoke of his feelings toward this concept at the press conference held in December 2021 announcing the 2022 TOYOTA GAZOO Racing team members.

In 1952, shortly before his death, Toyota founder Kiichiro Toyoda wrote the following.

“The Japanese automobile production industry must master the art of manufacturing passenger vehicles. In order to test the durability and performance of their cars, companies ought to participate in auto races, demonstrate the full performance of their vehicles, and compete for superiority. This will both lead to progress in their vehicles and spark the enthusiasm of automobile fans. Such races must not be regarded as a simple matter of curiosity, for they are indispensable to the development of Japan’s automobile manufacturing industry.”



I think that these words provide the core principle of “making ever-better cars from a starting point in motorsports.” There were two cars that led me to this core principle. I rode in the

first of these cars with racer Kamui Kobayashi at Gamagori four months before entering the Super Taikyu 24 Hours Race. It was while I was in the car that I made up my mind to enter the race.

Although four months was hardly enough time for the engineers to prepare, I safely finished the 24-hour race as well as

three subsequent races. For each race, they continued to improve the car, making it stronger and faster.

The other car is the GR Yaris.

We made this car for a specific purpose: to win the World Rally Championship.

Until now, Toyota has made its race cars by modifying its mass production cars. That was the limit of what we could do.

The GR Yaris is our attempt to flip this approach by designing a race car from the ground up. From the initial stages of development, we reached out to professional drivers to have them drive the car. When problems came to light during their drives, they were fixed, and then we had them drive the car again. Development progressed nimbly, and the car evolved into one that is fun to drive. As Morizo (my driver name), I partnered with this car on the Gamagori dirt course for training to hone my driving skills.

Drive it, break it, fix it, strengthen it, drive it again, and break it again.

By repeating this process, the engineers not only advanced the car’s development, but also changed themselves. I think that they came to understand Kiichiro’s words not just intellectually but in a deeper, visceral way.

Come to think of it, it has been 14 years since Hiromu Naruse and I drove used Altezzas in the 24 Hours of Nurburgring endurance race. Racing on the streets toughens people up and makes cars stronger. I want to enable

Toyota to make cars that way again. That may be what I have been working toward all along. In 2009, when I became president, I implored our employees to make ever-better cars.

Since then, I often get asked, “What kind of cars are ever-better cars?”

I have a certain idea of what makes a better car.

It’s not necessarily the same as someone else’s idea of a better car.

What makes a better car depends on the driver. It is for this reason that cars can only be made in the streets and not at a desk. However, back in 2009, not many people understood what I meant by this. It’s not enough to simply tell someone that the streets make the car. I knew I had to show them what it means. That’s why I continued to take part in the 24 Hours of Nurburgring endurance race.



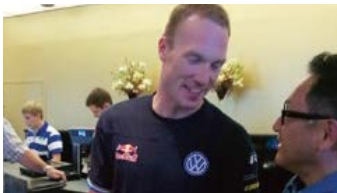
Making Ever-Better Cars | Making Ever-Better Cars from a Starting Point in Motorsports

"The streets make cars and toughen people up" became something of a catchphrase. However, changes in car-making do not happen so fast.

On the front lines, each department was focused on its own specialized area of car-making, and they were not handling the overarching car-making process as a united team.

That was when I first went to Le Mans. It was the year after the car driven by Kazuki Nakajima, which was in the lead, suffered a mechanical failure just before the finish line.

When I dropped into the pit, the drivers talked with me. In a qualifying race, Kamui Kobayashi had seized pole position with an astounding time. He passed the trophy to me while thanking me. It made me want to get closer to the drivers and race alongside them.



Racing, however, is hard.

That year, only Kazuki's car finished the race, with the team coming in 8th overall, and 2nd in its class. The other two cars had to be retired from the race. After the race, the drivers said to me, "We're sorry it won't be at the very top, but would you stand on the winner's podium with us?"

The difference between the first- and second-place podium was a height of about 70 centimeters. I thought, is this frustration—this second-place podium—the highest we can reach? I desperately wanted to help the drivers stand at the top. I wanted to

prove that Toyota could make the kind of strong car that they would want to drive. I swore to myself, standing on that podium one level down, that we would change Toyota to be capable of the kind of car-making needed to achieve that, no matter what.

That year, we took on another new challenge: the World Rally Championship, or WRC. We entrusted the task of putting together a team from scratch to Tommi Makinen. A legend himself, having won the WRC four times, he knew how to win. However, that was not the only reason I asked for his help. There were many things I wanted to learn from him, with his knowledge of a wide range of cars, including those of Mitsubishi and Subaru.

We made only one promise to each other: to make the GR Yaris at the end of the season the strongest Yaris ever. The team kept this promise.

Our current team principal, Jari-Matti Latvala, was a star driver for other teams before Toyota returned to the WRC. He was such a star, in fact, that I waited in the hotel lobby for him to come out when I first went to watch the WRC. Since then, he has helped secure numerous victories as a Toyota driver, and this season, as team principal, he achieved the Triple Crown. Over the past five years, Latvala has, without a doubt, constantly helped make the Yaris stronger as both a driver and principal.

For next year's WRC, to which Toyota will bring a new car, I am sure he will assemble a team of professionals that is like a close family and hates to lose.

Recently, I have been deliberately adding "from a starting point in motorsports" to the phrase "making ever-better cars."

For 12 years, people have told us that there's no way that Toyota can realize this kind of car-making. Now, however, Toyota has finally changed, realizing a kind of car-making in which not only its engineers and mechanics but also its professional drivers, professional engineers, and professional mechanics all work together, as a team, to advance car-making. Now that this team has come together, we have at last reached the point where we can begin making ever-better cars from a starting point in motorsports.

Motorsports are a starting point for an ever-better car.

We will leverage motorsports to make ever-better cars, from the top categories driven by professional drivers to customer motorsports vehicles driven by amateur racing drivers, the sports cars driven by our many customers, and even down to family cars, and beyond that, automated driving.

As for myself, what I know is that I love cars, and I love driving.

I am very fortunate to now have others who love cars, love driving, and are passionate about motorsports working alongside me.

“ In June 2025, Toyota participated in the 24 Hours of Nurburgring endurance race for the first time in six years and took home the class trophy with the GR Yaris. The competing car, entry 109, was equipped with the next-generation DAT* gearbox, a new technology that we were able to demonstrate through this harsh endurance race. The team, consisting of a driver, an engineer, and a mechanic, worked together to quickly deal with issues, even in the preliminary race. Master driver Morizo (Chairman Akio Toyoda) participated as a driver, embodying Toyota's principle of "making ever-better cars." Completing and winning the race are results that demonstrate the enhanced performance of the GR Yaris and Toyota's development capabilities, showing our stance of applying what we have learned on the front lines to vehicle mass production. **”**

* Direct automatic transmission

Toyota and Sports

Sports as Embodiments of the Values and Corporate Culture That Toyota Cherishes

Passion for Sports Passed Down Since Toyota's Founding

Toyota's passion for sports has been a constant since the Company's founding in 1937. That same year, founder Kiichiro Toyoda organized Toyota's first sports club: the track and field club. Since then, Toyota and its athletic clubs have grown and developed together. Chairman Akio Toyoda explains why he thinks this came to be.



Track and field club established together with the Company

“
More than 80 years ago, our founder Kiichiro Toyoda created a sports club along with the Automobile Division. But what was the sports club for? The spirit of “never giving up” and the spirit of “working for the team,” which encourages effort on behalf of others—I believe these were exactly the mindsets the founding members needed as they recklessly took on the challenge of establishing an automotive industry in Japan. Kiichiro must have felt that sports could help strengthen the values they should cherish, creating Toyota as we know it today.

”

Growth of Sports Clubs Alongside the Company

Following the track and field club, a judo club was created in 1938. As the years went on, Toyota added more sports clubs to its roster, notably soccer, rugby, and volleyball clubs. Club activities were put on hold during the war years but resumed in earnest immediately thereafter. Four clubs, including men's and women's volleyball clubs, were established in 1946 alone, and a total of twelve were set up in the five years through to 1951.

It was also in 1951 that the Company held the first-ever All-Toyota Games, an event in which Toyota Group companies competed against each other in various athletic events, demonstrating growing enthusiasm for sports activities at Toyota.

In 1964, Tokyo hosted the Olympic and Paralympic Games, a proud moment for Japan that led to increased popularity of corporate sports leagues and teams around the country. Around this time, Toyota helped establish a corporate-backed sports league, the Japan League, to allow companies from across the country to come together in friendly competition. The birth of this league helped forge ties across Japan's economic sector. It was also at this time that Toyota began expanding overseas, and its sports activities grew overseas as well alongside its business operations.

By the 1970s, Toyota had 35 different sports clubs divided among its primary working locations in Japan. For example, the Tokyo office had the basketball club, while the track and field club was in Aichi Prefecture, where the Tahara Plant is located, and at the Higashi-Fuji Technical Center in Shizuoka Prefecture it was the soccer club.

Toyota and Sports

Some of these clubs started to include athletes who participated regularly in worldwide competitions. Sports had taken a prominent position in the minds of employees at Toyota.



Opening ceremony for the All-Toyota Games in May 1965

Support That Places People and Athletes First

Through his interactions with various Para athletes, Chairman Akio Toyoda came to a certain realization. Stated in his own words, "I have become even more committed to the idea that Toyota should provide mobility solutions for all people. With this in mind, we are taking steps as a mobility company, not just by making ever-better cars but also by aiming to address various mobility needs above and beyond cars." This commitment has propelled Toyota forward with efforts to shape the future of the mobility society based on the principle of providing mobility for all and thereby creating a world that allows anyone to enjoy the freedom of movement. In this manner, we hope to help build a society in which everyone is able to participate.

As part of this quest, we concluded worldwide partner contracts with, and acted as the first mobility category partner of, the

International Olympic Committee and the International Paralympic Committee spanning four competitions over the period from 2017 to the Paris 2024 Summer Olympic Games.

The decision to sponsor these events was inspired by the commitment of then-President Toyoda to support people in enjoying their lives and chasing their dreams.

Our contracts with the International Olympic Committee and the International Paralympic Committee concluded with the Paris 2024 Summer Olympic Games, but this has not weakened our resolve to support people's lives and dreams and the efforts of athletes striving to overcome all odds to accomplish the impossible. Approximately 300 Global Team Toyota Athletes from 50 countries and regions compete in the Olympic and Paralympic Games. Going forward, we will continue to offer support that places people and athletes first by lending aid to these athletes and the staff members who assist them and by helping out with equipment development.

We believe that sports are not just about competition; first and foremost they are about bringing people together. In this spirit, we have worked with local chapters of the Special Olympics* over the years, and in 2017 we became an official global partner.

The Special Olympics strives to create a better world by fostering the acceptance and inclusion of all people through sport and promotes Unified Sports that join people with and without intellectual disabilities on the same team in order to build relationships of mutual understanding and support. We endorse this pursuit and see the opportunity to work with the Special Olympics as a way to expand our own view of the world and help create a more inclusive, harmonious society.

* The Special Olympics is an international sports organization that supports children and adults with intellectual disabilities in participating in society through the organization of regular sports training and various athletic competitions throughout the year. The victors of these competitions are announced immediately at the end of each competition, rather than victory being determined through season points or other ongoing scoring methods.

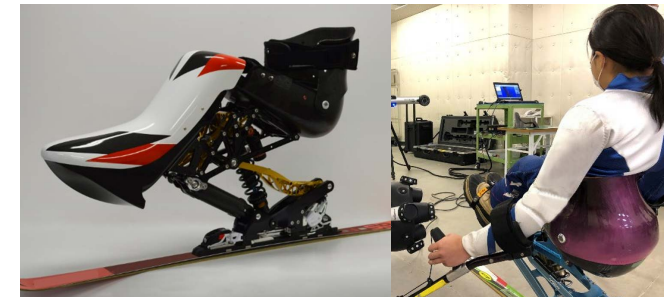
Sports as Embodiments of the Values of Toyota

Since its founding, Toyota has continued to believe in the power of sport to bring people together and boost morale, regardless of the broader business challenges it faces or how the social climate might change. We are proud of the long history of our sports teams, and we will continue to cherish them.

The values embodied in sports —taking on challenges, never giving up, working for the team, and showing respect—are also the values and corporate culture of Toyota.

Every day, across the globe, athletes demonstrate the values of hard work, determination, and perseverance.

It is our admiration for these values that continues to drive us to support the creation of a more inclusive and sustainable society in which all people can achieve the impossible.



Toyota and Sports

Let's Discover Potential Together! Opening of an Inspiring Arena

TOYOTA ARENA TOKYO opened in Aomi, the Odaiba area of Tokyo, in October 2025. The multipurpose arena, which is the home ground of the men's professional B.League basketball team ALVARK TOKYO, can provide various forms of spectator sports and entertainment. At the opening ceremony, Chairman Akio Toyoda offered the following words.



The concept of TOYOTA ARENA TOKYO is "discovering potential together." I hope this arena becomes a place where people, especially young people, discover their potential in sports and music.



Three Pillars of the Arena

1 Sports

First, in the sports domain, we are focused on pursuing original viewing experiences for customers at a completely new spectator arena. We have positioned the seats so that they all face the court, ensuring that spectators can directly view the action on the court, regardless of where they are seated. Furthermore, we have created hospitality spaces where customers can enjoy hospitality, such as freshly prepared food served from an open kitchen in the TOYOTA PREMIUM LOUNGE.

2 Mobility

Second, we have created a space equipped with a vehicle elevator to bring in food trucks and e-Palette on event days. Furthermore, the Toyota Group has developed a mobility service company in collaboration with Tokyo Metropolis that operates in Symbol Promenade Park in front of the arena. We are striving to work together with the surrounding businesses to solve community issues and create a lively atmosphere through mobility that utilizes our e-Palette and C+walk.

3 Sustainability

Finally, regarding sustainability, we have recycled worn-out sneakers and basketball shoes and utilized the materials in parts of the outdoor basketball court in the adidas SPORTS PARK.

Additionally, we have greenified 40% of the site by planting over 5,000 m² of TM9 natural grass (developed by Toyota) on the arena roof and more than 400 trees and other plants in the area surrounding the arena. We have also acquired two forms of environmental certification.*

* Leadership in Energy and Environmental Design (LEED) v4 for Building Design and Construction GOLD certification and Building-Housing Energy-efficiency Labeling System (BELS) and Net Zero Energy Building (ZEB) certification (BEI value of 0.45)



TOYOTA ARENA TOKYO is a dream destination for people who love sports, including basketball, and entertainment. We will create a community together with all our fans and the people who live, work in, and visit this area that is lively all year round and aim for the arena to become a place to unleash countless possibilities in terms of sports, mobility, and community.

We have created a canvas to share inspiration and excitement. We see TOYOTA ARENA TOKYO as a venue that we will continue to build together and hope you will help bring it to life.

Five-Brand Strategy | Century

Century

Japan Mobility Show 2025 opened to the public at the end of 2025. At the event, the Century was unveiled as the inaugural model of a new brand. The brand's goal is to share the pride of Japan with the world. Chairman Akio Toyoda proclaimed that the new brand would take on the challenge of shaping the next 100 years from Japan.



The Century Origin Story Told by Akio Toyoda

"Century stands at the pinnacle, a car in a class of its own. I believe this car was born carrying Japan on its shoulders. Today, I would like to take a moment to recount the Century story in my own words. 'It is not just about making automobiles. With Japanese ideas and skills, we must create an automobile industry for Japan.' These were the words of Kiichiro Toyoda. In the 1930s, a time when Japanese people were seen as incapable of making cars, rather than setting out to build a company called Toyota, his goal was to establish an automobile industry for Japan. He embarked on this challenge together with others who shared his vision. Then in 1938, one year after Toyota was founded, another man joined the effort. Please watch this video."

With that, a video showed how two engineers—Toyota's first chief engineer Kenya Nakamura and a young Shoichiro Toyoda—developed the original Century. With postwar reconstruction efforts making steady progress, Japan was gearing up for the Tokyo Olympics. "What we need now is a car we can proudly show on the world stage." "To be like no other." "A car that continues to inspire all who see it." Inspired by these words, Century's development team combined the latest technology with traditional skills and sought to reflect people's essential needs and aspirations.

Five-Brand Strategy | Century

Century

However, the initial development of Century presented many challenges. Led by Kenya Nakamura and Shoichiro Toyoda, the development team stayed at the bachelors' dormitory of the Kanto Auto Works* Higashi-Fuji Plant. After many hours of working overtime and working all night, they brought the first-generation Century into the world. Following the video that outlined this history, Chairman Akio Toyoda resumed his narrative.

* The predecessor of Toyota Motor East Japan

“Century’s development was overseen by Kenya Nakamura, Toyota’s first chief engineer. His determination to create a car that was ‘like no other’ was evident in every aspect of Century, from its development through to its production and sale. Development began in 1963, 30 years after Toyota began manufacturing cars and only 18 years following the war. Unsurprisingly, some wondered how Toyota, which lacked tradition or prestige, could hope to create a world-class vehicle for the pinnacle of the luxury car market. Nonetheless, Kenya Nakamura was undeterred. ‘Tradition will naturally develop with time. Let’s create a new kind of luxury car. The Achilles’ heel of today’s luxury cars is that nothing innovative can be done.’ Based on this belief, he boldly pursued fresh ideas and breakthrough technologies. At the same time, he adopted elements of Japanese culture and tradition, including Edo metal engraving on the phoenix emblem and Nishijin-ori brocade for the seat fabric. Through a fusion of new and traditional, Kenya Nakamura sought to create a car that was ‘like no other.’ Fittingly, Century became

Shoichiro Toyoda’s beloved car. He continued to use it throughout his life, beginning with the original model and then moving on to the second- and third-generation models. To each new generation of engineers, he constantly offered suggestions for improvement concerning such matters as achieving better straight-line stability on the highway or making sure the car could handle a stiff crosswind. On an almost daily basis, he continued giving instructions for improvements ‘from the back seat.’ Shoichiro Toyoda only went to such lengths for Century. Why was that? Why did Kenya Nakamura take on the challenge of developing Century—a project many at the time regarded as reckless? Here, please allow me to offer my interpretation.”

Standing center stage, Akio Toyoda recounted a statement made by Kiichiro Toyoda directly after World War II.

“In their hearts was the same passion that Kiichiro Toyoda poured into establishing the Automobile Association just three months after the war’s end. This association was the forerunner of the Automobile Business & Culture Association of Japan, in which I currently serve as chairman. On forming this association, Kiichiro Toyoda said, ‘I want to build a democratic nation that has a significant automotive industry, help with the reconstruction of a peaceful Japan, and contribute to world culture.’ These words have never left me. The mention of ‘the reconstruction of a peaceful Japan’ reflects a

commitment to benefiting society through industry—a desire to use the power of the automotive industry to restore happiness and peace to the day-to-day lives of the Japanese people. Meanwhile, ‘contribute to world culture’ means building a better society through mutual understanding and cultural exchange among different countries and peoples. What the people of Japan needed at that time, I believe, was a sense of pride in being Japanese. That is why Kenya Nakamura worked together with Shoichiro Toyoda, the son of Kiichiro Toyoda, and set out to make a car that was underpinned by Japanese tradition and skills. At the same time, he sought to create a car that could be proudly displayed on the world stage and which could contribute to world peace and cultural exchange. I believe Century was created to represent ‘the pride of Japan.’”

Five-Brand Strategy | Century

Century

Shaping the Next 100 Years



Having explained the origin story and vision behind this iconic car, Akio Toyoda turned his attention to the Japan of today, stressing that Century is needed now more than ever.

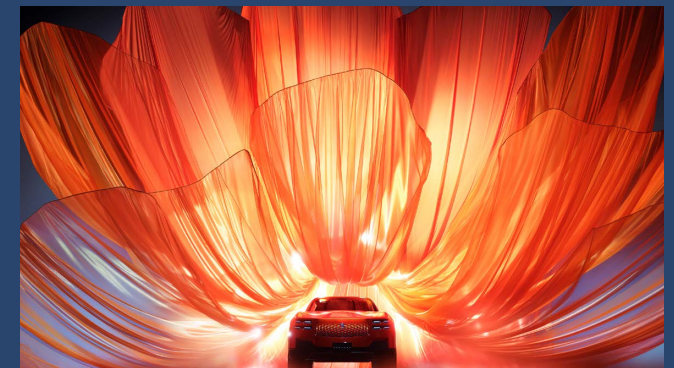
“Today, more than five decades after the birth of the inaugural Century, where does Japan find itself? The ‘Japan as No.1’ era is behind us. We are now in what has come to be known as ‘the lost 30 years.’ As a nation, Japan appears to have lost some of its energy and dynamism. In the world at large, the country’s presence seems diminished. If Kiichiro Toyoda and Kenya

Nakamura could see Japan today, what would they say? I suspect they would not say anything but instead leap into action. Kenya Nakamura is said to have angrily disagreed with a postwar media headline that declared Toyota was ‘Starting from Zero.’ ‘We did not start from zero. It is true that our facilities were destroyed, and we had no materials or money. But we had the strengths and skills that Japan had built up. That is why we were able to rebuild.’ Today, Japan has an automotive industry that operates on a global scale. Our monozukuri (manufacturing) skills have sustained the nation. We have stunning scenery that enchants people around the world, a rich food culture, and a spirit of hospitality. Today, we also have manga and anime, which have become synonymous with Japan. Likewise, in music and sports, young people continue to heighten the international profile of Japan.

“I believe that, now more than ever, we need the Century. The name ‘Century’ has been said to represent the hundredth anniversary of the Meiji era or the centennial of the birth of Sakichi Toyoda, the Toyota Group’s founder. For me, however, it refers to shaping the next 100 years. Also, Century’s emblem is a phoenix. In Japanese mythology, the phoenix only appears when the world is at peace. ‘Century’ is more than just the name of a car. It symbolizes a heartfelt desire for world peace and an endeavor to shape the next 100 years from Japan. That is what Century means to me. With Shoichiro Toyoda’s passing, I came to see this endeavor as my personal mission.”

After pausing briefly to compose himself, Akio Toyoda delivered his most impassioned message of the day.

“Of course, I cannot do this on my own. Thankfully at Toyota, I have many colleagues who carry on the spirit of Kenya Nakamura. Together, we have decided to launch the Century brand. Our aim is to create automobiles that are ‘One of a Kind’ or, as Kenya Nakamura put it, ‘like no other.’ Century is not meant to be just another brand of Toyota Motor Corporation. We want to cultivate the brand in a way that shows the world the spirit of Japan—the pride of Japan. The next Century begins with us.”



Five-Brand Strategy | Toyota and Daihatsu

Toyota and Daihatsu

“You” in Mind

At Japan Mobility Show 2025, President Koji Sato set out a new direction for Toyota and the Daihatsu brand.

“The displays at the entrance of the booth feature many of our seminal offerings: the Toyoda Model AA, our first attempt at passenger car production; the Type G1 Truck, the ancestor of our commercial vehicles, which are so vital to daily life; and the Toyoda Automatic Loom Type G. The Toyota Group began with a wooden loom invented by a young Sakichi Toyoda, who was inspired by seeing the arduous weaving work his mother had to endure. Through continuous improvements, later in life he invented the Toyoda Automatic Loom Type G. At the core of these efforts was a desire to act for others. This has been and will continue to be the starting point of every challenge we take on.

“We have infused the words ‘to you’ with the spirit of the Toyota brand. We have long worked hard to make ‘Mobility for All’ a reality. When we thought about the actual activities of monozukuri (manufacturing) genba (front lines), however, something always felt a little off. This ‘something’ was the fact that we often say, ‘for all.’ But, in truth, no single product perfectly suits everyone. When we are making something, we want to help someone or make someone happy. We always picture the face of a specific ‘you’ and keep this ‘you’ in mind as we make things.

“By keeping a ‘you’ in mind, we will draw ever closer to the day when ‘Mobility for All’ is a reality. We realized that this is what truly drives our monozukuri—our manufacturing spirit.”

A Car for Everyone



“Corolla symbolizes our ‘to you’ mindset. In other words, it represents our car manufacturing for a specific someone. In line with the changing eras and lifestyles, Corolla has always transformed to reflect the current ‘you.’ Regardless of the many different looks or body types of the car, it has always been Corolla. That is why it has always been ‘a car for everyone.’ To retain this status, how should Corolla evolve? The planet is vast, and the world is diverse. Roads differ, as do energy realities. That said, we all have something in common: a sense of stewardship for the planet we call home. Another thing that unites us is that we all want to drive a car that looks impressive. I think that many of us have such aspirations. Therefore, whatever the power source—whether it is a battery electric vehicle or a plug-in hybrid, hybrid, or internal combustion engine vehicle—let us make head-turning cars that everyone will want to drive! Corolla is packed with inventions aimed at realizing this goal.

“Next is the IMV Origin. When planning this vehicle, the ‘you’ that we had in mind were the inhabitants of rural villages in Africa. With an African ‘you’ in mind, we incorporated two key ideas into the vehicle. The first was to ship the vehicle from our plant unfinished. The vehicle leaves the plant without being assembled and made ready for driving. In the target region, local people assemble and complete the vehicle. In Africa, this creates new jobs in the form of assembly work. The second idea is that, after the vehicle has been



assembled, customers define it on their own terms. Will it carry people or cargo? Will the cargo be boxes or something else? We just build the base. From there, each

Five-Brand Strategy | Toyota and Daihatsu

Toyota and Daihatsu

customer completes the vehicle to fit their needs. As a carmaker, we have a sense of frustration in not being able to produce a completed vehicle. However, as people have different needs in their daily life and work, the incompleteness of the vehicle is what makes it 'for you.' With IMV Origin, we are taking on the challenge of constant reinvention based on the concept of 'deliberate incompleteness.'"

Small Cars, Big Inventions

"Next, please watch this video." With that said, Sato moved off into the stage wing. Daihatsu's new commercial was then shown.

"We launched the Midget in the 1950s. Hearing people around town remarking, 'It would be great to have a small car' triggered the thought: 'Well, then, let's make one!' This led to a unique invention or daihatsumei. Making small cars is incredibly difficult. As someone who has been involved in car manufacturing, I can say this in all sincerity. But Daihatsu continues to take on such ambitious initiatives. The Midget of the future appeared at the end of the commercial. Now, as then, Daihatsu's approach to car manufacturing is unchanged. We visited towns to gather feedback on people's problems and then considered what we could do, racking our brains over how best to use our technologies that make things compact. This led to the Midget X.



"Let me introduce one more offering, the K-OPEN convertible minivehicle. What makes the vehicle so great? It is rear-wheel drive. It is difficult to convey just how amazing this feat is, but achieving rear-wheel drive in such a compact body with a front-engine-mounted vehicle is truly incredible. You need to place the engine low, carefully package the transmission and propeller shaft, and design the pedal layout and steering so that everything fits perfectly into the body. Well, I would love to take hours explaining why, but to make a long story short, the vehicle was realized because our development engineers demonstrated expertise and ingenuity in many different areas.



"The other day, the media reported that Chairman Akio Toyoda would become Daihatsu's master driver. I think he will be driving and spend a great deal of time breaking in the Copen. So, let me say to everyone at Daihatsu, building a car with Akio Toyoda as the master driver will not be easy! Be ready for quite a ride! (Laughing) But, as an automotive manufacturer, there is no better way to make a car that is more fun to drive. I truly cannot wait to see what kind of car the new Copen will be. Daihatsu can come up with unique inventions by pursuing 'what only small can do.' We will use this strength to work together with Toyota toward 'Mobility for All.'"

Five-Brand Strategy | Toyota and Daihatsu

Toyota and Daihatsu

The Meaning of Taking On Challenges

"Allow me to mention one more thing. This 'to you' advertisement states: 'If you cannot go, mobility will come to you.' Mobility is about more than just someone getting in a vehicle and going. Another key role of mobility is getting closer 'to you' and delivering something. The car shown in the photograph here is the KAYOIBAKO. Just as cardboard boxes come in different sizes,



KAYOIBAKO comes in sizes ranging from small to extra-large. Daihatsu will make the small ones, while Toyota will make the big ones. At the beginning of this presentation, I introduced the Type G1 Truck, which was the origin of our commercial vehicles. At the time, we had just begun taking on the

challenge of entering the automotive business, and the trucks that we delivered suffered many breakdowns. Each time this happened, Kiichiro Toyoda is said to have immediately rushed to the scene. This truly is the 'customer first' spirit. I believe he also had two other things in mind. One was the genchi genbutsu (on-site, hands-on experience) spirit of an engineer who wanted to go and see things for himself on-site in order to understand the causes of a vehicle's breakdown and make improvements accordingly. His other motivation was a desire to benefit society. He felt that we should not impede day-to-day life and that we must make Japan better. Firmly carrying this sentiment forward, Toyota intends to continue valuing and nurturing commercial vehicles, or 'hauling mobility.'

"The slogans 'Mobility for All,' 'Act for Others,' 'to you,' and 'Daihatsumei for me' inspire our creativity and motivate us as carmakers.

"This passion spurs us on to realize even more diverse forms of mobility. We imagine someone—a single 'you'—and explore how we can make that person happy. By earnestly keeping 'you' in mind, we will make a variety of even better cars and realize the ideal of 'producing happiness for all.'

"Sometimes you succeed with an invention, and sometimes things do not turn out the way you had hoped. But it is precisely because it is difficult that it is worth doing. That is what taking on challenges is all about. We want cars and well-being to be at the very center of a future that is created by every 'you' around the world. To this end, our goal is to make cars that are even more beloved and fun. Energized by a profound commitment to changing the future of cars, the entire Toyota Group will continue taking up the challenge of invention."

Five-Brand Strategy | Lexus

Lexus

Under Toyota's new brand strategy, Century has become an elevated, separate brand positioned "above Lexus," to use the words of Chairman Akio Toyoda. Speaking about the impact of these changes on Lexus, Chief Branding Officer Simon Humphries made the following comments.

"In a sense, Lexus can now move more freely. The brand should continue to push forward as a pioneer."

The Japan Mobility Show 2025's lineup of Lexus exhibits provided a glimpse into the Company's innovations. At the show, Simon Humphries outlined a new direction for the brand.

Further Evolution for Lexus



"As you just heard from President Koji Sato, Japan Mobility Show 2025 means more to us than a single event. I hope you had a chance to see the series of commercials we

released, which set the pace for the future of each of the Toyota Group brands. From Toyota to Century, each of our brands makes a clear promise to our customers. With Century in the exclusive ultra-luxury space, Lexus now has the freedom to strengthen its promise to customers and evolve further at the heart of the luxury marketplace. This promise is to discover. We will think independently and confidently and be adventurous and innovative, all with the explicit goal of helping our customers discover a new luxury lifestyle. Today, I want to challenge your perception of what a luxury brand can be."

Redefinition of Our Flagship

"A car brand begins with its flagship model. The flagship of the Lexus brand is the LS. Since the Lexus LS was introduced in 1989, the rules of the luxury market have changed dramatically. Once upon a time, executive sedans ruled the automotive world. Now, they are fighting a losing battle with SUVs. People are aspiring to completely different experiences. Our customers want to define things on their own terms. They want the space and freedom to curate their time with maximum efficiency. And, they are not afraid to challenge the status quo in pursuit of this ideal. Lexus has always been about more than just four wheels. We have never shied away from the challenge of discovering new products, new services, and new experiences. Now, we will redefine our flagship. LS will no longer stand for 'luxury sedan' or 'luxury SUV' but rather for 'luxury space.'



"Ladies and gentlemen, here it is, the new Lexus LS Concept! I did promise you that the future would be about more than four wheels, but you probably were not expecting six! When the vehicle's door opens, you find yourself drawn into a home away from home, your own private space, a space to truly discover sanctuary. Six wheels revolutionize the package by enabling a vehicle that maximizes floor space, provides unhindered access, and creates an environment to call your own. Space is freedom, and space is privacy. Two commodities that are simply priceless. In a frenetic world, what greater luxury is there than this?"

More Than Just Six Wheels— A Multifaceted Concept

"Even at the flagship level, more of our customers are looking for new car types and values, and they want variety. The current reality in this segment is that people no longer aspire to just one type of car. This is especially clear

Five-Brand Strategy | Lexus

Lexus

when we view the segment from a global perspective. As a brand, we believe that the emotional aspect of the driving experience will always remain at the core of people's values. Driving the Lexus Sport Concept is a chance to discover complete immersion. It engages all senses in ways never experienced before. Meanwhile, the Lexus LS Coupe Concept satisfies those who wish to have the best of everything. Designed to realize opposing characteristics, the car is as fun for drivers as it is comfortable for rear-seat passengers. Balancing seemingly contradictory requirements has always been Lexus's forte. As Lexus's flagship series, these vehicles will lead the brand into the future. In this future, you will be able to curate your own luxury lifestyle. Moreover, it is becoming clear that this future lifestyle will comprise many components.



"Since its founding, the Lexus brand has fused products with lifestyle experiences. In just 36 years, the brand has shown that we can set our minds to anything yet remain uniquely Lexus. It is a brand strengthened by variety. The future we envisage for Lexus goes



beyond the manufacturing of cars. City centers are seeing ever-greater constraints on space. This led us to ask, 'What if we took the essence of the private space we created in the Lexus LS Concept and evolved this essence into an autonomous one-person format?' Our vision is to seamlessly connect business and leisure mobility with terrestrial infrastructure. Taking this vision one step further to its logical conclusion, our next fields are the sea and air. In other words, we will become involved in 360-degree mobility."



Luxury on Land, at Sea, and in the Air

"We foresee an era when mobility will no longer be restricted to roads. The potential for broadening the horizons of the Lexus brand is immense. For many years, we have been working with Joby Aviation, not just because their personal air mobility is smooth, quiet, and efficient but because of the new value we will create in the form of freedom. This type of mobility will fundamentally change where and how we live, enabling people to discover an independent and luxurious life that is off-grid and fully self-contained. The potential of the technology is not limited to the air. What if we could bring

both privacy and adventure to sea-faring? For example, we are developing an autonomous catamaran that will allow you to discover true escapism. Imagine a world in which many different spaces are interconnected by diverse forms of mobility. Cities and our brand spaces within them are gateways to a multi-dimensional way of living."



A model catamaran on display at Japan Mobility Show 2025

A Brand Continuing to Innovate for Customers

"Ladies and gentlemen, luxury is leadership, and the vanguard of luxury is forever evolving. At Lexus, we believe that everyone is their own brand. We pride ourselves on moving forward and developing with our customers. We want to help them see the world through new eyes, discovering limitless new horizons yet still feeling at home."



Five-Brand Strategy | GR GT / GR GT3 / Lexus LFA Concept

GR GT / GR GT3 / Lexus LFA Concept



On December 5, 2025, Toyota held a world premiere for three new sports models at the Woven City Inventor Garage in Susono, Shizuoka Prefecture.

Strength Born of Humiliation

Toyota's head of design, Simon Humphries, recounted two tales of humiliation as he stood across from the Lexus LFA Concept, which had previously been exhibited at Japan Mobility Show 2025 as the Lexus Sport Concept.

"Thank you for taking the time and trouble to come all this way to the Toyota Higashi-Fuji Plant here in Eastern Japan. Originally, this site was a press shop. As some of you may know, it was the factory where Shoichiro

Toyoda and Kenya Nakamura created the first Century in 1967. The spirit of invention that was born here has been reborn as the Inventor Garage of Woven City, a facility centered on creating the future. Today will be a celebration not only of invention but of something that I know we all love: the car. The excitement, thrill, and love of speed are things for which I think everyone in this room and everyone watching online share a passion. But as with many aspects of life, a story of strength begins with a story of kuyashisa, or humiliation, in Japanese. I want to tell you two stories. I have been working as a designer for 36 years. I can honestly say that, as a designer, nothing is more painful than being told that what you have put your heart and soul into is boring. Around 14 years ago at Pebble Beach in the United States, this is exactly what happened when Akio Toyoda was told on a visit there that Lexus was boring. The feeling of humiliation was a turning point and became a source of determination."

At the time, Toyota was giving priority to volume and profits in pursuit of greater scale, an approach that led its car manufacturing to favor certain regions and models.

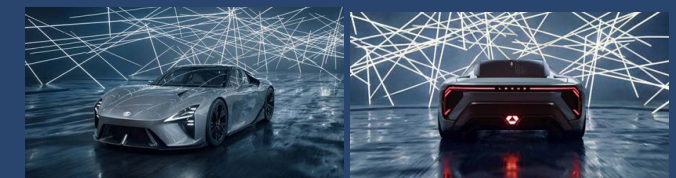
Chairman Akio Toyoda reflected on this period during a lecture he delivered in January 2024. "I believe this strategy stemmed from our oversized ego as a manufacturer, which led us to believe we could sell whatever we made." Over the course of 14 years, he continued fighting to transform the Company by shifting its focus from making money to creating better products. When asked how the new concept car should be showcased at Pebble

Beach this year to ensure no one could call it boring, Akio Toyoda gave a very simple answer.

Just Put It Out There

"After the humiliating experience, Akio Toyoda stood up and made a promise: 'No more boring cars.' So, when we asked him about how we should present this car at Pebble Beach this year, his answer was very simple: 'Just put it out there and let the car speak for itself.' And that is exactly what we did. With no preamble, we let people form their own opinions. I was very pleased that at Pebble Beach this year, not one person said that Lexus was boring! Lexus was born to be innovative, adventurous, and original and to help our customers discover."

At this year's Japan Mobility Show, Chief Branding Officer Simon Humphries described the Lexus Sport Concept as a "chance to discover complete immersion." He recalls the ambitious initiatives undertaken when developing the vehicle.



Five-Brand Strategy | GR GT / GR GT3 / Lexus LFA Concept

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“With this car, we wanted our customers to discover a new level of sensory immersion. This meant big breakthroughs, dramatic proportions, and packaging innovation. Just look at the stance. The rear view is just beautiful, and everything is under 1,200 mm in height. For a sports car, this was a huge challenge and a huge accomplishment. When finally finished, this car will comply with the last request that Akio Toyoda made in relation to the model, which was to completely redefine the sound of an electric sports car. We have designed the car to really ‘speak for itself.’ The sound did not simply come about by chance. The development of the car and its sound resulted from another tale of humiliation.”

Chief Branding Officer Simon Humphries paused for a breath before beginning his second story of humiliation.

Two Engine Sounds

“This second story relates to the racetrack. Akio Toyoda told me of an experience he had at the Nürburgring 24 Hours race 20 years ago that he could not forget. It was not about being overtaken or about not coming first. Rather, he saw the earnestness with which other manufacturers engaged in racing. They were using the occasion to nurture not only new technology and new products but also the people who create them. Camouflaged prototypes of

never-before-seen cars were being put through their paces on the world’s most unforgiving racetrack. At that time, Toyota was not even attempting to build a car capable of racing at the Nürburgring 24 Hours race. In fact, we did not even have a sports car on sale. So, Akio Toyoda, alongside test driver Hiromu Naruse, ended up driving an old Supra. What is more, they did so under the alias of Morizo and his own unknown private team, GAZOO Racing. Every time he yielded to yet another development prototype, it was as if they were saying, ‘There is no way that you guys at Toyota could build a car like this!’ Well, that was then. This is now.”

With that, two sports cars emerged from off-stage: the GR GT and GR GT3 prototypes.

Like the Toyota 2000GT and Lexus LFA before them, these new cars are to be positioned as flagship models. The sound of V8 engines rumbled through the venue.

The Roar of V8 Engines



The GR GT prototype

The GR GT3 prototype

Both cars have front-engine, rear-wheel-drive (FR) packaging. To achieve low weight with high rigidity, Toyota has employed its first all-aluminum body frame. We have actively incorporated a range of technologies to boost the performance of the GR GT, which was designed by first mapping out an ideal aerodynamic profile.

“So, what do you think of these? The GR GT and its racecar sibling the GR GT3 will be joined by the new Lexus LFA Concept here to form the apex of sports cars for both Lexus and GR. All based on one race-bred platform, these cars will realize GR’s promise of pushing the limits for better, thereby benefiting all Toyota vehicles. Moreover, they fulfill Akio Toyoda’s vow to never again make boring cars.”

Chief Branding Officer Simon Humphries then explained the development vision behind the two sports cars.

GR GT3: For Drivers Who Want to Maximize Their Abilities and Win

“The GT3 category is all about making cars for everyone who wants to win—both professionals and privateer racers. Speed is a must. The GR GT3

Five-Brand Strategy | GR GT / GR GT3 / Lexus LFA Concept

GR GT / GR GT3 / Lexus LFA Concept

racecar has all the critical elements for speed: a 4-liter V8 twin-turbo engine, a rigid aluminum spaceframe, an incredibly low center of gravity, and state-of-the-art aerodynamics. But speed alone is not enough. Races are about much more than the home straight. The real art is how speed is controlled. As our master driver Morizo (Akio Toyoda) likes to say, real-world driving all comes down to a 'conversation' between driver and car. The GR GT3 is engineered to give the driver confidence in all situations. The driver feels reassured by the 'conversation' that takes place, even in extreme situations. The feedback that the car gives to guide you in making split-second decisions is everything. Fluent communication means that you know how the car will respond, avoiding misunderstandings. This brings out the best in your abilities, so you can push the car and yourself even further."

GR GT: A Focus on the Sounds of Acceleration, Deceleration, and Braking

"The GR GT speaks to both recreational and professional drivers, whether they are two different people or you and your alter ego. An integral part of any conversation with a car is sound. This is the case not only during acceleration but also when decelerating and braking. To understand the importance of sound, look no further than a 30-minute drive from here to Fuji Speedway

and its transition from the home straight into the tight first corner. You want to brake as late, deep, and fast as possible and then power out of the corner with confidence on your ideal line. This is the first time we have focused on not only the sound a car makes when you put your foot down but also the visceral, guttural sound when you take your foot off. However, the 'conversation' you have with the car on an ordinary street is different. The GR GT road car has the same V8 twin-turbo engine, but with hybrid power, and shares the DNA of its racing counterpart more than any car we have ever made. To achieve this, the development team challenged not only the limits of the car, but also the limits in the development process. Production car test drivers and racecar drivers worked hand in hand. This is a circuit-ready, everyday car. It is wild on a track day but easy to drive around town. It is the kind of car in which you can go for a stint around the track and then stop at a nice restaurant on the way home. From the performance of driving dynamics all the way down to minute adjustments in seat position, the car is designed to cover all the bases."

The 2000s saw a succession of Toyota sports cars end their production runs: the second-generation Supra in 2002, the Altezza in 2005, and the MR-S in 2007. Also in 2007, Chairman Akio Toyoda took on the Nürburgring 24 Hours race for the first time. Unable to use the Toyota name, he entered as Morizo and drove a used Altezza. Out on the race track, he had no choice but to make way for the sports cars that were being developed by European manufacturers. Then he visited Pebble Beach, where

an American automotive journalist remarked that "Lexus is boring." These two moments of humiliation have spurred Toyota's pursuit of ever-better car manufacturing through motorsports.

In the words of Chief Branding Officer Simon Humphries, the Lexus LFA Concept, GR GT, and GR GT3 "symbolize a commitment to pass on to the next generation the joy of driving at the limits of what is humanly possible."

Rediscovery of Toyota's "Emotional Side"

"In a race team, there is no hierarchy. When it comes down to it, everyone is in the same pits together. These three cars will work in conjunction to bring the joy of driving to both veteran racers and new generations of car lovers. Both the V8 twin-turbo engine in the GR GT3 and the hybrid version in the GR GT run on conventional fuel and e-fuel. Meanwhile, the Lexus LFA Concept is the future of electric vehicles. These cars symbolize a commitment to pass on to the next generation the joy of driving at the limits of what is humanly possible. We will develop the technology and people needed to create a new era of driving euphoria, just as Hiromu Naruse brought his wisdom from the Toyota 2000GT to the LFA and passed it on to a new generation of test drivers. Over the last 14 years, not only Lexus and GR but all Toyota Group brands have undergone a transformation. The Company has

Five-Brand Strategy | GR GT / GR GT3 / Lexus LFA Concept

GR GT / GR GT3 / Lexus LFA Concept

rediscovered its emotional side. Whether this is in terms of driving dynamics, engineering, production, or my field of design, the Company's mindset has fundamentally changed. How a car looks and feels is entirely subjective. Spending time in the pits with Akio Toyoda as the master driver helped us understand how to give a car a story. Even though he is pushing 70 this year, Akio Toyoda went back to where it all began 20 years ago: the Nürburgring 24 Hours race. I can make one guarantee: with these three cars in front of him, for many more years to come he will be powerless to stay away from the race. Equally, there was no way he could miss the chance to be here today.

"Ladies and gentlemen, here is Akio Toyoda!"



Hiromu Naruse's Legacy and Morizo's Role

"About 30 years ago, only Hiromu Naruse and I were enthused about car manufacturing. Little by little, like-minded colleagues joined the effort. When the LFA was finally completed, Hiromu Naruse said with a big smile that I had never seen before, 'This is the first time I have only had to look forward when driving at the Nürburgring 24 Hours race.' Until then, we had constantly been overtaken by other cars. Now, we had a car that overtook others. I could feel how truly happy he was. That did not mean that the sense of humiliation had entirely dissipated. Although the LFA went into mass production, the volume of production was limited. We started to win races, but we were only topping our class. Many cars were still faster than ours. I could imagine a voice saying, 'There is no way that you guys at Toyota could build a car like this!' I will never forget the feeling of humiliation.

"This pain deeply motivates me even now. One day 15 years ago, I suddenly assumed the role of master driver. Hiromu Naruse left me with a 'secret sauce' for manufacturing cars that was made from the pain of humiliation. He also left me colleagues who shared in this pain. Using the pain and frustration as motivation, we simply continued focusing on making ever-better cars. Our achievements include the GR86, GR Supra, GR Yaris, and GR Corolla; hydrogen-powered engines; our performances in the Super Taikyu Series and the Nürburgring 24 Hours races; and now these latest cars. At Toyota today, I now have many colleagues with an

approach to car-making that shows they share my conviction! I want to entrust our car manufacturing to these colleagues. and I want to make cars with them so that our 'secret sauce' can be passed on to future generations. You can count on us to keep you excited."

At these words, the venue erupted in applause. Akio Toyoda waited for it to subside before continuing.

Master Driver Morizo

"My life has been a series of battles. Through them, I have come to realize that my role is to be a 'rear guard.' Rather than being president or chairman, my real role is to help comrades take refuge from battles and reach safe places that allow them to fight with greater robustness and win the next battle. As Morizo, I am not ready to stop yet! I will keep on running until I drop!"



TOYOTA WOVEN CITY

Official Launch of Toyota Woven City, A Test Course for Mobility

Toyota aspires to transform into a mobility company. On our journey toward accomplishing this goal, Woven City will function as a “mobility test course” for creating new products and services.

Toyota and its Group company Woven by Toyota, Inc. are advancing the Woven City project.

Woven City saw its official launch on September 25, 2025, with

companies and individuals commencing demonstrations of various products and services, and some residents have begun moving in.

Access to this facility will not be limited to the Toyota Group. Rather, we hope to make Woven City a place where external stakeholders who share our desire to act “for others” can also use the environment, in which people actually live, to create new value to help shape a better future and enhance well-being for all.

At the official launch, Akio Toyoda made the following comments.

“Woven City is all about “multiplication” (*kakezan*). No single company can create meaningful *kakezan* on its own. It takes at least two. Let’s multiply all these smiles together.* Don’t you think that we can weave together a future full of happiness?”

* In Japanese, the number “2” is pronounced “ni,” which naturally lifts the corners of your mouth, like a smile. So when everyone says “ni,” the act of speaking the word itself makes everyone smile.



Production of New Value Through *Kakezan*

The companies and individuals who utilize Woven City to develop and demonstrate new products and services are called Inventors.

By combining Toyota’s manufacturing expertise, Woven by Toyota’s advanced software capabilities, and the unique strengths of each Inventor, Woven City seeks to foster *Kakezan*, a Japanese concept of “multiplication,” where new innovation and societal value emerge from the convergence of different ideas and capabilities.

The people who live in and visit Woven City, called Weavers, also participate in inventions through *kakezan*.

Weavers test the products and services developed by Inventors, sharing their comments on usability and opinions as feedback that Inventors will incorporate into their inventions.

A Team of Like-Minded Inventors and Weavers Answer the Call

The Weavers and Inventors who gather at Woven City aim to work together to produce well-being for all under Toyota’s goal of working for others.

Toyota Woven City

Inventors are Toyota Group companies as well as the like-minded outside companies and other organizations who have joined this quest for expanding mobility.

Toyota and Woven by Toyota will also take advantage of Woven City to conduct tests as Inventors.

Additionally, Toyota is hosting an accelerator program attended by start-up companies, entrepreneurs, universities, and research institutions and is planning to make the final selection in spring 2026.*1

*1 Applications for the program are now closed as of January 2026.

Demonstration Themes According To Inventors

Inventor	Co-Creation Theme by Inventor
Daikin Industries	Testing "pollen-free spaces" and "personalized functional environments"
DyDo DRINCO	Creating new value through innovative vending machine concepts
NISSIN FOOD PRODUCTS	Creating and evaluating food environments to inspire new food cultures
UCC Japan	Conducting a proof-of-concept study to demonstrate the effect of coffee on creativity and productivity
Zoshinkai Holdings	Leveraging data to realize innovative educational methods and new learning environments
Interstellar Technologies	Developing a robust rocket production system*2
Kyoritsu Seiyaku	Finding new ways to enhance human-pet coexistence
Naoto Inti Raymi	Developing future-oriented soundscapes
Toyota Motor Corporation	1. e-Palette: Enabling diverse services through a versatile BEV platform, including food and beverage offerings and other mobility service applications 2. Personal Mobility Vehicle (PMV): Providing safe, accessible, and enjoyable personal mobility through a shared service of compact, three-wheeled EVs 3. Summon Share: Delivering shared vehicles directly to users through autonomous service driving robots (Guide Mobl)
Woven by Toyota, Inc.	Smart Logistics: Simplifying the movement of goods through a delivery platform, with future applications such as cleaning and storage to support daily life

*2 Interstellar Technologies will conduct its work outside Woven City, with development support provided by Toyota and Woven by Toyota in the form of engineering know-how and technical staff.

Note: The following Toyota Group companies are confirmed as Inventors: Toyota Industries, JTEKT, Toyota Auto Body, Toyota Tsusho, Aisin, DENSO, Toyota Boshoku, Toyota Motor East Japan, Toyoda Gosei, and Toyota Motor Kyushu from the Toyota Group are also participating in tests.

The products and services developed by Inventors and exhibited at Woven City will be tested by Weavers (residents and visitors). These individuals are indispensable to the testing processes and co-creation activities and will serve a similar function to the test drivers who take part in the automobile development process.

Their contributions to tests will come in the form of the feedback they provide with regard to the products and services being tested.

Following the official launch of Woven City, in September 2025, residents—primarily Toyota and Woven by Toyota staff and their families—are expected to reside in Woven City as Weavers. The community will then gradually expand to include external Inventors and their families. Under Phase 1, the total population of Woven City is expected to reach approximately 300 in the future.

Initially, visitors will be limited to related parties, with plans to welcome the general public to participate as Weavers in co-creation activities starting in fiscal 2026 and beyond.

Features of Woven City's Test Course for Mobility

Woven City is a test course for mobility that demonstrates mobility infrastructure via a three-pronged approach of people, cars, and infrastructure. The goal of this approach is to help realize the safe and secure mobility society that Toyota envisions. Up until now, Toyota has pursued this vision by focusing on the development of automobiles and working to make ever-better cars on dedicated automobile test courses.

However, realizing a truly safe and secure mobility society requires that we expand our focus beyond automobiles and other forms of mobility to also consider the people who use these mobility options and the infrastructure that supports mobility.

Woven City functions as a test course for implementing such demonstration testing. Under Phase 1, which has been officially launched, we have included the following features.

Example Features Of Woven City's Test Course For Mobility

Features	Implementation	Function
Three-type road system	Citywide	Ground-level roads are classified into three types—one exclusively for pedestrians, one shared by pedestrians and personal mobility, and one dedicated to vehicles.
Underground road network	Underground	A fourth underground road enables testing unaffected by weather or temperature conditions.
Traffic signals	Citywide	A system that coordinates traffic signals with mobility, advancing safety through a three-pronged approach (mobility, people, and infrastructure)
Multifunctional poles	Citywide	Serving as both streetlights and traffic signal posts, these poles can also host sensors and cameras used in testing and co-creation activities.

We plan to expand Woven City as an Ever Evolving City™ going forward. We will create a test course for safe and secure demonstrations throughout the entire site to support *kakezan*, such as Inventor Garage, where initial stage development and improvements of products and services are carried out, and some areas of Phase 2, which entails carrying out performance and safety tests in areas with no residents.



Quest to Become a Mobility Company That Moves People's Hearts

Woven City has officially launched, but this is just the starting point.

We will work through trial and error together with Inventors and Weavers, while improving Woven City's performance as a test

Toyota Woven City

course, to create products and services that will become the future fabric of life.

Mobility is not just the physical movement from point A to point B. It is also about being able to “move” people’s hearts and creating excitement.

Moving toward inventions that will become the future fabric of life and expanding people’s potential: this is our vision for expanding mobility and for Woven City itself.

Together with allies who share our vision, we will leverage Woven City to further our transformation into a mobility company that will help weave the future.



Timeline

January 2020	Announcement of concept at CES
February 2021	Phase 1 groundbreaking ceremony; start of site preparation work in March 2021
October 2022	Phase 1 safety prayer ceremony; start of building work for Phase 1 in November 2022
October 2024	Completion of Phase 1 construction
September 2025	Phase 1 official launch

Connecting the Past to the Future—Transformation of Former Higashi-Fuji Plant into Woven City

Woven City is being constructed on the site of the former Higashi-Fuji Plant of Toyota Motor East Japan, Inc. This plant functioned as a production site for Toyota for 53 years, starting in 1967. At its peak, the plant had about 2,000 employees, and around 7,000 individuals worked there over its history, producing such diverse vehicles as the Corolla Levin and the Century as well as the JPN Taxi, a vehicle that required substantial durability.

The idea to transform the Higashi-Fuji Plant into Woven City traces back to the Great East Japan Earthquake of 2011. Under Chairman Akio Toyoda’s leadership, we sought to create jobs for the region’s people, who were hit hardest by the disaster, by creating a third base of operations in the Tohoku region. Guided by his strong leadership, Toyota established Toyota Motor East Japan in 2012. However, the shift in production to the Tohoku region also led to the difficult decision to close the Higashi-Fuji Plant.

When Toyoda, who was still president at the time, visited the plant, a member of the plant’s staff approached him, thinking of his colleagues who were unable to uproot their lives and move to the Tohoku region due to family or other circumstances. Toyoda was moved by their feelings for their colleagues, and this experience was what first inspired the proposal to use the threads of the Higashi-Fuji Plant, which remained unbroken for 53 years, to weave a brighter future by creating a massive testing city.

Immediately following the official launch on September 22, 2025, we invited employees who had worked at the Higashi-Fuji Plant to an event at Woven City.

Senior vice president of Woven by Toyota, Daisuke Toyoda, gave the following speech.

“ There is something I wanted to say to everyone from Toyota Motor East Japan: “Welcome home.” Given how much things have changed here, it may not feel quite like “home” to you anymore. However, if I may say so, we believe we are carrying on the spirit of Higashi-Fuji. The Woven City project is about connecting our past and present to the future. Even though we don’t yet know all the answers, we want to explore and shape it together with everyone. ”

Going further into the past, this spirit was first seen in Toyota Group founder Sakichi Toyoda’s drive to invent an automatic loom out of a desire to make his mother’s work easier.

The name “Woven City” comes from the concept of how multiple threads can be woven together to create a fabric that is stronger and more vibrant than the threads themselves.

The mindset of “working for the sake of others” that was held by Sakichi and his colleagues who worked at the Higashi-Fuji Plant is also being integrated into Woven City, and we will advance demonstrations at Woven City aimed at “well-being for all” together with all our diverse Inventors and Weavers.



Toyota's Vision for the Mobility Society

Toyota Mobility Concept

Carbon Neutrality and Expansion of the Value of Mobility: Two Principles of the Toyota Mobility Concept

Toyota is committed to evolving automobiles to be more useful to society based on the essential values for which they have become known—being safe, secure, and fun to drive. We also seek to realize a mobility society in which everyone can move freely, happily, and comfortably. As we work toward such a future, we will continue our transformation into a mobility company in three domains. Mobility lies beyond the future of the car. Cars lie at the center of our transformation into a mobility company.

To expand the possibilities of automobiles, it is essential we evolve them based on our long-cherished values of being the best in town and making ever-better cars.



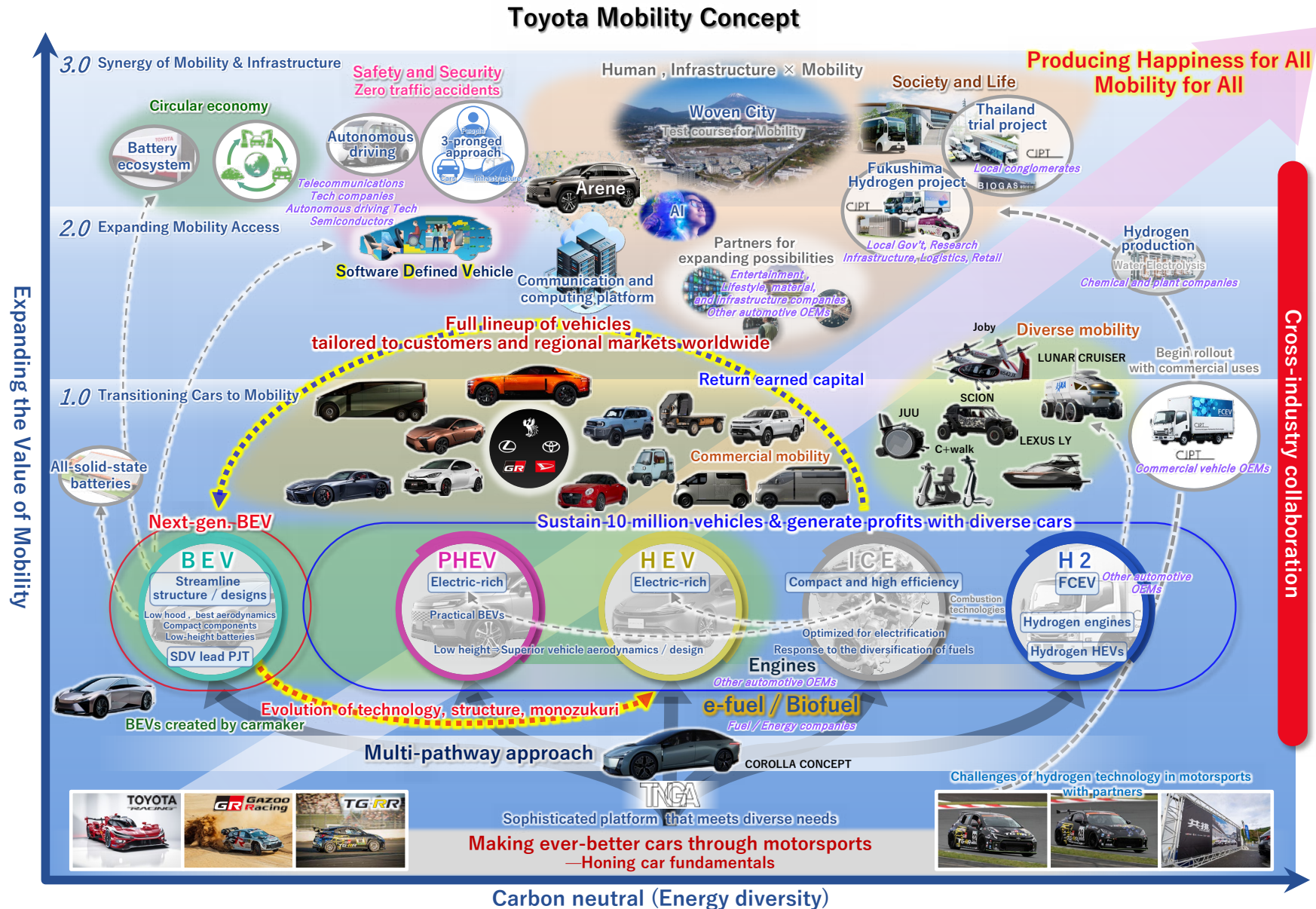
AUTOMOTIVE
COMPANY

1.0 TRANSITIONING CARS to MOBILITY

2.0 EXPANDING MOBILITY ACCESS

3.0 SYNERGY OF MOBILITY & INFRASTRUCTURE

Toyota's Vision for the Mobility Society | Toyota Mobility Concept



Toyota's Vision for the Mobility Society

Product-Centered Management

The challenges our industry faces—carbon neutrality, connected mobility, and AI—cannot be solved by a single company acting alone. True breakthroughs emerge from synergies created when diverse people with varying perspectives collaborate and engage in lively discussion. We believe that co-creating in this manner is key to shaping the future.

For example, take our recent collaboration on battery technology. Through continued development efforts, Toyota has successfully reduced the size of its all-solid-state batteries by one-third compared with conventional batteries while maintaining performance. These batteries are compact and lightweight, offering both short charging times and exceptional durability, and are targeted for commercialization in 2027 to 2028. These technologies will enhance the flexibility of BEV proportions and packaging, enabling designs that strike a better balance between aesthetics and performance.

BEVs are just one pillar of Toyota's multi-pathway strategy for becoming carbon neutral. We are working with our partners on the development of carbon-neutral fuels such as biofuels and synthetic fuels, striving to lower the CO₂ emissions of our existing vehicles. We also see great potential in hydrogen. For commercial vehicles, we are collaborating with Daimler Truck Holding AG, and for passenger vehicles, we are working with BMW, as well as the governments in Fukushima Prefecture and Tokyo, to expand the use of hydrogen in both markets. In Japan, with the support of the government, we have begun introducing light-duty fuel-cell trucks for logistics in regions such as Fukushima and Tokyo. By promoting the wider adoption of hydrogen in commercial vehicles, which consume large amounts of fuel, we aim to accelerate infrastructure development to help contribute to the realization of a hydrogen society wherein hydrogen fuel can be stable and reliable.

Furthermore, we are expanding the possibilities of mobility across land, sea, air, and even outer space. Our collaboration with Joby Aviation, Inc. on Joby's electric vertical take-off and landing aircraft (eVTOL) has the potential to transform people's sense of distance and time, and we are working with them to steadily progress to open up a new dimension of mobility. Furthermore, we are venturing into the satellite and rocket fields with Interstellar Technologies Inc. and are also working to provide solutions to terrestrial issues through satellite communication.



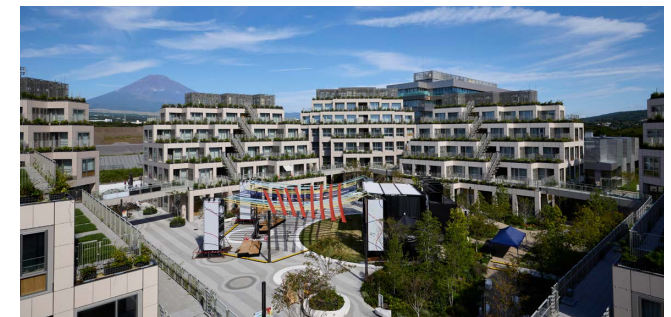
Initiatives for Future Growth

The ultimate goal of automated driving and Software Defined Vehicles (SDVs) is to realize a world with zero traffic accidents. Driving assist technologies and automated driving are expected to further reduce the number of accidents, but responding to unpredictable situations such as sudden obstacles emerging from blind spots requires information from the infrastructure side. We are building a system that integrates vehicles, people, and infrastructure, enabling the prediction and prevention of accidents before they occur. Demonstrations are already underway in Japan and China, and we are working steadily toward realizing a safe and secure mobility society in collaboration with many partners.



In addition, Toyota Research Institute is taking on the challenge of developing AI robots that work and grow together with humans as partners, rather than simply replacing them. To accelerate demonstrations and the advancement of these technologies, we are leveraging Woven City, a mobility test course. Woven City, which held its grand opening in 2025, brings together partners, universities, start-ups, research institutions, and other diverse partners to turn innovative ideas into reality. From here, Woven City will pave the way toward the next generation of mobility.

Today, Toyota has outstanding partners who share our vision and are committed to creating the future together. They are like-minded allies who share a long-term perspective and the belief that collaboration accelerates progress. Together with these partners, we will realize the future of mobility and the sustainable growth of society.



Toyota's Vision for the Mobility Society

Region-Centered Management

Value Creation Rooted in Each Community: The “Best in Town” Philosophy and Toyota’s Regional Strategy



The foundation of Toyota's region-centered management is the concept of “best in town.” This concept does not aim to maximize global sales volume or market share. Instead, it reflects our commitment to remain the company that stays closest to customers’ daily lives and earns their trust in each community. Mobility is an integral part of everyday life. By continuing to address the unique challenges and expectations of each region, we believe we can achieve sustainable, long-term growth.

Being recognized globally and being needed locally are not always the same. Toyota has achieved the former by steadily accumulating the latter. “Best in town” expresses this management approach.

Customer-First Mindset

“Best in town” does not simply mean providing high-quality products. It means understanding customers’ lifestyles, culture, road conditions, climate, and values and providing mobility that best fits each region.

Even the same vehicle may be used differently depending on the environment. Cold climates, deserts, urban areas, and rural communities require different performance and value. For this reason, rather than applying uniform global strategies, we emphasize systems that allow decisions and actions to be made locally.



This philosophy extends beyond product planning and design to sales and after-sales services. Dealers around the world serve not only as sales locations but also as our closest points of contact with customers. Feedback gathered through daily dialogue serves as the starting point for product improvements and new initiatives.

For Toyota, volume and share ultimately represent the trust we build with customers. The accumulation of this trust has supported our business over the long term.

Region-Centered Operations

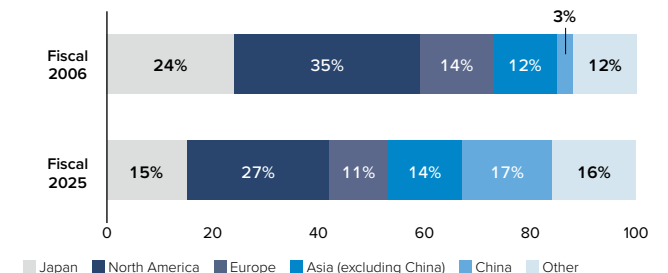
Toyota operates by dividing the world into eight major regions and managing each business based on the characteristics of those regions. Economic conditions, social issues, and levels of market maturity vary significantly from one region to another. For this reason, we have established a structure that enables each region to assess its own circumstances and customer needs and to make decisions and execute initiatives locally.

The cornerstone of this approach is our commitment to stay close to people’s lives and contribute to local communities through mobility. While the best solutions may differ by region, our overall direction remains the same. This approach remains consistent across both emerging and developed markets. Guided by our belief that “no one should be left behind,” Toyota has continued to offer a full global lineup. Leaders in each of the eight regions work closely with customers and local communities to deliver vehicles that best meet the needs of their respective markets.

1 Results of Region-Centered Management

As a result, we deliver vehicles to customers globally on the basis of a well-balanced business foundation, without depending too heavily on any particular region or market.

Distribution of Sales by Region



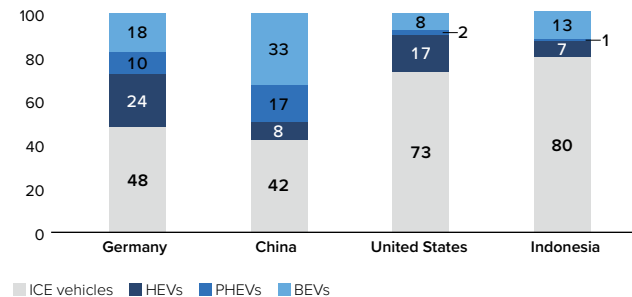
Toyota's Vision for the Mobility Society | Region-Centered Management

2 Finely Tuned Approach to Accommodate Differences in Electrification Progress

Energy conditions differ by region, and the pace of electrification and vehicle usage also varies widely. The powertrains required in each market therefore differ as well. To ensure that customer choice is never limited, Toyota continues to enhance the appeal and competitiveness of all powertrains, including battery electric vehicles (BEVs). In an uncertain environment, rather than trying to predict the future, we prepare a range of options to respond quickly to change.

Distribution of Market by Powertrain (2025)

(%)



Source: S&P Global Inc.

As examples of initiatives based on regional characteristics and focused on staying close to people's lives and contributing to local communities, we will introduce here the Innovative International Multi-Purpose Vehicle (IMV) series and our initiatives in China.



Returning to the Origins of Mobility: The IMV Series

The IMV series is designed to support the diverse lifestyles of customers around the world, including those in emerging markets. While the frame, engine, and basic structure are shared globally, the body, specifications, and intended uses are optimized for each region. Since the launch of a new pickup truck in Thailand in 2004, the series has expanded to more than 180 countries and regions and continues to evolve in line with local needs.

As customer needs diversify worldwide, Toyota has sought to provide high-quality, affordable vehicles by leveraging flexible hardware that enables customers to tailor vehicles to their lifestyles. Guided by this commitment and returning to our original concept of creating a truly affordable pickup truck that supports working people, we introduced the IMV 0 in 2023. In addition to its affordable price, the IMV 0 offers a high degree of flexibility, enabling a wide range of uses from business to personal applications. As a result, it has been well received, including by first-time vehicle buyers.



IMV 0

IMV Origin

IMV Origin, unveiled at Japan Mobility Show 2025, represents a new initiative to expand the IMV approach to regions where mobility remains a daily challenge. Vehicles are shipped from the factory in an unfinished state, with final assembly carried out locally. This approach creates new jobs in vehicle assembly within the community and contributes to the development of employment opportunities and skills. In addition, by allowing flexible customization to suit a wide range of lifestyles and work needs, IMV Origin aims to deliver mobility that best fits the unique conditions of each region.

IMV Origin takes a life-centered rather than product-centered approach. By enabling people to transport as many goods as possible safely and efficiently, it aims to improve quality of life and support changes in how people work and live.

– Toyota believes that mobility can support people's lives and livelihoods. –

The IMV series is one example of how we put this belief into practice. By working closely with local communities and addressing the specific challenges and conditions they face, we develop mobility solutions that are rooted in everyday life. Through these efforts, the series reflects Toyota's commitment to providing mobility for all.

Toyota's Vision for the Mobility Society | Region-Centered Management

Autonomous Initiatives in China

In China, many customers place a strong emphasis on interior comfort and space. Reflecting these preferences, vehicles have continued to grow in size, and China leads the world in BEV adoption. The market has shifted toward new-energy vehicles, including BEVs, which now account for a significant share of sales. At the same time, changes in the market environment and product cycles are rapid, and competition continues to intensify.



bZ5



bZ7

To better meet the needs of customers in China, and deliver smiles to its customers, Toyota has enhanced its on-the-ground approach and established an autonomous operating structure specifically tailored to the market. Functions ranging from research and development to battery production and manufacturing have been localized, enabling decisions and actions to be taken within China. In February 2025, we also established a wholly owned company in Shanghai to develop Lexus BEVs, allowing us to deliver vehicles that meet local needs faster.

Rapid advances in digital technologies and rising expectations for new customer experiences in China also provide valuable learning opportunities for Toyota. Short product cycles and fast-paced development offer insight that helps strengthen and enhance the agility of our global operations.

BEVs developed and launched in China are steadily gaining traction in the market. By empowering regional teams to make decisions and act autonomously, these initiatives demonstrate how Toyota can achieve growth on a global scale. At the same time, we are strengthening our presence in the world's largest automotive market while leveraging insight from China's rapidly evolving digital ecosystem and BEV development across our global operations.

Rooted in Local Communities, Connected Globally

Initiatives that begin in a single town and with a single customer are carried out by thousands of dealers around the world. By working together, Toyota has become a company chosen by customers globally.

In addition to delivering high-quality products, Toyota is supported by the people who bring those products to customers in each region and build lasting relationships. Partnerships grounded in trust, credibility, and mutual understanding create value rooted in local communities and foster loyalty across generations.

Guided by our aim to be "best in town" and the mantra of "making ever-better cars," we continue to evolve our vehicles by responding to the unique characteristics of each market and the needs of customers in every region.

By maintaining a full global lineup and continuously evolving our vehicles to meet the needs of different eras and regions, we have produced many long-selling models, such as the Corolla and the Land Cruiser, that are loved by customers worldwide.

Going forward, under its "best in town" philosophy, Toyota will remain deeply rooted in local communities, stay close to customers' lives, and continue delivering products that are loved for generations as a mobility company.



Toyota's Vision for the Mobility Society | Region-Centered Management

Value Chain Businesses

Overview of Value Chain Businesses

Value chain businesses provide customers with continuous value throughout the long ownership period after the sale of a new vehicle. We view automobiles not as products whose value is delivered at the point of sale but as products whose true value is delivered only through their entire life cycle, including use, maintenance, and replacement.

We work together with dealers to offer a wide range of services, including accessories and service parts, maintenance, financing, insurance, used vehicles, and connected services. Underlying these efforts is our “best in town” philosophy. Rather than implementing uniform global measures, we place emphasis on designing optimal services tailored to the needs of customers in each region.

Characteristics of Automobiles as Products

Automobiles are products with exceptionally long lifespans.

Toyota's first product, the Type G1 Truck, experienced frequent breakdowns. Our founder, Kiichiro Toyoda, personally visited customers and service sites to address issues directly. This experience became the starting point of Toyota's philosophy that our responsibility does not end at the point of sale.

Chairman Akio Toyoda has also spoken about this in past remarks:

“An automobile company must take responsibility for the entire flow—from materials procurement and the manufacturing of parts and vehicles to disposal. Vehicles remain in use for 30 to 40 years. While the technology to build vehicles is important, what matters even more is the commitment to respond to customers and to changes over the long period after a vehicle has been sold.”

Value chain businesses embody this philosophy in practice and reflect Toyota's commitment to taking responsibility for each vehicle throughout its life cycle.

Current Value Chain Business Foundation

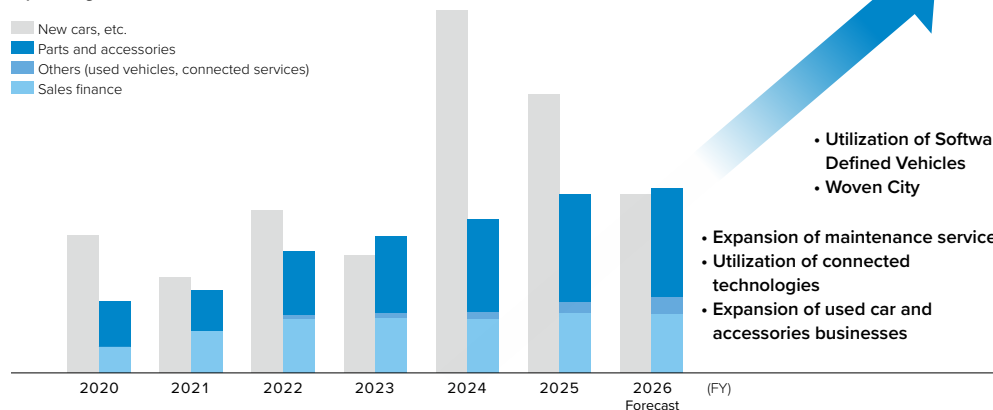
Currently, more than 150 million Toyota and Lexus vehicles are in use worldwide, and this installed base forms the foundation of our value chain businesses. Leveraging this global customer base, Toyota continues to strengthen these businesses.

Automobiles have long product lifespans, creating many touchpoints with customers over time. By building continuous relationships through daily services and support, dealers become trusted and dependable partners, and vehicles expand their role from a means of transportation to part of social infrastructure.

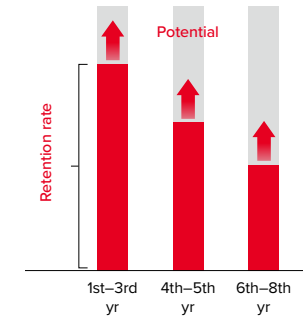
Against the backdrop of these long-term customer relationships, operating income from value chain businesses—including accessories and parts, maintenance, financing, insurance, and connected services—has increased steadily by approximately ¥150 billion per year in recent years, reaching around ¥2 trillion

Operating Income from New Vehicles and Value Chain Business

■ New cars, etc.
■ Parts and accessories
■ Others (used vehicles, connected services)
■ Sales finance



Retention Rate by Vehicle Age (Global, Fiscal 2025)



and accounting for roughly half of our total operating income. While new vehicle sales are more susceptible to macroeconomic conditions, value chain businesses provide a stable earnings base supported by our installed vehicle base and serve as a key pillar sustaining continued investment toward our transformation into a mobility company.

To further expand our value chain businesses, we aim to increase our customer retention rate.*1

During the manufacturer warranty period,*2 regular inspections and maintenance enable us to sustain a high level of contact through dealers. However, after the fourth year, contact with customers gradually declines.

To address this, we are expanding maintenance services, strengthening coordination with financing and insurance through connected technologies, and broadening affordable options for service parts and accessories. By maintaining more frequent and longer-lasting connections with customers, we will further enhance the value of the over 150 million units in our installed base, which remains one of Toyota's core strengths.



- Utilization of Software Defined Vehicles
- Woven City
- Expansion of maintenance services
- Utilization of connected technologies
- Expansion of used car and accessories businesses

*1 The rate at which we maintain ongoing touchpoints with customers through our dealers

*2 Varies by region. In Japan, the general warranty is valid for three years from the date of new-vehicle purchase or up to 60,000 km, whichever comes first.

Toyota's Vision for the Mobility Society | Region-Centered Management

Value Chain Businesses

Strengthening Customer Touchpoints

As a specific example of value chain business initiatives, we have introduced Service Activated Warranty (SAWA), primarily in Europe. Unlike a conventional extended warranty, this program provides one year of additional warranty coverage from the date a vehicle is brought to a dealer for regular maintenance. It applies regardless of past purchase or service history. Eligibility is not limited to customers who purchased new vehicles from Toyota dealers. It also includes used vehicle owners and customers who purchased Toyota vehicles through other channels. As a result, the program has created opportunities for customers who previously had limited contact with dealers or whose vehicles were serviced elsewhere to return to Toyota dealers.

In addition, primarily in Southeast Asia, we began expanding our lineup of value-priced parts (brand name: T-OPT) in 2024. Working with Toyota-certified partner companies, we develop and offer affordable service parts to meet the needs of customers, particularly owners of older vehicles, who prioritize a balance between price, performance, and durability.



For accessories as well, many customers in the United States prefer vehicle customization, and we offer a wide range of products tailored to these needs. For example, we provide accessory packages such as "Trailhunter," which help meet customer demand while increasing our customer retention rate and contributing to earnings growth.

Further Expansion of Value Chain Businesses

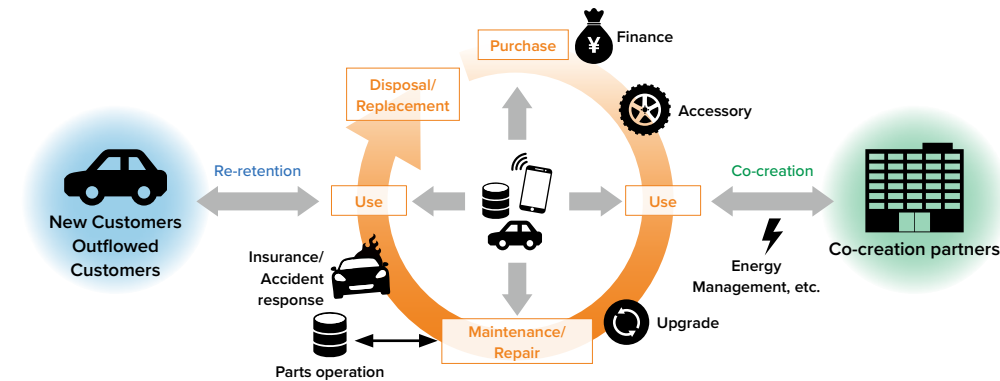
Software Defined Vehicle (SDV) services are the primary growth driver of the continued expansion of our value chain businesses. They enhance the value of existing value chain offerings, including accessories and service parts, maintenance, financing, insurance, used vehicles, and connected services, while also serving as a business foundation that continuously enables the creation of new services and supports future earnings.

[Page 78 Software Defined Vehicles \(SDVs\)](#)

Expansion of Value Chain Businesses Through SDVs

- Establish continuous customer touchpoints through the vehicle
- Deliver timely solutions and value by leveraging vehicle, user, and environmental data
- Expand service domains through collaboration with co-creation partners
- Reach new customer segments previously beyond our reach
- Enhance operations and improve profitability through the use of SDV data

Significance of SDV Services in Value Chain Businesses



Toyota's Vision for the Mobility Society | Region-Centered Management

Value Chain Businesses

Upgrade Services Already Underway

The Toyota/Lexus Upgrade Factory is an official upgrade service that enables customers to retrofit or update genuine manufacturer equipment and functions on Toyota vehicles they currently own.

By offering driver-assistance features, comfort functions, and software updates (previously available only at the time of new vehicle purchase) to vehicles after purchase, the service aims to sustain and enhance vehicle value over the long term.

The Toyota Upgrade Factory was established by reexamining the conventional assumption that the latest features can only be provided with new models and based on the belief that our responsibility does not end at the point of sale but extends throughout a vehicle's life cycle.

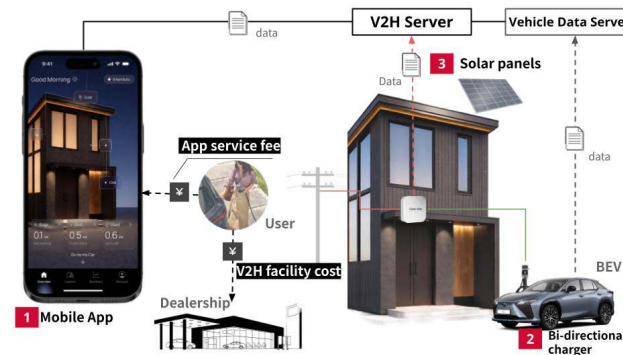
Examples of Upgrade Services



Emerging Energy Management Domain (V2H–V2G)

Vehicle to Home (V2H) and Vehicle to Grid (V2G) connect electrified vehicle batteries bidirectionally with homes and power grids, optimizing how energy is stored, used, and returned. Adoption is accelerating amid expanding renewable energy and fluctuating electricity prices.

For example, electricity generated by solar power during the day can be stored in a vehicle and supplied to homes or the grid at night when generation is lower. This offers several benefits, including helping stabilize the power supply, curbing the amount of electricity purchased, and utilizing grid-side incentives, thereby enabling customers to realize economic value. Such initiatives require large-scale, real-time coordination of electricity data. Through SDV services, we can immediately understand the ways customers use vehicles and the condition of batteries and control charging and discharging accordingly, enabling the practical implementation of these services.



As vehicles evolve into SDVs, the scope of our value chain businesses will continue to expand.

Looking ahead, with SDV services as the foundation, we will strengthen our existing sales and service operations, pursue new value creation, and expand the value chain ecosystem, enhancing convenience in customers' daily lives as we continue our transformation into a mobility company chosen by customers.

Toyota's Vision for the Mobility Society

Human-Centered Automobile Manufacturing | **Our Inheritance of Craftsmanship**

Through human-centered *monozukuri* (manufacturing), Toyota is changing the plant environment and the future of cars.

Advanced technologies that will change the future of automobiles take shape at the manufacturing *genba*.

In an era without a clear path forward, we must transcend the boundaries between development and production to work together with a “start-up-company” mentality to shape the future, especially if we are to continue enhancing the strengths of Toyota's *genba* (front lines). Our plants aim to provide an environment where everyone is empowered to contribute and succeed.

This section introduces the key strengths of Toyota's manufacturing.

Unmatched Strengths of Toyota's *Monozukuri*

1 Founding Spirit

The spirit of wanting to make someone else's work easier and making everyone smile, present since the Company's founding, is still alive and well at Toyota's *genba* and can be sensed throughout the entirety of the organization. Just as when Sakichi Toyoda invented the automatic loom, there is a start-up-company mentality that continues to be a driving force within Toyota even today. This force propels us to create something out of nothing, make improvements, and introduce the world to appealing products.

2 Passing Down Superior Skills and Techniques

There is a set of superior skills and techniques that underpin our *monozukuri*, which are passed on to each new generation of

employees. While utilizing automation, human operators teach robots the skills used to achieve both high quality and high productivity, and, while teaching, these human operators are also raising the level of their own skills. Those skills are then used again, in turn, to teach robots. This cycle drives the ongoing refinement of Toyota's skills and techniques.

3 Training Human Resources and Toyota's Strengths in the Workplace

The power of the *genba* comes from the effective utilization and entrenching of the Toyota Production System (TPS), whereby everyone is encouraged to act with a passion for manufacturing and pursue *kaizen* (continuous improvement), and we are training people to adopt this approach. This *genba* power has enabled us to achieve a full lineup of automobiles generating annual sales volumes of over 10 million units that answer the diverse needs of our customers.

The automotive industry is in an era of massive transformation, a change in the game where survival is at stake. At times like these, it is increasingly important to effectively pass on Toyota's unique techniques and *genba* power—the *monozukuri* strengths that only Toyota possesses.

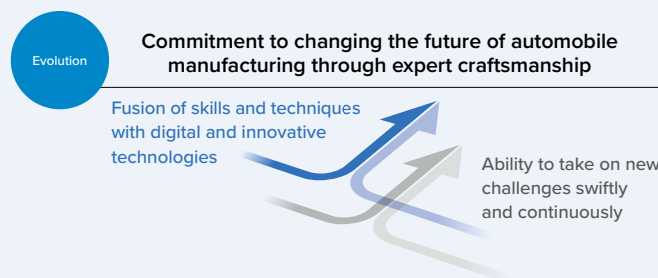
Evolution of *Monozukuri*

Toyota aspires to change the future of automobile manufacturing through its expert craftsmanship. To accomplish that, we need to evolve *monozukuri* through the fusion of skills and techniques with digital and innovative technologies. We must also shorten lead times so that we can swiftly and continuously take on new challenges. Within the Toyota Production System is a technique called lead-time reduction. The strength of our *monozukuri* lies in the ability to increase the speed of evolution and respond to changing times.

We also aim to change the future of *monozukuri* by changing plant environment landscapes. To do this, we may need to break the status quo of the production divisions. We aim to halve the number of processes by using Toyota's techniques in synergy with digital and innovative technologies. At the same time, we will work to eliminate the barriers between development and production to swiftly provide new mobility. In addition, efforts will be made to resolve issues at the foundation of our *monozukuri*, such as carbon neutrality as it relates to plants and logistics. We aim to achieve all these objectives using the power of Toyota's *genba* through a mutually beneficial relationship between people and technology.

Toyota has been, and always will be, a pioneer, shaping the times and mass-producing happiness for all by creating a *genba* with people at the center, where work is done to make someone smile, where gratitude overflows, and where people can work with enthusiasm.

➡ Basic tenets of Toyota's *Monozukuri* (Founder's philosophy / High level of skills and technologies)



Toyota's Vision for the Mobility Society | Human-Centered Automobile Manufacturing

Plant Initiatives

Toyota's factories should be a place where *monozukuri* continues to bring excitement 10 years from now and beyond.



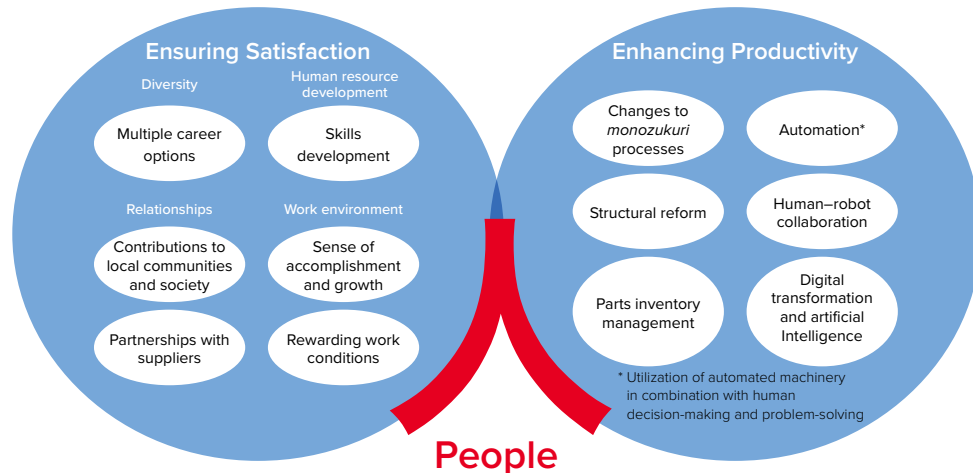
The environment surrounding the manufacturing industry is undergoing major changes, such as declining work populations, the changing lifestyles of people, and rapid technological advancements, and accordingly the industry is facing various challenges.

Recognizing this situation as a significant opportunity for change, we will come together with our employees, our suppliers, and local communities to envision and realize our ideal factory of the future that will invent our path forward and produce happiness for all, so that *monozukuri* (manufacturing) continues to bring excitement to Japan and the rest of the world 10 years from now and beyond.

In 2024, we launched a Factories of the Future Team to establish a vision for our factories 10 years from now and to consider future workstyles for employees working in these factories. Accordingly, the team is currently taking on the challenge of demonstrating concepts for future factories.

In addition, by pursuing changes in not only the environment of factories but also workstyles, the team aims to realize sustainable human-centered *monozukuri* focused on employee fulfillment and productivity. By doing so, the team is promoting the creation of attractive future factories that enable employees to experience the happiness and joy of *monozukuri*.

Two Essential Axes for Future Factories



Sustainable Human-Centered *Monozukuri*

1 Ensuring Satisfaction

By adopting cutting-edge technologies and fully automating arduous tasks, we will shift our employees' focus to highly skilled tasks that provide high added value. At the same time, we will create a workplace where diverse people can grow and gain a sense of satisfaction and happiness through their work.

Over the years, we have cultivated genuine, robust *monozukuri* capabilities through our employees' commitment to Toyota's structures and systems. Going forward, utilizing these capabilities as a foundation, we will develop our factories into places with structures and systems tailored to our employees, where diverse people of all genders, ages, and capabilities can play an active role and work comfortably, and where people desire to work. To that end, we are conducting pilot tests to shift from conventional values and systems and aim to create new standards to be deployed on our factory floors.

For example, those seeking to balance childcare or nursing care may flexibly schedule work around these other demanding tasks. In consideration of those with declines in physical strength or visibility, such as those that come naturally with age, and to allow them to continue their involvement in car manufacturing and enjoy a continuing rewarding experience, we will review and revise manufacturing processes, environments, and systems and strive to create a workplace culture in which diverse people can play a diverse and active role. We will also provide opportunities for education on AI, robotics, and digital technologies so that employees continue to have opportunities for personal development within the changing environment.

2 Enhancing Productivity

Anticipating a declining global workforce 10 years from now, rather than focusing on conventional drivers of production efficiency, we will promote the advancement of diverse personnel and pursue significant automation and labor-savings to further evolve the structure and *monozukuri* of automobiles, integrating development, production, logistics, and suppliers.

- Redefine productivity and expand the range of human-friendly processes in which diverse people can play an active role
- Reduce lead times through automation and labor-savings via the use of cutting-edge technologies (including digital transformation, robotics, and AI)
- Pursue the advancement of innovative processes that enhance both vehicle structures and manufacturing
- Respond to the diversifying needs of customers while promoting the manufacture of low-cost, high-quality products

Toyota's Vision for the Mobility Society | Human-Centered Automobile Manufacturing

Plant Initiatives

A Workplace for All—How a Focus on People and Skills Drives the Takaoka Plant's Evolution

Three Initiatives Aimed at Evolving the Takaoka Plant

The Takaoka Plant boasts Toyota's first dedicated battery electric vehicle (BEV) production line in Japan. We are taking on the following challenges at each *genba* (front line) to revitalize the plant and make it a place where anyone can thrive and work anywhere.

1 Doing Away with Physically Taxing Tasks

After the stamping and welding processes in body manufacturing, the body shell is sent to the paint shop still containing holes required in upstream processes. These holes are unnecessary on a finished vehicle, and if left as-is, could allow water to enter the cabin. To prevent this, they are closed off with adhesive patches.



Adhesive patches used to cover holes from earlier production stages

The patches are applied by hand as the body passes overhead. A single vehicle has around 30 such holes, requiring different patches depending on their size.

The process of looking up at the vehicle body and applying

different seals is both physically and mentally demanding. To that end, we are working to utilize robots to automate this work, allowing workers to switch to the role of robot operator. The aim is to have robots handle these kinds of physically demanding tasks, making work easier for human workers.

2 Changes for a Stronger *Genba*

During the assembly process, each body that comes down the line bears a paper instruction sheet listing all of the parts to be assembled by each section.

Line workers check the necessary parts by deciphering the combinations of symbols, letters, and numbers that fill the A3-sized (297 × 420mm) page. Should they happen to misread one, the car may end up being delivered to customers with an incorrect part.

What's more, certain parts are mounted inside the vehicle where the instruction sheet is not visible, forcing workers to go in and out every time they need to check it.

The plant is addressing these issues with electronic instruction sheets that show each assembly worker only the information they require. These electronic sheets are displayed on tablets mounted on the work carts used for assembly. Parts requiring special attention can be highlighted, reducing the mental strain of worrying about misreading.



Electronic sheet



Electronic instruction watch

The Takaoka Plant has also introduced wristwatch-style devices that display assembly information, which eases the physical burden by eliminating the need to go in and out of vehicles to check instructions.

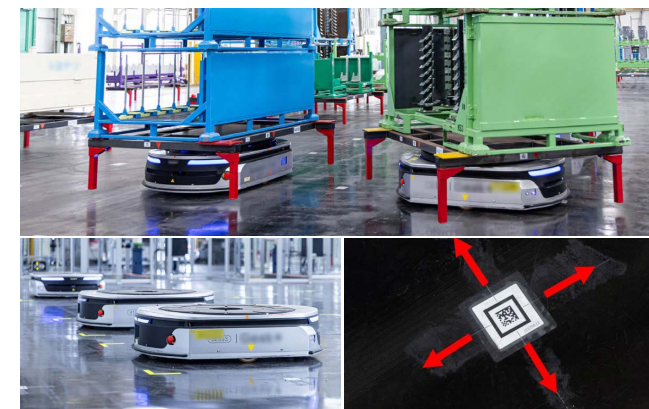
3 Letting Robots Do the Heavy Lifting

In addition to improving workstyles for each part of the production

line, significant reforms are being made to the logistics *genba* at the Takaoka Plant.

Parts are welded together to create vehicle body frames. Before arriving, these components are delivered to the plant's yard by logistics contractors. Since their trucks are unable to enter the plant, drivers must switch to forklifts to unload each shipment. Once the parts are inside, the plant's logistics personnel use transporter vehicles to deliver them to the appropriate sections. This setup requires both the truck drivers and logistics staff to travel back and forth through the vast plant.

To streamline this operation, the Takaoka Plant is turning to autonomous mobile robots (AMRs) for transporting parts. AMRs can move forward, backward, left, or right and make their way around by reading 2D codes affixed to the floor. With such codes arranged throughout the plant, operators can map out the optimal route for a given situation. Onboard sensors automatically ensure that the robots avoid collisions with other AMRs or obstacles.



AMRs

2D code

Automated guided vehicles (AGVs) are another option for unmanned transport within production plants. However, because

Toyota's Vision for the Mobility Society | Human-Centered Automobile Manufacturing

Plant Initiatives

they move by following magnetic tape along the floor, routes cannot be easily altered once set. Among other disadvantages, AGVs are unable to navigate around obstacles in their path.

By contrast, the flexible route-setting of AMRs makes it possible to cover a larger area with unmanned transport. Combined with reorganizing the logistics yard, this upgrade means that delivery drivers now travel no more than five meters from their truck when unloading by forklift, reducing the risk of accidents.

AMRs autonomously convey parts within the plant as well, reducing the distances driven by transporter operators.

The Toyota High Density Storage Sorting System (THDS) was developed on the assembly lines at the Takaoka Plant. A single car is said to contain some 30,000 parts. As the name suggests, the THDS deals with all the parts delivered by logistics contractors, automatically sorting them according to type and the production stage in which they are required.

The system automates the task of moving and sorting parts onto their designated racks, previously carried out by the plant's logistics personnel using transporters. Parts for specific production stages can then be entered into the THDS as required, and the system will automatically prepare them for pickup.

Previously, line workers had to search for and retrieve what

they needed from the racks of components. In a single day, they would walk as much as 15 km. Thanks to the THDS, that figure has fallen to around 2.7 km. Pickup points are also set at heights that can be easily reached by all staff.

The Future of the Takaoka Plant

Takaoka Plant General Manager Mitsuhiro Morita discussed the future of the plant.

Right now, the Takaoka Plant is pursuing initiatives to transform its working environment with a human-centered perspective.

We are striving to eliminate any tasks that involve carrying heavy loads or working in hot environments, for example, with the vision of becoming a plant where all employees can thrive. When I explained this to President Koji Sato, he asked me, "So, what



Takaoka Plant General Manager Mitsuhiro Morita

happens to the people who were working in those roles?"

Those forklift and transporter operators, for instance, have cultivated extensive knowledge and skills in logistics. We harness that expertise by asking them to take on

higher-level challenges in roles that involve designing efficient logistics systems that utilize robots and digital solutions.

By acquiring new knowledge as times change, those who possess advanced skills can pave the way forward by drawing on next-generation technologies and approaches to work. Doing so gives rise to roles that make use of their skills in different ways, and by continuing to hone their craft they drive further evolution. In my mind, therefore, there is absolutely no need to worry about machinery eliminating the need for skilled people.

When I said as much to President Sato, he remarked, "That is the very heart of Japanese *monozukuri*, isn't it?" It is about coexisting

with machines and technology while allowing people to perform jobs that make greater use of their unique strengths. We believe that evolution comes through reforms that place skills and workers at the center, and that is what we will continue striving to achieve.

Beginning with the Corolla, over its history, the Takaoka Plant has continued to produce many beloved popular models.

Building on the skills cultivated by earlier generations, the plant's next evolution is aimed at helping bring BEVs to the masses.

It brings an unwavering dedication to craftsmanship, and a production lineup that changes with the times. To ensure that this *monozukuri* spirit lives on into the future, the Takaoka Plant's *genba* is committed to creating an environment where every worker can flourish.

How Automation, Digitalization, and Diversity Drive the Kamigo Plant's Evolution

Two Initiatives That Are Driving the Kamigo Plant's Evolution

Toyota's Kamigo Plant began operating with state-of-the-art facilities and weighty expectations. Today, what is the plant doing to ensure it will still be making engines a decade from now?

1 An Automated Line 18 Years in the Making

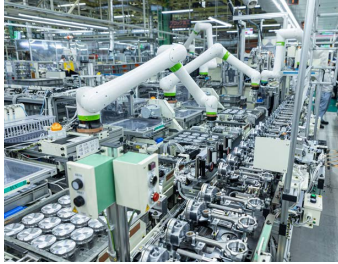
On piston sublines, the work is now performed entirely by robots. A row of robotic arms grasps parts and fits them together. Engine production can be broadly divided into two assembly processes: the main line, which assembles the engine itself, and sublines that put together the engine's individual components. On the piston subline, pistons are attached to the connecting rods that transmit the piston's up-and-down movement to the crankshaft. These assemblies are then sent off to the main line.



THDS automates moving and sorting parts

Toyota's Vision for the Mobility Society | Human-Centered Automobile Manufacturing

Plant Initiatives



The Kamigo Plant had previously added robots to sublines from 2008 as a labor-saving measure, but only for certain processes. At the time, however, Toyota was in the middle of expanding its engine plants globally.

Lacking skilled maintenance staff overseas, the Company had to revert back to manual operations so that expertise from domestic plants could be deployed abroad. In response, employees developed jigs and tools that could double or triple efficiency, even when working by hand, and this assembly line configuration was rolled out around the world.

In the case of the piston line, which began running with robots in January 2025, experience gained in the days when parts were assembled by hand has benefited the automation process. This entails not just moving in a straight line but training robots to have the sense and instincts of a human worker, reflecting aspects of how the task is done by hand. While we have achieved full automation here, with three operators becoming zero, no other line in the Kamigo Plant has achieved this.

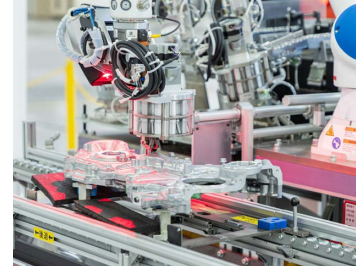
2 Setting Sights on Future Automation

In 2024, the Kamigo Plant launched its Co-Creation Line project. The objective is to establish a line that harnesses current technical capabilities while offering a rewarding experience for future workers. At the same time, the plant is also looking to bring casting, machining, assembly, and even maintenance and quality control together from separate lines and buildings.

The Kamigo Plant is currently developing various technologies that will underpin future automation in engine manufacturing. The hope is that, with increased automation, workers can shift to tasks that add greater value.

These underlying technologies are refined on mass production lines before being incorporated into the Co-Creation Line. The first automated machine created in this way will start out on the Toyota New Global Architecture engine assembly line.

Furthermore, a robot has been designed at the Co-Creation Lab, which develops equipment for the Co-Creation Line. This machine sets bolts on an engine component known as the timing chain cover, a process that can now be automated thanks to advances in camera technology.



Engines Aren't Going Anywhere



Kamigo Plant General Manager Saito

At the Auto Salon in 2025, Toyota unveiled a GR Yaris midship concept featuring a new 2.0-liter engine. Even in this so-called age of electrification, Toyota has remained committed to making engines.

General Manager Saito feels that the foundation for the Kamigo Plant's current push into automation, digitalization, and greater diversity is its ceaseless dedication to *kaizen* (continuous improvement).

There was a period when even we believed that engines were on the way out.

"If we're going to switch to BEVs, we'll need capital for BEV production."

"We need to earn money while we can."

"It's up to our plants to generate capital for new businesses."

That's how we all felt. Our mindset has always been that, to make this possible, we needed to continually improve. I think that served us well. Even with BEVs on the rise, we are still ticking along. At that point, if we had just stopped and said, "That's it for engines, we're done—stop spending money and making improvements," I don't think we would be here today.

If we're thinking about the future, automation is essential. We have a vision of where we want to be, and we intend to keep working toward it. We face personnel shortages stemming from Japan's declining birth rate and an aging population, which is shifting away from manufacturing. To solve this problem, we need more than just worker-friendly environments—we must change the way our production lines operate. That's why all of us now talk about making good use of digital solutions. Bit by bit, we are discovering how best to transform our facilities through the use of digital technologies.

Assigned to the Kamigo Plant upon joining Toyota, General Manager Saito forged his career at the plant. He describes the evolution highlighted in this feature as a way of "giving back" and hopes "the plant will remain firmly profitable, even in 10 or 15 years."

We closed out the interview by asking him if the end was in sight for engines. "Engines aren't going anywhere. We want to keep making engines that are more efficient and can contribute to decarbonization. I believe there is still much that can be achieved through engine development."

Toyota's Vision for Carbon Neutrality: Overview of the Multi-Pathway Strategy

Carbon Neutrality

Overview of the Multi-Pathway Strategy

The push for carbon neutrality is a matter of urgency if automobiles are to remain a necessary part of society.

Efforts to provide our customers around the world with options for mobility under our multi-pathway strategy, while also promoting the decarbonization of our *monozukuri* (manufacturing) and supply chains, serve as the core of our activities.

It is important to consider the ways in which mobility takes into account the future of energy. The multi-pathway strategy's basic premise is that we need to move away from fossil fuels from the perspectives of the global environment and sustainability. Furthermore, over the medium to long term, renewable energy sources are expected to continue to proliferate, with electricity and hydrogen emerging as the primary energy sources sustaining society. In the short term, however, it is critical to acknowledge global realities and implement changes in practical ways that maintain energy security.

That is precisely why we are committed to providing mobility options that are in tune with a diverse range of energy situations and customer needs, while also keeping an eye on the future of electricity and hydrogen. In short, the underlying concept of our multi-pathway strategy is to focus on promoting a practical transition even as we pursue carbon neutrality.

Diverse Options (Multi-Pathway Solutions)



- Toyota sales volume to reach 3.5 million units per year by 2030



- Positioned as practical BEVs
- Development of PHEVs with EV driving range of 200 km or more



- Effective means to reduce GHG emissions immediately



- Contributions to GHG emissions reduction from owned vehicles**
- **1 New and previously sold vehicles



- Development of hydrogen engines utilizing internal combustion engine technologies



- Mass production and commercialization of vehicles mainly used for commercial purposes
- Annual number of Toyota vehicles equipped with fuel cells anticipated to total 100,000 by 2030

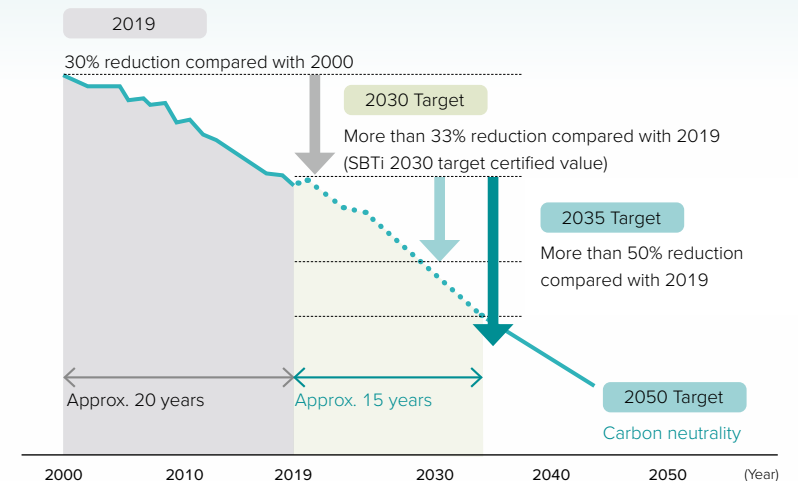
Greenhouse Gas Reduction Targets

We are fully committed to the goal of achieving carbon neutrality throughout the entire life cycle of our vehicles by 2050. We aim to reduce the average greenhouse gas emissions of vehicles sold worldwide by more than 33% by 2030 and by more than 50% by 2035 compared with 2019.

Well-to-Wheel Greenhouse Gas Reduction Targets^{*2}

Global (including emerging countries)

Global greenhouse gas emissions per new vehicle (including emerging countries)

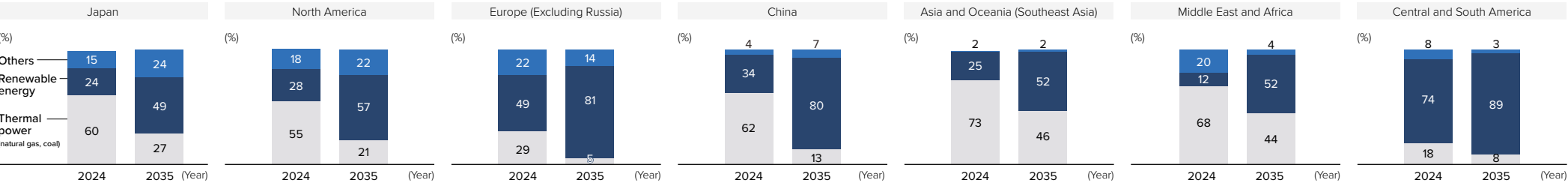


^{*2} Includes greenhouse gases emitted during the production of fuel and electricity in addition to greenhouse gases emitted while driving

Toyota's Vision for Carbon Neutrality: Overview of the Multi-Pathway Strategy

Renewable energy

Energy Situation by Region Source: STEPS scenario, World Energy Outlook 2025, International Energy Agency



References Source: Global unit sales (S&P Global)

Motor Battery Engine Gasoline tank Hydrogen tank Fuel cell

BEV
Battery Electric Vehicle

BEVs are electric vehicles that lack engines and are therefore powered solely by motors. BEVs can run without directly emitting CO₂ while in operation.

Global Market Scale (2024)
11.1 million units

Projected Major Adopting Markets
China, North America, Europe

PHEV
Plug-in Hybrid Electric Vehicle

PHEVs feature rechargeable batteries and, like BEVs, are capable of running solely on electricity without emitting CO₂ in various situations as part of daily use. For long-distance driving, PHEVs can run on both motor and engine power, offering a long driving range.

• Operation possible without charging Infrastructure

Global Market Scale (2024)
6.0 million units

Projected Major Adopting Markets
Developed countries, China

HEV
Hybrid Electric Vehicle

HEVs are hybrid vehicles that achieve low fuel consumption by effectively using two propulsion systems: an engine and a motor.

• No need for new infrastructure facilities

Global Market Scale (2024)
12.0 million units

Projected Major Adopting Markets
Emerging and other countries

CN Fuel
Carbon-Neutral Fuel

In conventional internal combustion engines, Toyota seeks to utilize e-fuel (synthetic fuel) and sustainable biofuels. Although CO₂ is emitted during the combustion of such fuels, they are referred to as carbon neutral because they are produced using CO₂ found in the atmosphere and thus have no effect on the total amount of CO₂.

• No need for new infrastructure facilities
• Can be used with already owned vehicles

Projected Major Adopting Markets
Emerging and other countries

H₂
Hydrogen Engine Vehicle

Hydrogen engine vehicles use hydrogen to fuel conventional internal combustion engines. Despite being internal combustion engine vehicles, these can run with virtually no CO₂ emissions while in operation. Development of hydrogen engine vehicles is underway geared toward offering these vehicles as a new option for the future.

Projected Major Adopting Markets
China, Europe, North America, Japan

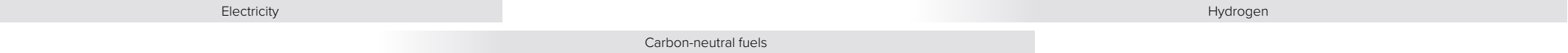
FCEV
Fuel-Cell Electric Vehicle

FCEVs are fuel-cell vehicles, also known as hydrogen fuel-cell vehicles. These engine-less vehicles run on a motor powered by electricity generated through a chemical reaction between the hydrogen and oxygen in the tank. FCEVs can run without directly emitting CO₂ while in operation.

Global Market Scale (2024)
10,000 units

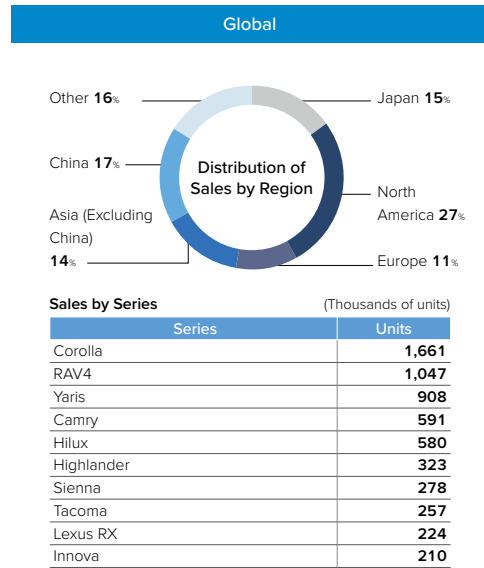
Projected Major Adopting Markets
China, Europe, North America, Japan

Medium- to Long-Term Trends in Energy Use

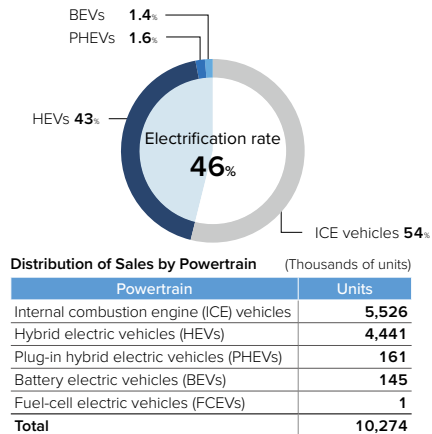
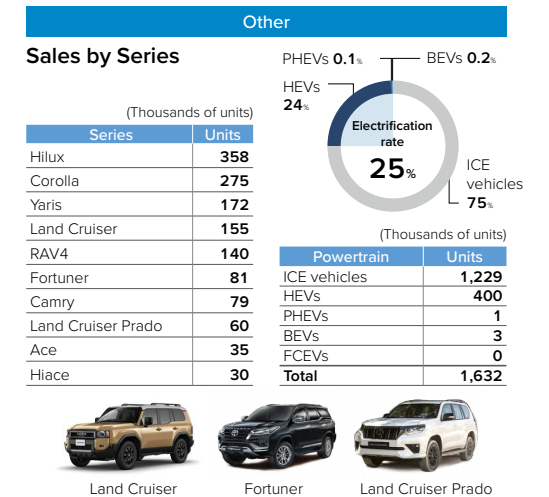
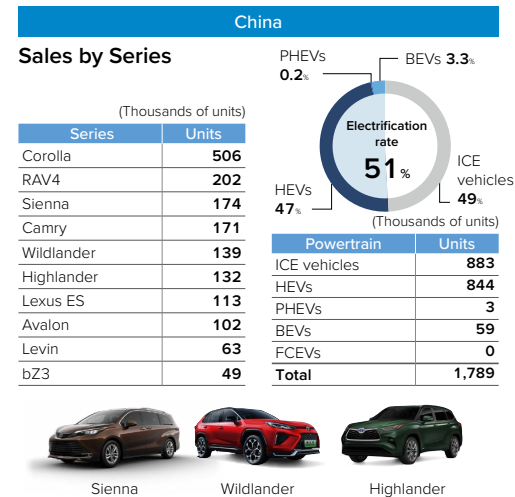
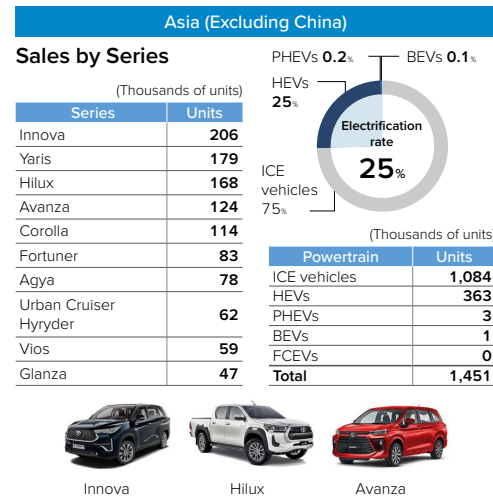
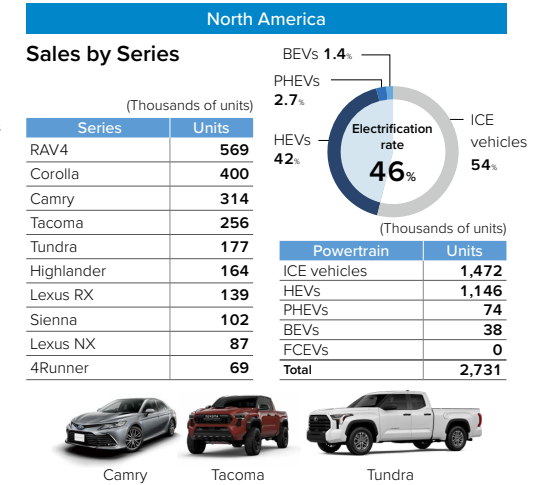
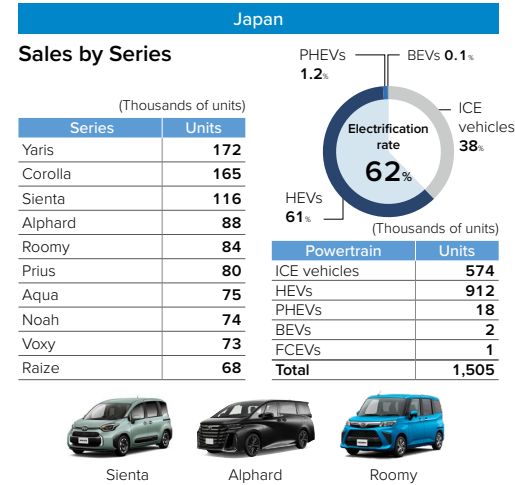
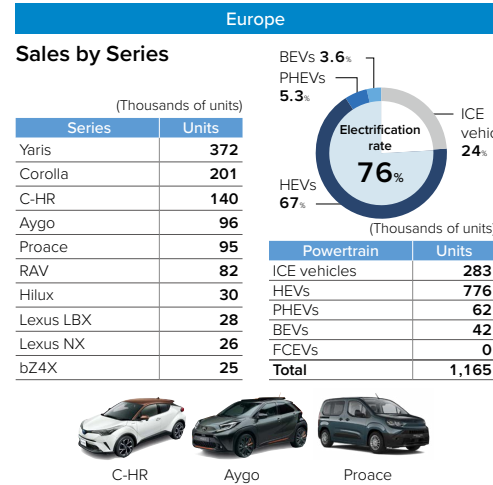


Toyota's Vision for Carbon Neutrality: Overview of the Multi-Pathway Strategy

Full Lineup for Meeting Diverse Needs (Fiscal 2025)



Major Vehicle Models



Toyota's Vision for Carbon Neutrality: Overview of the Multi-Pathway Strategy

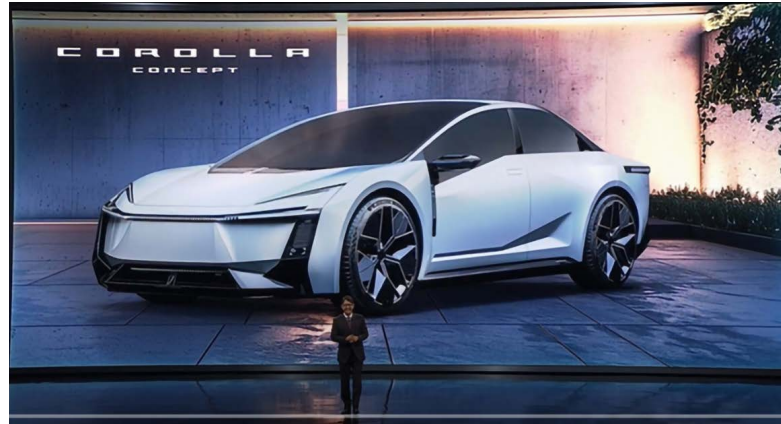
Advancement of the Multi-Pathway Strategy

Advancing Technologies That Support the Multi-Pathway Strategy

“

Unveiled at the Japan Mobility Show in October 2025, the Corolla Concept embodies Toyota's aim to create a vehicle that people want to drive, regardless of powertrain, whether battery electric, plug-in hybrid, hybrid, or internal combustion. A new compact, high-efficiency engine currently under development, together with the evolution of platforms that support Toyota's multi-pathway strategy, plays a central role in realizing this aim.

”



President Koji Sato communicates Toyota's multi-pathway approach and initiatives to partners and stakeholders from around the world at the WORLD ARIGATO FEST.2025, held in December.

This was how President Koji Sato explained the Corolla Concept.

Even at times when the world appeared to be focused solely on battery electric vehicles (BEVs), we did not waver from the core of our multi-pathway strategy. This is because we believe that there is no single path to achieving carbon neutrality. Customer needs differ by region, and so do the solutions required. That is why we are pursuing the potential of all powertrains, rather than relying on a single powertrain alone.

The same applies to internal combustion engines. The flame has not been extinguished. Smarter and cleaner engines will continue to play an important role on the path toward carbon neutrality.

However, offering a diverse range of powertrains also presents a challenge, as it requires a similarly diverse set of platforms. From the perspectives of engineering and manufacturing (*monozukuri*), the question has been how a single platform can accommodate all powertrains. The new Corolla Concept is the result of our pursuit of that answer.

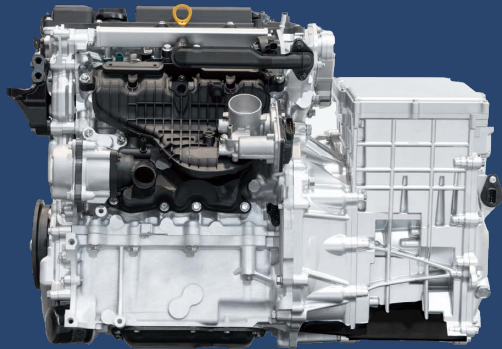
This concept symbolizes the evolution of the Toyota New Global Architecture (TNGA). A single platform can accommodate all powertrains without compromising design or interior space. In 2024, Toyota announced the development of a new engine that achieves significant downsizing. By leveraging this technology, everything from BEVs to internal combustion engine vehicles can be produced on the same platform.

While Toyota is a mass production automaker, it aims to pursue mass production focused on each individual customer. In doing so, this platform will play an important role.

Toyota's Vision for Carbon Neutrality: Overview of the Multi-Pathway Strategy | Advancement of the Multi-Pathway Strategy

ENGINE ReBORN

Developing a New Concept Engine Based on Electrification



The 1.5L inline 4-cylinder engine being developed by Toyota

Toyota's 1.5L and 2.0L Inline 4-Cylinder Engines

Under its multi-pathway strategy, Toyota has been leveraging the technologies it has cultivated in each of its powertrains to enhance the competitiveness of its products. When analyzing BEVs based on fundamental principles, the greatest factor impacting driving distance is aerodynamics. Building a car with an emphasis on aerodynamics naturally changes its design and structure. For a car to have a low center of gravity and a low hood, the size of its components must be reduced. By applying the insight gained through the development of BEVs to the development of PHEVs and HEVs, we can further improve the fuel economy of these vehicles.

To that end, we are developing new engines with a shift in perspective, which is to create a PHEV using a BEV package or a PHEV that is essentially a practical BEV with an engine.

Furthermore, as these electrified vehicles run on both an engine and a motor, there is no need for the engine to cover all driving ranges, since the motor can be relied on to a moderate degree. In this way, the new engines truly cater to the characteristics of electrified vehicles.

By designing the new engines with electrified vehicles in mind, we are able to actively control the engine using the motor, a hitherto unaccomplished feat for Toyota. We can also control the fuel injection volume and level of motor assistance to optimize combustion of the engine cylinders by calculating the combustion status in each cylinder using the motor signal. In this way, we can realize powertrains with enhanced environmental performance.

The concept for these new engines differs completely from that used in Toyota's conventional engines. This new concept is encapsulated in the phrase "ENGINE ReBORN."

As a starting point, we prepared two models for the 1.5L inline 4-cylinder engine, one naturally aspirated and the other turbocharged. The naturally aspirated model reduces both volume and height by 10% compared with the current 1.5L 3-cylinder engine.

By adding another cylinder, we have allowed our engineers to lower the height and make the overall engine more compact.

For its current engine to clear the strict emissions regulations slated to be enforced in Europe and the United States, Toyota

would need to curb the engine's power output and use expensive catalysts to clean up exhaust gases.

By contrast, the new engine retains output thanks to improved combustion technology. At the same time, its compact size allows for lower hood design, reducing aerodynamic drag. These changes are expected to yield 12% better fuel economy in sedan-class vehicles.

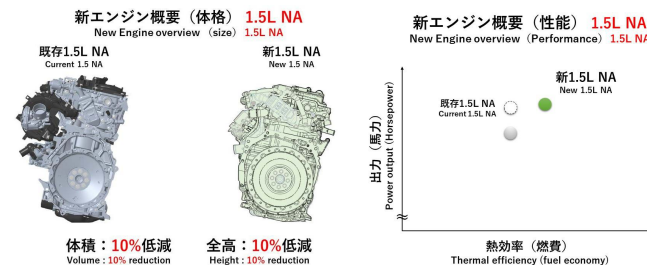
Furthermore, the 1.5L turbo model of the engine can cover the territory of Toyota's 2.5L naturally aspirated engine, which is used in vehicles that tow heavy loads.

The new turbocharged engine also complies with regulations that would require the existing model's power to be cut by 30%. It can also reduce volume by 20% and height by 15%.

Similarly, the 2.0L turbocharged engine is expected to have 10% lower volume and height than the existing 2.4L turbo engine.

Despite this lower volume and height, the 2.0L turbocharged engine drastically improves output and will serve a wide range of applications where power is required, from trucks and other heavy-duty vehicles to sports cars.

By combining highly efficient, compact, and powerful engines with electric power units, we will expand the potential for offering more affordable BEVs.



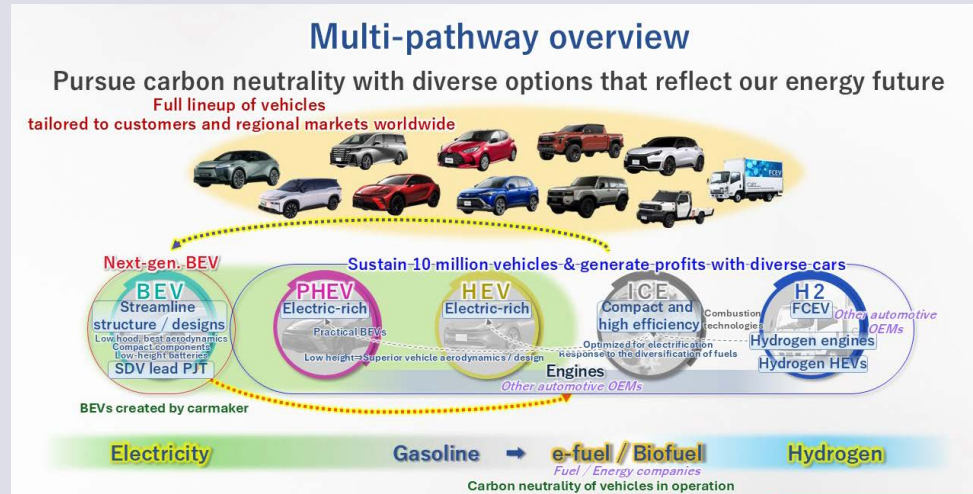
Toyota's Vision for Carbon Neutrality: Overview of the Multi-Pathway Strategy | Advancement of the Multi-Pathway Strategy

Enhancing the Clarity of the Multi-Pathway Approach

At the financial results briefing in May 2025, President Koji Sato commented as follows on the direction of Toyota's multi-pathway initiatives.

Multi-Pathway Approach and Powertrains

Within Toyota's multi-pathway approach, a core principle we value is ensuring that "no one is left behind" as we contribute to achieving carbon neutrality. While reducing CO₂ emissions through a diverse range of vehicles, we will also leverage technologies refined through next-generation BEVs to drive further evolution across the entire powertrain lineup.

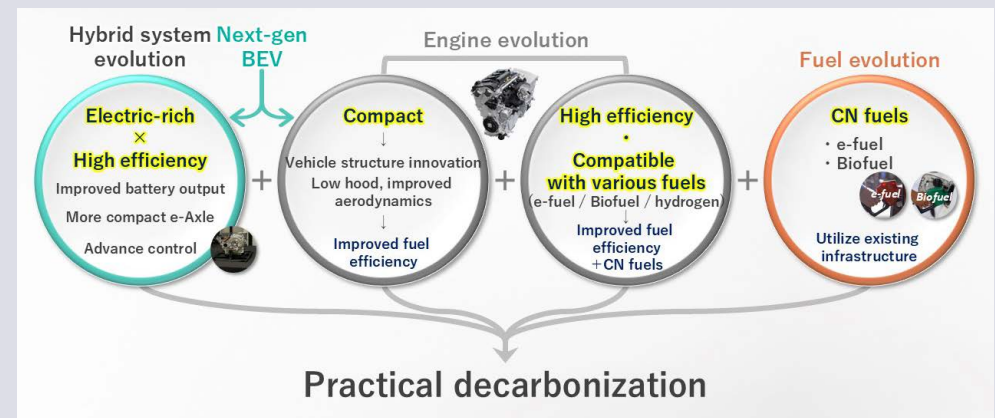


In addition, to ensure that each powertrain becomes a true and viable option, we will continue to work with many like-minded partners to support the advancement of fuels and infrastructure.



Internal Combustion Engines and Hybrid Systems

For vehicles with internal combustion engines, we will continue to refine core technologies and pursue advances across each area, including engines, hybrid systems, and fuels.



Toyota's Vision for Carbon Neutrality: Overview of the Multi-Pathway Strategy | Advancement of the Multi-Pathway Strategy

Enhancing the Clarity of the Multi-Pathway Approach

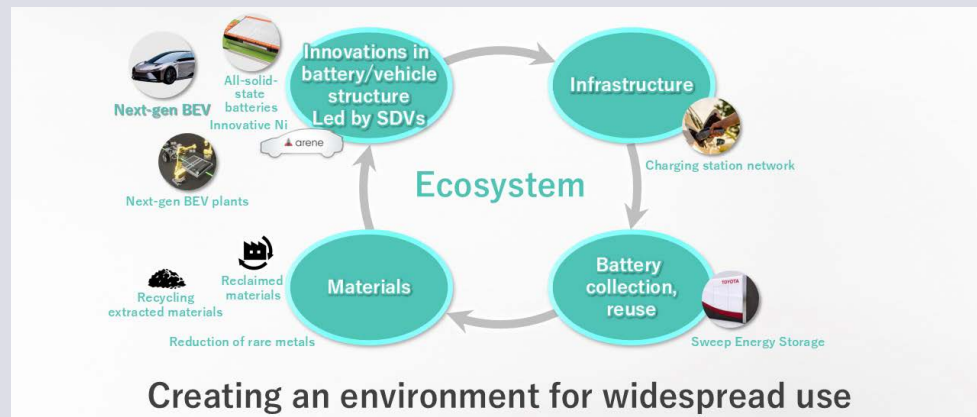
Carbon-Neutral Private Vehicles

From the perspective of achieving carbon neutrality for vehicles in use, we believe it is important to promote a shift to more environmentally friendly mobility, centered on hybrid vehicles that can reduce CO₂ emissions immediately. We also see the acceleration of carbon-neutral fuel adoption as essential.

By responding to the expectations of customers around the world going forward, we will continue to deliver practical options that contribute to carbon neutrality, beginning with ever-better, high-quality, affordable hybrid vehicles.

BEVs

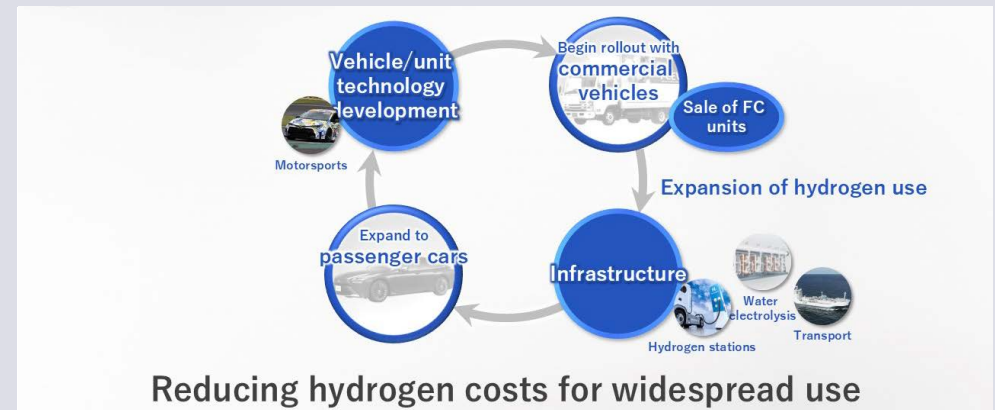
To promote the widespread adoption of BEVs, we believe it is necessary not only to advance vehicle and battery technologies but also to build a battery ecosystem that spans the entire value chain, from materials procurement to collection and reuse. Going forward, we will strengthen cross-industry collaboration frameworks and focus on developing the necessary environment to support broader adoption.



Hydrogen

With regard to hydrogen mobility, the key to wider adoption lies in reducing hydrogen costs. By accelerating the social implementation of hydrogen mobility in the commercial vehicle sector, including through the sale of units to external customers, we aim to increase hydrogen usage and thereby drive cost reductions and the expansion of infrastructure.

Without wavering from our commitment to the future of hydrogen, we will also continue to advance these efforts across the entire value chain.



Toyota's Vision for Carbon Neutrality: Overview of the Multi-Pathway Strategy

Strategy for Battery Electric Vehicles

Expansion of Growth Areas

On February 5, 2025, Toyota announced that it will sign a comprehensive partnership agreement with the Shanghai municipal government in China regarding carbon neutrality. In addition, Toyota established Lexus (Shanghai) New Energy Co., Ltd., a new wholly owned company in Jinshan District in southwest Shanghai, to develop and produce BEVs and batteries.



Locally developing and producing BEVs in China to be cherished by Chinese drivers

Under this partnership with the Shanghai municipal government, Toyota hopes to contribute to the Chinese government's goal of achieving carbon neutrality by 2060 in fields such as hydrogen energy, automated driving technology, and battery recycling and reuse. To drive the initiative forward, Toyota will establish a new company based on the belief that quicker supply of products that meet customers' needs is important in China, where there is a high demand for new energy vehicles.

Start of
Production: From
2027 Onward

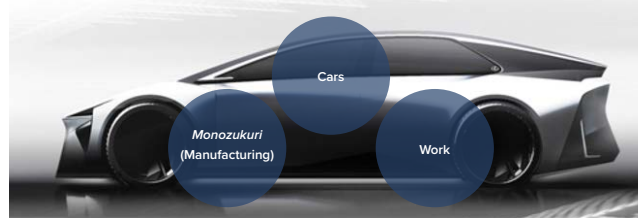
Production
Capacity:
Approximately
100,000 Units
(At Launch)

Jobs Created:
Around 1,000
Jobs (At Launch)

The newly formed company will develop a new BEV under the Lexus brand, with production scheduled to begin from 2027 onward. The initial production capacity will be around 100,000 units per year, and 1,000 new jobs are planned for the start-up phase.

Toyota has been working with partners such as China FAW Group Co., Ltd. and Guangzhou Automobile Group Co., Ltd. to bring smiles to customers in China. Going forward, Toyota will continue working together with all its partners to be a "best-in-town" company to achieve its goal of "producing happiness for all." In doing so, we will forge ahead with our mission of transforming cars, *monozukuri* (manufacturing), and work to change the future with BEVs.

Let's Change the Future with BEVs



Future of Cars

Through our next-generation BEVs, we seek to change the future of cars. This will entail evolving the products we provide to customers.

Through the integration of next-generation batteries and sonic technology, we aim to achieve a game-changing BEV driving range of 1,000 km.

Our next step will be to capture customers' hearts with stylish designs. AI will be used to help ensure excellent aerodynamic performance, doubling the time that designers can devote to creating attractive cars.

Our BEVs will also offer a customizable ride feel. The Arene software platform and a full over-the-air system, which provides vehicle software updates via wireless transmission, will infinitely expand the possibilities for enjoying cars.

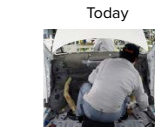
Moreover, Toyota will deliver exciting surprises and fun, like the manual EV, to its customers with technologies that only an automobile manufacturer can create.

Future of *Monozukuri*

1 Transformation of Toyota's Business Structure

Toyota's previously labor-intensive business practices are transforming together with its manufacturing processes. In our full assembly processes, we seek to create opportunities for employees to think about how to improve processes and produce other innovations. Moreover, we adopt people-oriented processes and work with our suppliers to construct the factories of the future that empower employees and provide a sense of emotional security.

People-Oriented Processes



Today
Cramped, poorly lit, and stressful processes



Future BEV
Open, well-lit, and worker-friendly processes



Today
Opportunities to think

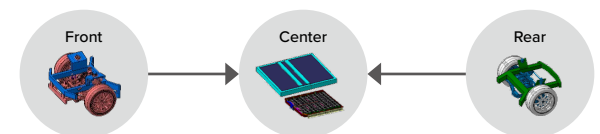


Future BEV
Opportunities to think

2 New Modular Structure for Automobile Bodies

Automobile bodies will be constructed in a new modular structure consisting of three main components. The finished automobiles are then assembled after each of the three modules is completed. This structure allows each module to be evolved separately, expediting action, particularly important in the race to develop better batteries. Furthermore, the use of giga casting will allow significant component integration, contributing to the reduction of vehicle development costs and plant investment.

New Modular Structure for Automobile Bodies

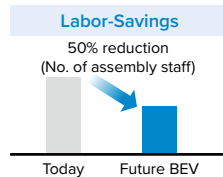


Rapid incorporation of advances in batteries

Toyota's Vision for Carbon Neutrality: Overview of the Multi-Pathway Strategy | Strategy for Battery Electric Vehicles

3 Reducing Production Lead Times by Half

In this manner, the future of *monozukuri* aims to halve processes and production lead times for BEVs. Specifically, the new modular structure and self-propelling production and other automation technologies will halve the number of processes required. Self-propelling production will be key to building next-generation BEVs. By greatly reducing the time and cost, as well as efforts on the part of production and technical staff required to modify plants and expand buildings whenever a new model is introduced, this technology will accelerate the launch of new products to market. Such new approaches to manufacturing, combined with the use of digital twin technology, are expected to halve production lead times.



Future of Work

Toyota is not the only organization developing next-generation BEVs. Rather, it is an all-in-one team that extends beyond the framework of an automobile manufacturer to encompass all functions and regions, including Woven by Toyota, Inc. and external partners.

This one organization is charged with developing the entire lineup from start to finish—from development to production planning, business planning, domestic and overseas product fleet designing, and procurement and battery strategy formulation. This all-in-one team ensures that all employees from all functions stay on the same page, allowing everyone to share the same awareness of issues in order to achieve prompt decision-making and initial response.

Furthermore, by using the Arene platform, we will improve development and evaluation efficiency. At the same time, we are practicing wide-ranging external collaboration to foster new, creative thinking, and the resulting growth of individuals will change the future of the Company.

Let's Change the Future with BEVs

The earnings of Toyota's next-generation BEVs will be driven by our next-generation batteries, which will be developed with a focus on achieving world-leading levels of efficiency. Our development approach entails viewing batteries and vehicles as a set, and this approach is the starting point for the development of BEVs.

Toyota's development of both batteries and vehicles in-house provides an advantage in this area. The resources afforded by this advantage will be used to improve our product appeal to exceed customer expectations and secure earnings.

We are advancing the integrated planning of our full global lineup of next-generation BEVs. In addition to efforts to increase product appeal, we will transform our manufacturing approaches to eliminate processes as well as reduce investment and lead times while securing earnings and increasing sales volume.

LBase Unit Sales Projections

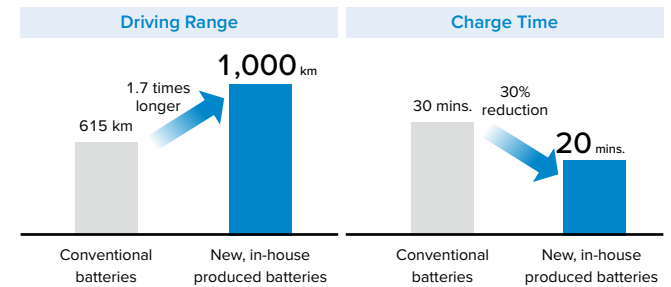
Toyota is targeting global BEV sales of 3.5 million units by 2030. This figure is shaped by customer demand and represents the base unit amount based on which supply systems will be prepared together with suppliers and dealers. However, we will adopt a flexible approach toward sales in recognition of the fact that it is customers who will ultimately decide what they purchase.

Next-Generation BEVs: Smaller Is More

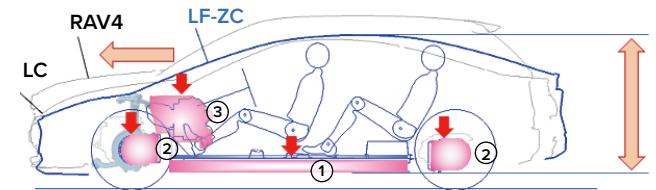
Our next-generation BEVs will be an amalgamation of new initiatives and undertakings. We have been focusing on the potential for constant evolution of the augmentation capacity of BEVs—making components smaller and vehicle interiors more spacious. Examples of these initiatives can be seen in three models.

1 New Batteries

Our new batteries are playing a key role in the evolution of BEVs with their low height and high energy density. Low-height batteries and compact peripheral components create and enable unparalleled stylish design. Performance will also be greatly improved, with a driving range of 1,000 km and charge time of 20 minutes.



More compact components also have the potential to transform the shape of cars. On a BEV, the battery is mounted under the floor of the cabin, near the middle of the vehicle. The larger the battery installed there, the greater the driving range. However, the use of larger batteries requires increasing the distance between the front and rear tires, leading to elongated, bulky designs.



① Low height and high energy density
② Compact eAxle
③ Compact air-conditioning system
Driving range: 1,000 km (CLTC mode)

Toyota's Vision for Carbon Neutrality: Overview of the Multi-Pathway Strategy | Strategy for Battery Electric Vehicles

Conversely, the higher energy density of the new batteries means that the batteries themselves can be smaller without sacrificing driving range, allowing for overall smaller vehicles and greater freedom of design, shattering the notion that BEVs have to be tall. The combination of downsized components achieves sleek, elegant styling.

2 Evolution of Vehicle Interiors

Transformation will also be seen in vehicle interiors. The dashboard will sit lower, providing a superior range of vision, with the sky stretching out in front of the driver. The lower dashboard will mean that the seats can be lower, so that, with the same vehicle height, the ceiling feels strikingly high. This change should make time spent in vehicles feel more comfortable and relaxing for passengers of all heights. We are also focusing on the basics to transform the way vehicles drive. Specifically, we are developing a new suspension to create a drive feel worthy of the vehicle's styling and to enhance responsiveness.



3 Expansion from Cars to Mobility

Software is expanding the range of possibilities for vehicles.

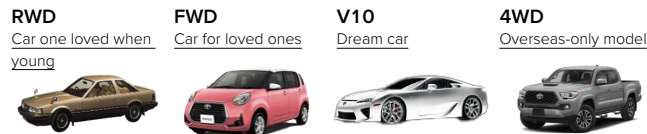
With software, one vehicle can, for example, replicate the feel of any other—the handling, the sound, the vibration—be it that car you loved when you were young or the model you have always dreamed of driving. Any vehicle can become a beloved car that helps customers connect to their memories or look forward to their future lifestyle.

For Toyota, nothing is more important than its connections with the customers who have chosen and loved their cars over the years.

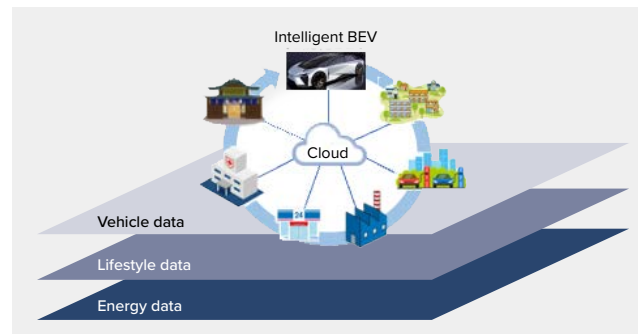
By effectively using intelligent BEVs as a medium for transferring energy and data and linking vehicle, lifestyle, and energy data, we will expand our efforts from cars to a world of mobility.

Constant Evolution of Augmentation Capacity

Vehicle Perspective | Memories of younger days



Social Perspective | Effective use as a medium for energy and data transfer



Toyota's Vision for Carbon Neutrality: Overview of the Multi-Pathway Strategy | Strategy for Battery Electric Vehicles

Innovative Battery Electric Vehicle Technologies

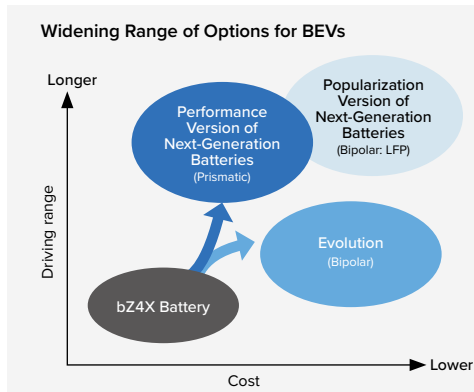
Batteries

The battery is the heart of the battery electric vehicle (BEV). Just as the heart pumps blood through the body, the battery transmits electricity throughout the vehicle. As Toyota advances initiatives aimed at introducing next-generation BEVs, it is also evolving batteries with new technologies to meet customer expectations.

For liquid lithium-ion batteries, which are currently the mainstream, Toyota will work to enhance performance by improving the energy density of prismatic batteries, an area in which the Company has longstanding expertise. In addition, we will expand our lineup to provide customers with a variety of options—from low-cost batteries for popularization to batteries optimized for maximum performance—by using the bipolar battery structure developed for hybrid electric vehicles (HEVs) in BEVs.

Furthermore, all-solid-state batteries, which are garnering attention as an innovative new type of battery, are finally approaching the phase of practical application for use in BEVs. By assembling a full lineup of competitive batteries, we will seek to support the ongoing evolution of Toyota's BEVs.

Notes: 1. The performance versions of next-generation batteries are being developed with Prime Planet Energy & Solutions, Inc., while the popularization and high-performance versions of the next-generation batteries and all-solid-state batteries for BEVs are being developed with Toyota Industries Corporation, combining the knowledge of the Toyota Group.
2. The bZ4X referenced in this report refers to the 2022 model. The bZ4X underwent a partial update in October 2025.



Liquid Lithium-Ion Battery Development

1 Next-Generation Batteries: Performance Version

The next-generation BEVs will have a driving range of 1,000 km.* For these vehicles, we are developing a performance-focused prismatic battery to increase the degree of freedom in vehicle design. This battery will feature higher energy density along with improved aerodynamics and reduced weight aimed at extending driving ranges through vehicle efficiency improvements. At the same time, we look to reduce costs by 20% in comparison with the current bZ4X and achieve a quick charge time of 20 minutes or less (state of charge (SOC) = 10%–80%).

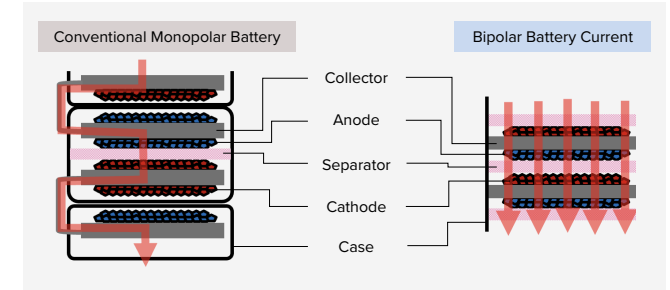
* Includes driving range gains through vehicle efficiency improvements such as aerodynamics and weight reductions

2 Next-Generation Batteries: Popularization Version

Toyota is also developing high-quality, low-cost liquid lithium-ion batteries that are anticipated to contribute to the widespread use of BEVs to provide customers with a variety of battery options.

Bipolar structure batteries, which have been used in the Aqua and Crown hybrid vehicles, are now being used in BEVs. These batteries utilize inexpensive lithium iron phosphate (LFP), and we are working to commercialize these batteries.

We are aiming for a 20% increase in driving range* and a 40% reduction in costs compared with the earlier bZ4X as well as a quick charge time of 30 minutes or less (SOC = 10%–80%). We are also



examining the possibility of installing these batteries in BEVs in the popularization price range.

In a standard battery, individual current collectors are coated on both sides with either an anode or cathode and then paired to make a set. In contrast, every current collector in a bipolar configuration is coated with an anode on one side and a cathode on the other, making for a simpler structure that requires only one-third as many components. At the same time, material costs can be reduced by using LFP for the cathode in place of rare metals, such as nickel and cobalt.

To make these batteries a reality, Toyota must overcome three challenges: applying the cathode and anode materials evenly, doing so at high speeds, and simultaneously sealing all the cells. Furthermore, these need to be achieved in batteries large enough to power a car.

	Battery type	Shape	Structure	Cathode	EV driving range (CLTC mode, including gains through vehicle improvements)	Costs (For same driving range)	Charge time (SOC = 10%–80%)
Conventional	bZ4X battery	Prismatic	Monopolar	NCM	615 km	—	30 mins. or less
Next-generation batteries	1. Performance version				200% increase compared with bZ4X (before improvements)	20% reduction compared with bZ4X (before improvements)	20 mins. or less
	2. Popularization version	New structure	Bipolar	LFP	20% increase compared with bZ4X (before improvements)	40% reduction compared with bZ4X (before improvements)	30 mins. or less
Evolved batteries	3. High-performance version			Ni	10% increase compared with next-generation batteries (performance version)	10% reduction compared with next-generation batteries (performance version)	20 mins. or less

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Innovative Battery Electric Vehicle Technologies

In tackling these challenges, Toyota is drawing on its battery production technologies honed through its roughly 30 years of developing HEVs as well as its bipolar nickel-metal hydride battery technologies and expertise, precision coatings used for fuel-cell electric vehicles (FCEVs), and various digital technologies. By combining these assets, we are making strides in development projects aimed at mass production.

3 Bipolar Lithium-Ion Batteries: High-Performance Version

The high-performance version of our bipolar lithium-ion batteries combines the best aspects of both the performance and popularization versions. These are batteries that are being evolved through the combination of a bipolar structure and a high nickel cathode.

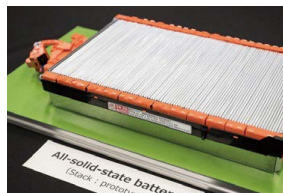
Compared with the performance version, the high-performance version will boast an impressive 10% increase in driving range*3 and a 10% reduction in costs as well as a quick charge time of 20 minutes or less (SOC = 10%–80%). We aim to commercialize this battery in 2027 or 2028.

*3 Includes driving range gains through vehicle efficiency improvements such as aerodynamics and weight reductions

All-Solid-State Battery Development

All-solid-state batteries have a solid electrolyte, allowing faster movement of ions and greater tolerance of high voltages and temperatures. It is hoped that this technology will contribute to increased power output, longer driving ranges, and shorter charge times.

However, one of the issues faced had been short battery life. All-solid-state batteries repeatedly expand and contract as the battery charges and discharges, which can create cracks in electrodes that inhibit the movement of ions between the cathode and anode. Toyota, fortunately,



Technology enabling even longer driving ranges than Toyota's next-generation batteries together with charge times under 10 minutes

has been able to develop a new technology that overcomes this issue.

Aiming for commercialization in 2027 or 2028, Toyota continues to advance product development and the development of mass production methods.

Current battery production consists of three main processes: materials processing, battery processing, and battery assembly. While the sequence is the same for all-solid-state batteries, the assembly process for these batteries requires high-speed, high-precision stacking that does not damage the materials in order to ensure the battery's performance. Advanced technologies are imperative for achieving such levels of speed and precision in mass production.

The equipment developed by Toyota resolves this issue by making the pallets that carry and receive batteries all move at the same speed—that is, at zero relative velocity. In addition, the pallets and machinery are equipped with *karakuri* (non-powered mechanical gadgets that help improve productivity and reduce costs) to prevent misalignment as batteries are passed through. Together, these solutions enable high-speed, high-precision stacking crucial for mass production.

In October 2023, Toyota announced a partnership with Idemitsu Kosan Co., Ltd. in which the companies will work toward the mass production of all-solid-state batteries for BEVs. By integrating the two companies' materials development technologies, along with Idemitsu's materials manufacturing technologies and Toyota's battery processing and assembly technologies honed in electrified vehicle development, the partners aim to achieve mass production of solid electrolytes and all-solid-state batteries that will be widely used throughout society.

In October 2025, we announced a collaboration with Sumitomo Metal Mining Co., Ltd. aimed at mass production of cathode materials. Leveraging the company's proprietary powder synthesis technology, we jointly developed a new cathode material with superior durability suited for all-solid-state batteries. Going forward, we will continue to draw on Sumitomo Metal Mining's expertise accumulated over two

decades of supplying cathode materials, as we work toward the supply and subsequent mass production of this newly developed material.

Sumitomo Metal Mining and Toyota Announce Collaboration Aimed at Mass Production of Cathode Materials for All-Solid-State Batteries

Aerodynamics Technologies Based on Rocket Technologies

Battery development is not the sole factor that determines the performance of BEVs. Vehicle design considerations, such as minimizing aerodynamic drag, improving energy regeneration, and ensuring overall energy and heat management, must also be addressed as part of the vehicle development process.

One such aspect of vehicle design is aerodynamics technologies. In this area, Toyota is working with the Space Systems Division of Mitsubishi Heavy Industries, Ltd. to apply hypersonic rocket technologies to cars. Through this partnership, we are studying technologies that protect rockets from the heat caused by air friction and compression and looking for ways to transfer that knowledge to the speed range of a car.

Aerodynamic drag can be lowered by controlling points of contact with the airflow—for example, through body surface treatment. Toyota hopes to reduce the drag coefficient (Cd) to around a tenth of that for existing car bodies (0.20).

This technology has the potential to enable designs that are both stylish and aerodynamic without placing restrictions on the shape of a car or whether the material is steel or aluminum.

Development is moving forward with the goal of achieving commercialization in 2026. In addition to battery innovation, we strive to



Model for wind tunnel testing

extend driving ranges by minimizing aerodynamic drag as one facet of our ongoing efforts to improve the appeal of our BEV products to surpass customer expectations.

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Background of bZ3X Development

Creating Ever-Better Battery Electric Vehicles for China

China's automotive market continues to evolve along a unique motorization path. Vehicle size expansion, electrification, and intelligent technologies are advancing at remarkable speed, positioning China as a global leader in these areas. In 2025, new-energy vehicles accounted for more than 50% of total vehicle sales.

bZ3X is an SUV-type battery electric vehicle (BEV) launched in China in March 2025 to meet the needs of this market. Developed under the concept of "COZY HOME," which represents a comfortable, mobile living space, bZ3X was created through a locally driven development structure led by a Chinese regional chief engineer. Working in close collaboration with our partner Guangzhou Automobile Group (GAC), Toyota advanced vehicle development with the aim of creating a vehicle beloved by Chinese customers.

By combining the "intelligent" features and spacious comfort sought by younger new-energy-vehicle customers with Toyota's hallmark safety and peace of mind, bZ3X achieved strong market acceptance. Offered at an accessible price range starting at the 100,000-yuan level (approx. ¥2.2 million), bZ3X became the top-selling BEV among China joint-venture brands in 2025.



Product Features

1 Intelligent Technologies

Building on the data-driven intelligent driving assistance technology of local partner Momena, Toyota analyzed frequent accident scenarios and, guided by its aspiration to realize a society with zero traffic accidents and fatalities, refined safety and security performance to enhance peace of mind.



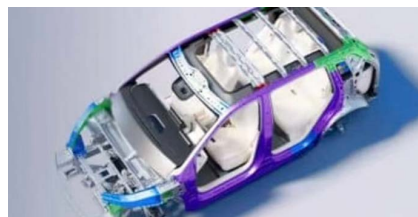
2 Spacious Comfort

Leveraging the inherent spaciousness of a BEV, bZ3X offers a large, flat cabin enabled by flexible seat arrangements. A 14.6-inch display, four-seat independent voice recognition, and a panoramic sunroof deliver the comfort features customers expect from new-energy vehicles.



3 Safety and Security

Toyota applied its own high safety standards to the battery, the core component of a BEV. Features such as redundant brake design and the use of high-strength special steel in more than 70% of the body reflect Toyota's commitment to safety, including in areas not immediately visible to customers.



Challenges

1 Continuous Enhancement of Product Competitiveness

To meet customer expectations in China's rapidly changing market, Toyota significantly reexamined its conventional development methods, incorporating improvements based on customer feedback gathered at motor shows and other venues right up to launch. Following market introduction, Toyota continues to move beyond traditional approaches by implementing timely product improvements and over-the-air (OTA) software updates based on customer feedback.



bZ3X owner interviews, December 2025

2 Reaching More Customers

In addition to its existing customer base, Toyota implemented significant improvements to customer touchpoints to engage younger customers with a strong interest in new-energy vehicles. Initiatives included creating modern retail environments, strengthening communication through social media—a key information source for younger customers—and assigning BEV-specialized sales staff.



Event held in collaboration with a music school, May 2025

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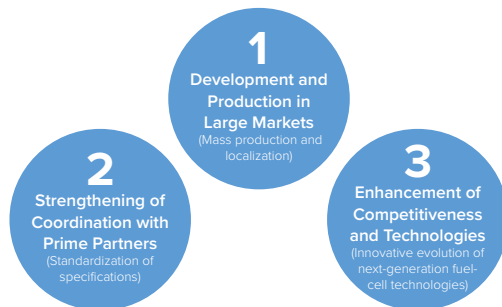
Hydrogen Business Strategies



Three Key Axes for Advancing the Hydrogen Business

Toyota's hydrogen business may appear to be a distant prospect, with no clear path to success. However, we have seen significant global developments in this area in recent years, with countries introducing policies and taking active steps with an eye toward 2030. To anticipate these changes and respond to customer needs, the Hydrogen Factory is advancing business activities based on three key axes.

Business Axes of the Hydrogen Factory



1 Development and Production in Large Markets

In Europe, Toyota Motor Europe NV/SA is engaged in the development of hydrogen fuel-cell systems and carries out production and external sales. Furthermore, the Alternative Fuels Infrastructure Regulation (AFIR) has come into effect, and plans have been announced to install hydrogen stations every 200 kilometers along major highways by 2030.

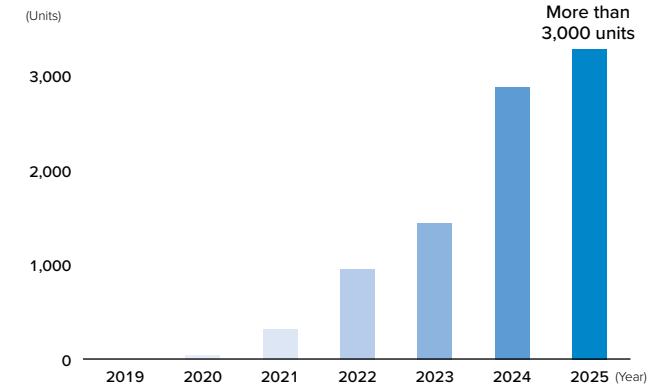


Europe's hydrogen highway concept under AFIR
Source: Directorate-General for Mobility and Transport

In China, we have already established a development and production base in collaboration with Beijing SinoHytec Co., Ltd. This base began production of fuel cells in August 2024. In addition, under the Medium and Long-term Plan for the Development of Hydrogen Energy (2021-2035), a "hydrogen highway" concept has been outlined, with a target to introduce fuel-cell trucks on a scale of several tens of thousands of units annually to decarbonize trunk-line logistics.

In response to these market changes, in 2019, Toyota began offering the fuel-cell unit installed in the Mirai passenger vehicle as a modular product to partners aiming to realize a hydrogen society. In recent years, as demand for commercial applications has expanded across various countries, sales of fuel-cell units have continued to grow year by year, reaching a global cumulative total of more than 3,000 units as of December 2025.

Cumulative External Sales of Fuel-Cell Units (as of December 2025)



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2 Strengthening of Collaboration with Prime Partners

Hydrogen has been positioned as an important energy source in Toyota's CO₂ emissions reduction efforts in its quest to achieve carbon neutrality. To create a hydrogen-powered society, we are promoting the widespread adoption of fuel-cell products, including passenger and commercial fuel-cell electric vehicles as well as fuel-cell stationary generators. Through such initiatives, we are working with various industry partners in the areas of producing, transporting, and using hydrogen.

In Europe, Toyota announced a partnership with Daimler Truck Holding AG in May 2023. The scope of this partnership includes collaboration on hydrogen-related development. Furthermore, in September 2024, we unveiled plans to bolster coordination with BMW in the field of hydrogen, pursuing joint development and standardization of components to drive cost reductions. These components are also being considered for use in Toyota models going forward.

Additionally, France-based Hyliko has operated fuel-cell heavy-duty trucks equipped with Toyota's fuel-cell units for a cumulative distance of over 60,000 km. During the Paris 2024 Summer Olympic Games, these trucks supported vehicle transportation for event operations.



Utilization of fuel-cell heavy-duty trucks by Hyliko at the Paris 2024 Summer Olympic Games

In China, we entered into a partnership in November 2024 with GLP Investment (Shanghai) Co., Ltd. (GLP China) in the field of high-value-added green trunk-line logistics. In collaboration with leading domestic logistics companies For-U Smart Freight and Shenzhen Dekun Logistics Co., Ltd., we began operating 50 heavy-duty fuel-cell trucks in 2025. This marked our first overseas trunk-line logistics trial, aimed at identifying challenges to establishing a viable total cost of ownership and establishing successful examples.



Implementation of trunk-line logistics with For-U and Dekun

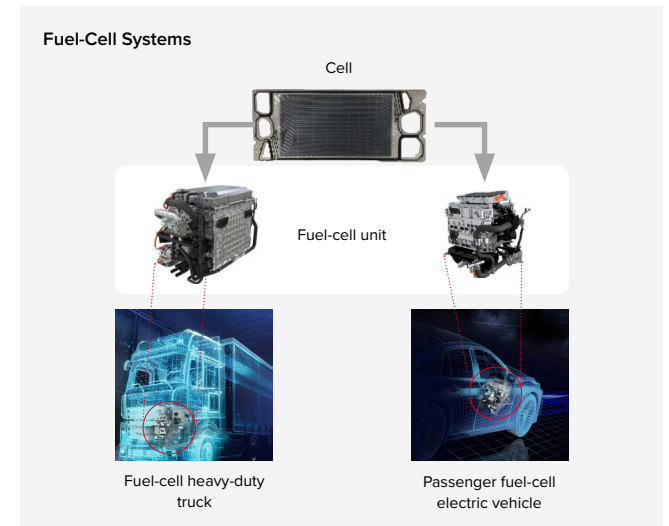
In Japan, we have been working with Isuzu Motors Limited, Hino Motors, Ltd., Suzuki Motor Corporation, and Daihatsu Motor Co., Ltd. on initiatives to make commercial vehicles carbon neutral. Furthermore, in February 2024, we agreed with Chiyoda Corporation to jointly develop a large-scale water electrolysis system that produces hydrogen from water and electricity by applying the fuel-cell technology used in the Mirai. Preparations are underway for demonstrations to begin in 2026.



Collaboration with Chiyoda Corporation on hydrogen production systems

3 Enhancement of Competitiveness and Technologies

The next-generation (third-generation) fuel-cell unit currently under development aims to offer durability equivalent to twice that of the current generation and is designed to be virtually maintenance-free even under commercial vehicle operating conditions. Fuel efficiency and driving range have been improved by 20%, enabling travel between Tokyo and Osaka without refueling. We are developing dedicated units for both passenger and commercial applications, while standardizing cells to achieve lower costs. Our plan is to roll out this next-generation fuel-cell unit, capable of meeting a wide range of use cases, from passenger cars to commercial vehicles, starting in fiscal 2027.



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Initiatives for Producing Hydrogen

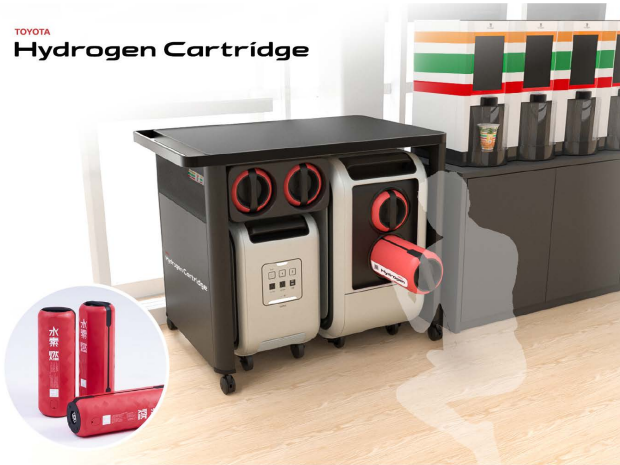
At the same time, hydrogen remains a costly energy source. To expand its utilization, reducing its price is essential. To this end, Toyota is working with partners on technology for hydrogen production.

In 2023, DENSO Fukushima Co., Ltd. introduced an electrolysis system at its production plant. The system leverages fuel-cell technology from the Mirai and has a capacity of approximately 0.4 megawatts. Since April 2024, it has been supplying hydrogen to combustion furnaces within the plant and continues to be used.

The hydrogen production market is expected to grow rapidly both in Japan and overseas. To enhance scalability of hydrogen production equipment, Toyota is combining Chiyoda Corporation's processing plant design expertise and large-scale plant construction technologies to develop large-scale electrolysis systems in the 5 megawatt to 20 megawatt range. In 2026, Toyota plans to build a facility called Hydrogen Park at its Honsha Plant and begin large-scale demonstration testing. Going forward, we will continue accelerating efforts toward commercialization.



The completed Hydrogen Park at Toyota's Honsha Plant



The portable hydrogen cartridge installed at the Seven-Eleven West Gate store at Expo 2025 Osaka. The cartridge allows hydrogen to be easily transported.



Toyota collaborated with UCC Ueshima Coffee Co., Ltd. to commercialize hydrogen-roasted coffee by leveraging hydrogen's combustion characteristics, translating the ride comfort of four Toyota Crown models into distinct coffee drinking experiences.



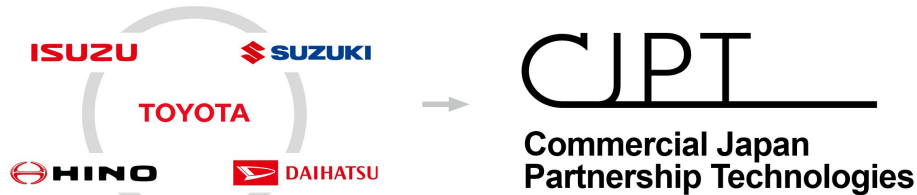
Joint development of hydrogen-powered sauna with Harvia Plc (Finland)

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Commercial Sector Initiatives

Contributing to Carbon Neutrality Through Commercial Vehicle Electrification and Enhanced Logistics Efficiency

In Japan, Toyota established Commercial Japan Partnership Technologies Corporation (CJPT) in 2021 together with Isuzu Motors Limited, Hino Motors, Ltd., Suzuki Motor Corporation, and Daihatsu Motor Co., Ltd. with the aim of contributing to the resolution of issues in the transportation industry and helping realize a carbon-neutral society.



Commercial Japan Partnership Technologies Corporation (CJPT)

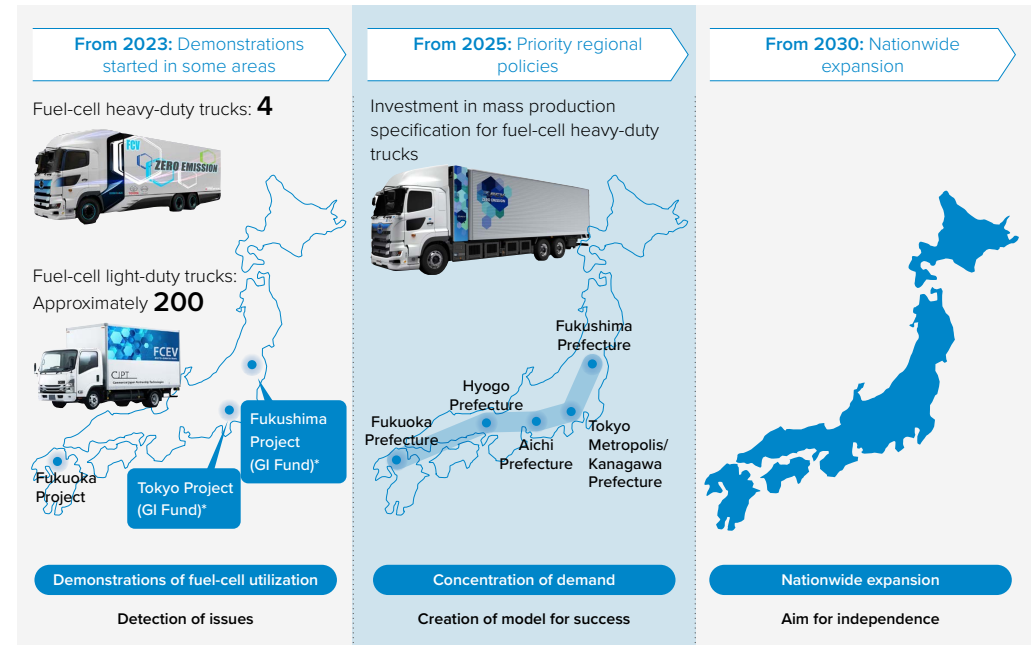
Adoption and Expansion of Fuel-Cell Commercial Vehicles

We are working with shippers and logistics companies in Fukushima Prefecture and Tokyo on the social implementation of electrification that utilizes heavy- and light-duty fuel-cell electric trucks and light-duty BEV trucks. As of the end of December 2025, approximately 200 fuel-cell electric trucks have hit the roads, supporting the daily lives of local people not only as general delivery vehicles but also as waste collection vehicles and school lunch delivery vehicles. In addition, around 180 fuel-cell electric buses are operating across Japan and are beginning to take root as part of local transportation infrastructure. From fiscal 2027, we will begin production of a new model, further promoting the utilization of hydrogen.

At the same time, the widespread adoption of fuel-cell commercial vehicles faces challenges, including reductions in vehicle costs, the expansion of hydrogen refueling infrastructure, and the lowering of hydrogen costs. To address these challenges, efforts are being undertaken through close collaboration between the public and private sectors.

In May 2025, the Japanese government selected Fukushima Prefecture, Tokyo Metropolis, Kanagawa Prefecture, Aichi Prefecture, and Hyogo Prefecture as Priority Regions for Promoting the Deployment of Fuel-Cell Commercial Vehicles. In response, Toyota and CJPT have started work on the following initiatives, aiming to ultimately roll them out nationwide.

- Creation of massive hydrogen demand and new hydrogen utilization models through the deployment of heavy-duty fuel-cell electric trucks
- Establishment of sales and operating environments in newly designated priority regions
- Expansion of the lineup of fuel-cell commercial vehicles
- Support for businesses working to reduce hydrogen costs



* Green Innovation Fund

Toyota's Vision for Carbon Neutrality: Overview of the Multi-Pathway Strategy | Hydrogen Business Strategies

Commercial Sector Initiatives

1 Tokyo Metropolis and Aichi Prefecture: Creation of Massive Hydrogen Demand Through Fuel-Cell Heavy-Duty Trucks

Fuel-cell trucks responsible for trunk-line transportation possess larger hydrogen tanks, ensuring a long driving range. As such, we anticipate significant and stable hydrogen consumption. To date, we have operated four demonstration vehicles, such as for the transportation of components between Toyota's plants and transportation companies. In October 2025, Hino Motors, Ltd. launched a mass production model equipped with Toyota's fuel-cell technology. Going forward, we will steadily introduce these vehicles across Japan, promoting the utilization of hydrogen while contributing to the stabilization of hydrogen station operations.



2 Aichi Prefecture and Hyogo Prefecture: Launch of Fuel-Cell Truck Adoption



In November 2025, operation of fuel-cell trucks also commenced in Aichi and Hyogo prefectures.

Building service infrastructure poses a challenge for introduction into new regions, but we are developing such an infrastructure through cooperation with local dealerships and vehicle conversion manufacturers. Going forward, we will continue to collaborate with communities in priority regions to realize a hydrogen society.

3 Tokyo Metropolis: New Model That Uses Hydrogen (Fuel-Cell Taxis)

As the first stage of the TOKYO H2 project announced by the Tokyo Metropolitan Government, a taxi service that utilizes Toyota Crown fuel-cell electric vehicles was launched in September 2025. To achieve the aims set out by the Tokyo Metropolitan Government (approximately 600 vehicles by fiscal 2031), Toyota will verify the optimal balance between hydrogen supply and demand utilizing data acquired from fuel-cell taxis.



4 Fukushima Prefecture: Support for Autonomous Maintenance of Stations to Reduce Hydrogen Costs



In response to feedback from our dealers that car transporters should also be carbon neutral, we have independently planned and manufactured a fuel-cell car transporter with a Fukushima Prefecture-based vehicle conversion manufacturer and began introducing the vehicle at dealerships in January 2026. Going forward, we will promote the introduction of this vehicle at dealerships in other regions, while enhancing its practicality as a carrier truck, including efforts to expand loading space.

5 Reducing Hydrogen Costs Necessitates Ongoing Support for Autonomous Maintenance of Stations to Lower Hydrogen Costs

Reducing hydrogen costs requires keeping the maintenance costs necessary for managing hydrogen stations as low as possible. Together with the Nemoto Tsusho Group, which operates hydrogen stations in Fukushima Prefecture, Toyota has been working on initiatives such as conducting regulatory inspections in-house and lengthening the lifespan of components. From January 2025, employees from the Nemoto Tsusho Group began visiting the Toyota Shimoyama Plant and Motomachi Plant in Aichi Prefecture to acquire the knowledge needed for maintenance and, by January 2026, had become capable of conducting the majority of regular voluntary inspections in-house.

Going forward, we aim to standardize these initiatives and expand them to hydrogen stations nationwide.



Toyota's Vision for Carbon Neutrality: Overview of the Multi-Pathway Strategy | Hydrogen Business Strategies

Development of Hydrogen Engines for Motorsports



In 2025, Toyota's efforts to race a Corolla equipped with one of the Company's hydrogen engines currently in development entered their fifth year.

Hydrogen engines are partially modified versions of conventional gasoline engines that burn 100% pure hydrogen, unmixed with gasoline, directly as fuel. As no fossil fuels are burned, hydrogen-engine vehicles emit almost no CO₂ when in operation, with the only emissions being from the combustion of minute amounts of engine oil. The hydrogen-powered engine is an option with significant potential to contribute to carbon neutrality while making use of technologies for internal combustion engines built up over past decades and protecting engine-related jobs in the automotive industry.

In late 2020, after taking a test drive in a hydrogen engine prototype car, master driver Morizo (Chairman Akio Toyoda) decided on the spot to enter a hydrogen engine car in the Super Taikyu Series race. The development of race vehicles is dramatically faster and more agile than that of mass production vehicles. We decided that racing would provide the ideal environment for refining our hydrogen engines, which are being developed with the goal of achieving carbon neutrality.

Since its first time entering a hydrogen-powered Corolla in the 2021 Super Taikyu Series, Toyota has continued to develop technologies for producing, transporting, and using hydrogen. In 2021 and

2022, we raced a Corolla with a hydrogen engine that ran on gaseous hydrogen fuel. These efforts shifted to the next stage in 2023, when we launched a world-first initiative to utilize liquid hydrogen fuel. The switch to liquid hydrogen fuel increases the volumetric energy density of the fuel, approximately doubling a vehicle's driving range, an important advancement given that short driving ranges have been an issue with gaseous fuel. In addition, liquid hydrogen fueling stations take up only a quarter of the space required to install a gaseous hydrogen station, enabling refueling in the pit itself.

In 2024, we took another step forward in the evolution of our hydrogen engines by increasing the durability of pumps, which had needed to be replaced numerous times in prior races; extending driving ranges by modifying tank shapes; automating the processes of switching CO₂ collection units; and implementing other substantial improvements. This cemented the achievement of our target driving range of 30 consecutive laps.

In 2025, we conducted test drives of vehicles with small, highly efficient superconducting motors within their fuel tanks, improving tank capacity over 1.3 times. Going forward, this will lead to further improvements in driving range and driving performance and a reduction in the volume of boil-off gas.

We are striving to practically implement superconductivity technology with the aim of further developing liquid hydrogen technology.

Expansion of Partnerships

Toyota could not have made such progress alone. In 2023, a portion of the liquid hydrogen used in the hydrogen-powered Corolla in the Fuji 24 Hours Race was lignite-derived hydrogen produced in and transported from Australia in the Suiso Frontier liquefied hydrogen carrier built by Kawasaki Heavy Industries, Ltd. as part of the HySTRA project. In addition, the mobile liquid hydrogen fueling station used at the circuit was jointly developed by Iwatani Corporation and Toyota. Moreover, accompanying the switch to liquid hydrogen fuel, many parts required modification.

In 2024, Toyota partnered with Japan Metals & Chemicals Co., Ltd. to develop an electricity supply system that used hydrogen storage

alloy in order to address the boil-off gas* issues faced with prior liquid hydrogen fueling systems. A concept model of an engine that reused boil-off gas produced during driving as fuel or for generating electricity was displayed at the final race of the Super Taikyu Fuji Final 4 Hour Race, attracting individuals with similar ambitions to join us in the development process.

Through cooperation with our numerous partners, the liquid hydrogen-fueled Corolla has successfully completed its races, and, as a result of such efforts, the number of partners has grown from eight in May 2021 to 60 at the end of the 2025 season.

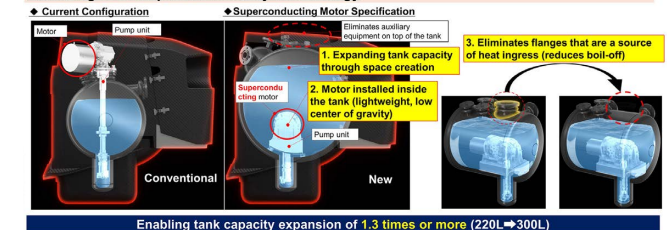
* Vaporized hydrogen produced due to the evaporation of liquid hydrogen fuel contained within tanks as a result of natural influx of outside heat

Continuous Efforts to Develop Hydrogen Engines

The scope of hydrogen engine development is expanding beyond motorsports. For example, a verification test of a hydrogen-powered Hiace was conducted on public roads in Australia from the end of 2023. In addition, Japan's first verification test of a mobile liquid hydrogen fueling system was carried out at the Iwatani Hydrogen Station in Kariya City, Aichi Prefecture, in 2024.

Toyota will continue in its efforts to expand the possibilities of hydrogen engines. Aiming to contribute to the realization of a carbon-neutral society, we will continue to evolve alongside our partners in line with the principle of "making ever-better cars from a starting point in motorsports" and our multi-pathway strategy.

Advantages of Superconductivity Technology



Toyota's Vision for Carbon Neutrality: Overview of the Multi-Pathway Strategy

Carbon-Neutral Fuel Initiatives

To achieve carbon neutrality (CN), we are not only focusing on the adoption of electrified vehicles (mainly sales of new vehicles) but have also set the reduction of CO₂ emissions by vehicles already owned by customers as a key theme.

It is also necessary to provide a wide range of energy options to meet the needs of diverse vehicles, regions, and customers. With regard to hydrogen fuels, synthetic fuels, bioethanol fuels, and other products based on electricity derived from renewable energy sources, we are collaborating with a diverse range of partners from across various industries to reduce CO₂ emissions throughout the entire production process, starting from raw material procurement, and to achieve the practical application of such products.

Carbon-Neutral Fuel Initiatives

1 Collaboration with Partners in Japan

In May 2024, with the aim of realizing a carbon-neutral society, we commenced a study for the introduction and popularization of carbon-neutral fuels*¹ that contribute to the decarbonization of automobiles together with Idemitsu Kosan Co., Ltd., ENEOS Corporation, and Mitsubishi Heavy Industries, Ltd. Seeking to introduce carbon-neutral fuels in Japan around 2030, we embarked on this study together with these companies, fulfilling major roles respectively in supply, technology, and demand.

Furthermore, at the ENEOS Super Taikyu Series 2025 Empowered by BRIDGESTONE Round 3 NAPAC Fuji 24 Hours Race, held in May 2025, fuel suppliers and automobile manufacturers announced the development of low-carbon gasoline*² through an all-Japan collaborative framework. Serving as an important testing ground, this 24-hour endurance race provides an extremely demanding environment in which technologies can be refined, while enabling the acquisition of practical data that can be applied to mass-produced vehicles.

Page 73 Development of Hydrogen Engines for Motorsports

*¹ Carbon-neutral fuels are fuels that limit CO₂ emissions across the entire product life cycle. It is a collective term that includes synthetic fuels (e-fuel) made using hydrogen and CO₂ as well as biofuels made from raw materials such as plants that absorb CO₂ through photosynthesis. Liquid carbon-neutral fuels in particular are advantageous in terms of energy storage and transportation, are suitable as transportable energy sources, and also offer benefits from the perspective of disaster resilience.

*² A fuel produced by blending plant-derived bioethanol with conventional fossil fuel-based gasoline. As the plants absorb CO₂ from the atmosphere during growth, the fuel has lower net carbon emissions compared with fossil fuels.

2 Collaboration with Partners in the United States

In the United States, we are carrying out on-road evaluations of fuels used for research purposes together with Exxon Mobil Corporation and are implementing fueling demonstrations of low-carbon fuels in new vehicles in collaboration with Chevron Corporation. In these ways, we are working closely with domestic and overseas fuel companies, including oil companies, to raise awareness and promote the practical application of carbon-neutral fuels.

Utilization of E-Fuel in the Multi-Pathway Strategy

E-fuel refers to fuels produced by synthesizing CO₂ captured from the air and other sources with hydrogen produced by water electrolysis.

In regions where hydrogen is inexpensive, it is commonly used directly in fuel cells under a local production and consumption model. However, in regions with high hydrogen prices, there is potential to achieve lower overall costs by producing e-fuel in regions with lower production costs and transporting them to demand areas. Research is currently underway to verify the feasibility of this strategy.

